Report of the Directors and Audited Financial Statements

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED

富衛人壽保險(百慕達)有限公司
(Incorporated in Bermuda with limited liability)

For the year ended 31 December 2024

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED 富衛人壽保險(百慕達)有限公司

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REPORT OF THE DIRECTORS

The directors present their report and the audited financial statements of FWD Life Insurance Company (Bermuda) Limited (the "Company") for the year ended 31 December 2024.

PRINCIPAL ACTIVITIES

The principal activity of the Company is the direct underwriting of long term life insurance business. There were no changes in the nature of the Company's principal activity during the year.

The Company did not carry on insurance business during the year relating to liabilities or risks in respect of which persons are required by any ordinance to be insured.

RESULTS AND DIVIDENDS

The Company's profit for the year ended 31 December 2024 and the state of affairs of the Company as at that date are set out in the financial statements on pages 6 to 120.

During the year, dividends of US$298,000,000 (2023: Nil) were declared and paid.

PROPERTY, PLANT AND EQUIPMENT

Details of movements in the property, plant and equipment of the Company during the year are set out in Note 9 to the financial statements.

SHARE CAPITAL

Details of movements in the Company's share capital during the year are set out in Note 22.1 to the financial statements.

SHARES ISSUED

Details of shares issued in the year ended 31 December 2024, together with the reasons therefor, are set out in Note 22.1 to the financial statements.

EQUITY-LINKED ARRANGEMENTS

During the year, the Company had not entered into any equity-linked arrangements.

RESERVES

Details of movements in the reserves of the Company during the year are set out in the statement of changes in equity on pages 10 to 11.

DIRECTORS

Given below are the names of all the persons who are or were, during the year and up to the date of this report, directors of the Company:

Executive Director

Lau Chi Kin

Non-Executive Director

Adrian Thomas O'Connor

Independent Non-Executive Directors

James Andrew Charles Ogilvy-Stuart (Resignation effective on 1 October 2024)

Robert Andrew Gazzi

Damis Jacobus Ziengs

Priscilla Murray Brown

Ronald Everett Simmons

REPORT OF THE DIRECTORS (continued)

DIRECTORS' INTERESTS

In 2023, FWD Group Holdings Limited ("FGHL"), an intermediate holding company of the Company, assumed the awards granted under the FWD Share Option and RSU Plan (the "Plan") by FWD Limited and FWD Group Limited, both of which are wholly-owned subsidiaries of FGHL.

Upon the vesting of awards granted pursuant to the Plan, participants are issued with shares of FGHL (the "FGHL Shares"). Participants, which include a director of the Company, are granted share awards pursuant to the Plan to reward service and the achievement of shareholder value targets. These awards are in the form of a contingent right to receive shares or a conditional allocation of shares. These share awards have vesting periods. Vesting of all awards granted to employees is conditional upon the relevant employee being in active employment at the time of vesting. Vesting of certain awards is also subject to certain performance conditions. Award holders do not have any right to dividends or voting rights attaching to the shares prior to vesting.

On 31 July 2023, the ordinary shares of FWD Limited and FWD Group Limited held by Lau Chi Kin were exchanged for the FGHL shares. During the year, FGHL Shares remained held by Lau Chi Kin.

Further details of the Plan are set out in Note 23 to the financial statements.

Apart from the above, at no time during the year was the Company or any of its subsidiaries, holding companies, or fellow subsidiaries a party to any arrangement to enable the Company's directors to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate.

DIRECTORS' MATERIAL INTERESTS IN TRANSACTIONS, ARRANGEMENTS AND CONTRACTS

No director had a material interest, either directly or indirectly, in any transactions, arrangements and contracts of significance in relation to the business of the Company to which the Company, its holding companies, any of its subsidiaries or fellow subsidiaries was a party at any time during the year or subsisted at the end of the year.

PERMITTED INDEMNITY PROVISIONS

During the year and up to the date of this report, the Company has in force indemnity provisions as permitted under the relevant statutes for the benefit of the directors of the Company. The permitted indemnity provisions are provided for in the Company's Bye-Laws and in the directors and officers liability insurance in respect of potential liability and costs associated with legal proceedings that may be brought against such directors.

MANAGEMENT CONTRACTS

No contracts concerning the management and administration of the whole or any substantial part of any business of the Company were entered into during the year or subsisted at the end of the year.

DONATIONS

During the year, the Company made donation amounted to US$26,000 (2023: US$13,000).

REPORT OF THE DIRECTORS (continued)

MATERIAL REINSURANCE ARRANGEMENTS

The followings are the material reinsurance arrangements effected by the Company during the year:

Name of reinsurers	Class of business
China Life Reinsurance Company Limited	Life assurance
China Reinsurance (Hong Kong) Company Limited	Life assurance
General Reinsurance AG	Life assurance
RGA Reinsurance Company	Life assurance and catastrophe reinsurance
RGA Global Reinsurance Company Limited	Life assurance
Munich Reinsurance Company	Life assurance, group life and group disability income
Munich Reinsurance Company Singapore branch	Life assurance
Swiss Re Asia Pte. Ltd	Life assurance and permanent health
Hannover Rück SE Hong Kong Branch	Life assurance and group life
Hannover Rück SE Shanghai Branch	Life assurance
Taiping Reinsurance Company Limited	Life assurance
Partner Reinsurance Asia Pte. Ltd	Life assurance
China BOCOM Insurance Co., Ltd	Group medical

The Company also entered into coinsurance arrangement with FWD Life Insurance Company (Macau) Limited and FWD Life (Hong Kong) Limited to assure new business/renewal business of selected traditional life products issued since 1 October 2020.

The treaties under Taiping Reinsurance have been recaptured on 1 April 2024 and the treaty under Partner Reinsurance has been recaptured on 1 January 2024.

AUDITOR

The financial statements now presented have been audited by Ernst & Young, Certified Public Accountants, who retire and being eligible, offer themselves for re-appointment at the forthcoming annual general meeting.

EVENTS AFTER THE REPORTING PERIOD

On 8 February 2025, the board of directors approved entering a new lease with a total expected lease payment of HK$1,637,000,000 (equivalent to approximately to US$210,950,000). The lease term is 150 months, commencing on 1 July 2025.

ON BEHALF OF THE BOARD

LAU CHI KIN
DIRECTOR

Hong Kong
27 March 2025

Ernst & Young
27/F, One Taikoo Place
979 King's Road
Quarry Bay, Hong Kong

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Independent auditor's report
To the members of FWD Life Insurance Company (Bermuda) Limited
富衛人壽保險（百慕達）有限公司
(Incorporated in Bermuda with limited liability)

Opinion

We have audited the financial statements of FWD Life Insurance Company (Bermuda) Limited (the "Company") set out on pages 6 to 120, which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss, the statement of comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31 December 2024, and of its financial performance and its cash flows for the year then ended in accordance with Hong Kong Financial Reporting Standards ("HKFRSs") issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA").

Basis for opinion

We conducted our audit in accordance with Hong Kong Standards on Auditing ("HKSAs") issued by the HKICPA. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the Company in accordance with the HKICPA's *Code of Ethics for Professional Accountants* (the "Code"), and we have fulfilled our other ethical responsibilities in accordance with the Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and auditor's report thereon

The directors are responsible for the other information. The other information comprises the information included in the report of the directors, other than the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of the financial statements that give a true and fair view in accordance with HKFRSs issued by the HKICPA, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Our report is made solely to you, as a body, in accordance with section 90 of the Bermuda Companies Act 1981, and for no other purpose. We do not assume responsibility towards or accept liability to any other person for the contents of this report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with HKSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with HKSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the board of directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



Certified Public Accountants
Hong Kong
27 March 2025

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司
STATEMENT OF PROFIT OR LOSS

US$'000	Notes	Year ended 31 December 2024	2023
Insurance revenue	4	870,383	882,502
Insurance service expenses	6,13	(568,867)	(641,911)
Net expenses from reinsurance contracts held	13	(11,723)	(6,262)
Insurance service result		289,793	234,329
Interest revenue on			
Financial assets not measured at fair value through profit or loss		482,031	432,186
Financial assets measured at fair value through profit or loss		33,376	44,430
Other investment losses		(145,153)	(156,089)
Net impairment loss on financial assets		(7,842)	(2,754)
Investment return	5	362,412	317,773
Net finance expenses from insurance contracts		(334,091)	(448,136)
Net finance (expenses)/income from reinsurance contracts held		(10,079)	4,403
Movement in investment contract liabilities		(974)	3,727
Net investment result	5	17,268	(122,233)
Net insurance and investment result		307,061	112,096
Other revenue	4	22,634	42,627
General and other expenses	6	(80,779)	(105,826)
Finance costs	7	(6,561)	(15,035)
Profit before tax		242,355	33,862
Income tax	8	(95,753)	63,111
Profit for the year		146,602	96,973

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司
STATEMENT OF COMPREHENSIVE INCOME

US$'000	Year ended 31 December 2024	2023
Profit for the year	146,602	96,973
OTHER COMPREHENSIVE INCOME		
Items that may be reclassified subsequently to profit or loss		
Fair value (losses)/gains on debt securities at fair value through other comprehensive income	(466,703)	858,764
Fair value losses/(gains) on debt securities at fair value through other comprehensive income transferred to profit or loss on disposal and impairment	386,994	(265,561)
Net finance income/(expenses) from insurance contracts	59,390	(387,768)
Net finance expenses from reinsurance contracts held	(7,684)	(4,949)
Cash flow hedges	5,066	60
Foreign currency translation adjustments	—	274
Related income tax	(6,989)	(10,400)
Total other comprehensive (loss)/income	(29,926)	190,420
Total comprehensive income	116,676	287,393

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司
STATEMENT OF FINANCIAL POSITION

US$'000	Notes	As at 31 December 2024	2023
ASSETS			
Intangible assets	11	972	975
Property, plant and equipment	9	22,391	14,628
Right-of-use assets	10	49,300	63,648
Investments in subsidiaries	12	1,322,931	1,272,164
Insurance contract assets	13	77,150	61,577
Reinsurance contract assets	13	475,425	325,358
Financial investments	14,16		
At fair value through other comprehensive income			
Debt securities		11,222,746	9,810,514
At fair value through profit or loss			
Debt securities		867,962	644,149
Equity securities		104,800	91,249
Interests in investment funds		4,261,173	4,768,888
Derivative financial instruments	15	51,774	27,450
Loans and deposits		4,246	5,222
		16,512,701	15,347,472
Deferred tax assets	8	121,348	50,516
Prepayments, deposits and other receivables	17	211,686	196,406
Due from an immediate holding company	25	—	5
Due from subsidiaries	25	27,674	24,661
Due from fellow subsidiaries	25	42,961	37,582
Due from related companies	25	2,084	2,072
Cash and cash equivalents	18	505,866	352,777
Total assets		19,372,489	17,749,841
LIABILITIES			
Insurance contract liabilities	13	15,454,063	13,856,243
Reinsurance contract liabilities	13	177,758	141,686
Investment contract liabilities	19	32,418	56,375
Derivative financial instruments	15	155,973	65,819
Lease liabilities	21	52,260	64,762
Current tax liabilities		111,808	67,085
Other liabilities	20	342,421	295,251
Due to intermediate holding company	25	3,457	2,498
Due to subsidiaries	25	245,222	245,223
Due to fellow subsidiaries	25	14,505	19,041
Due to related companies	25	3,101	1,604
Total liabilities		16,592,986	14,815,587

STATEMENT OF FINANCIAL POSITION (continued)

US$'000	Notes	As at 31 December 2024	2023
EQUITY			
Share capital	22.1	1,855,893	1,829,602
Share option reserve		13,887	13,605
Retained earnings		1,083,957	1,235,355
Fair value reserve		(1,303,936)	(1,226,353)
Insurance finance reserve		1,141,184	1,097,757
Cash flow hedge reserve		(11,756)	(15,986)
Foreign currency translation reserve	22.2	274	274
Total equity		2,779,503	2,934,254
Total liabilities and equity		19,372,489	17,749,841

Approved and authorised for issue by the board of directors on 27 March 2025

Lau Chi Kin
DIRECTOR

Damis Jacobus Ziengs
DIRECTOR

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司
STATEMENT OF CHANGES IN EQUITY

US$'000	Notes	Share Capital	Share option reserve	Retained earnings	Fair value reserve	Insurance finance reserve	Cash flow hedge reserve	Foreign currency translation reserve	Total equity
Balance as at 1 January 2024		1,829,602	13,605	1,235,355	(1,226,353)	1,097,757	(15,986)	274	2,934,254
Profit for the year		—	—	146,602	—	—	—	—	146,602
Other comprehensive income items that may be reclassified subsequently to profit or loss									
Fair value losses on debt securities at fair value through other comprehensive income		—	—	—	(466,703)	—	—	—	(466,703)
Fair value losses on debt securities at fair value through other comprehensive income transferred to profit or loss on disposal and impairment		—	—	—	386,994	—	—	—	386,994
Net finance income from insurance contracts		—	—	—	—	59.390	—	—	59.390
Net finance expenses from reinsurance contracts held		—	—	—	—	(7,684)	—	—	(7,684)
Cash flow hedges		—	—	—	—	—	5,066	—	5,066
Related income tax		—	—	—	2,126	(8,279)	(836)	—	(6,989)
Total comprehensive income for the period		—	—	146,602	(77,583)	43,427	4,230	—	116,676
Issue of ordinary shares	22.1	26,291	—	—	—	—	—	—	26,291
Dividend paid	22.3	—	—	(298,000)	—	—	—	—	(298,000)
Equity-settled share option arrangements	23	—	282	—	—	—	—	—	282
Balance as at 31 December 2024		1,855,893	13,887	1,083,957	(1,303,936)	1,141,184	(11,756)	274	2,779,503

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司
STATEMENT OF CHANGES IN EQUITY (continued)

US$'000	Notes	Share Capital	Share option reserve	Retained earnings	Fair value reserve	Insurance finance reserve	Cash flow hedge reserve	Foreign currency translation reserve	Total equity
Balance as at 1 January 2023		1,784,143	13,408	1,138,382	(1,744,370)	1,425,678	(16,036)	—	2,601,205
Profit for the year		—	—	96,973	—	—	—	—	96,973
Other comprehensive income items that may be reclassified subsequently to profit or loss									
Fair value gains on debt securities at fair value through other comprehensive income		—	—	—	858,764	—	—	—	858,764
Fair value gains on debt securities at fair value through other comprehensive income transferred to profit or loss on disposal and impairment		—	—	—	(265,561)	—	—	—	(265,561)
Net finance expenses from insurance contracts		—	—	—	—	(387,768)	—	—	(387,768)
Net finance expenses from reinsurance contracts held		—	—	—	—	(4,949)	—	—	(4,949)
Cash flow hedges		—	—	—	—	—	60	—	60
Foreign currency translation adjustments		—	—	—	—	—	—	274	274
Related income tax		—	—	—	(75,186)	64,796	(10)	—	(10,400)
Total comprehensive income for the period		—	—	96,973	518,017	(327,921)	50	274	287,393
Issue of ordinary shares	22.1	45,459	—	—	—	—	—	—	45,459
Equity-settled share option arrangements	23	—	197	—	—	—	—	—	197
Balance as at 31 December 2023		1,829,602	13,605	1,235,355	(1,226,353)	1,097,757	(15,986)	274	2,934,254

FWD LIFE INSURANCE COMPANY (BERMUDA) LIMITED
富衛人壽保險(百慕達)有限公司

STATEMENT OF CASH FLOWS

US$'000	Notes	Year ended 31 December 2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before tax		242,355	33,862
Adjustments for:			
Insurance and reinsurance contract balances		1,519,958	449,235
Investment contract liabilities		(23,957)	(55,759)
Other non-cash operating items, including investment income and the effect of exchange rate changes on certain operating items		(284,238)	(331,461)
Operating cash items:			
Dividend received		171,552	176,241
Interest received		503,976	470,554
Investment expenses paid		(28,372)	(23,610)
Finance cost paid		(2,711)	(2,244)
Income tax paid		(128,852)	(50,079)
Payments for purchase of financial assets		(11,729,193)	(5,639,939)
Proceeds from disposal of financial assets		10,261,252	5,411,973
Decrease in amount due from an immediate holding company		5	—
Increase in amount due from subsidiaries		(3,013)	(10,589)
Increase in amount due from fellow subsidiaries		(5,379)	(9,456)
Decrease/(increase) in amount due from related companies		(12)	1,686
Increase in amount due to intermediate holding company		959	1,285
(Decrease)/increase in amount due to subsidiaries		(1)	6,415
Decrease in amount due to fellow subsidiaries		(4,536)	(11,633)
Increase/(decrease) in amount due to related companies		1,497	(383)
Net cash generated from operating activities		**491,290**	**416,098**
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of items of property, plant and equipment		(17,409)	(7,276)
Proceeds from change in lease terms on contracts		—	337
Capital contribution to subsidiaries		(44,308)	(68,936)
Net cash used in investing activities		**(61,717)**	**(75,875)**

STATEMENT OF CASH FLOWS (continued)

US$'000	Notes	Year ended 31 December 2024	2023
CASH FLOWS FROM FINANCING ACTIVITIES			
Issuance of ordinary shares	22.1	26,291	45,459
Dividend paid	22.3	(298,000)	—
Proceeds from/(payments to) repurchase agreements		16,157	(228,483)
Principal portion of lease payments		(17,082)	(17,436)
Finance costs paid on repurchase agreements		(3,850)	(12,791)
Net cash used in financing activities		**(276,484)**	**(213,251)**
NET INCREASE IN CASH AND CASH EQUIVALENTS		153,089	126,972
Cash and cash equivalents at beginning of the year		352,777	225,805
CASH AND CASH EQUIVALENTS AT END OF YEAR		505,866	352,777
Included in cash and cash equivalents per the statements of financial position	18	505,866	352,777

1 CORPORATE INFORMATION

1.1 General information

FWD Life Insurance Company (Bermuda) Limited (the "Company") is incorporated in Bermuda and registered in Hong Kong to carry on long term insurance business. The principal place of business of the Company in Hong Kong is located at 18th Floor, Devon House, Taikoo Place, 979 King's Road, Hong Kong. The principal activity of the Company is the direct underwriting of long term life insurance business. The controlling party of the Company is FWD Management Holdings Limited, a company incorporated in Hong Kong.

As at 31 December 2024 and 2023, the ultimate holding company of the Company was PCGI Holdings Limited. PCGI Holdings Limited is wholly owned by Mr. Li Tzar Kai, Richard, the ultimate controlling shareholder of the Company (the "Ultimate Controlling Shareholder").

1.2 Statement of compliance

These financial statements have been prepared in accordance with Hong Kong Financial Reporting Standards ("HKFRSs") (which include all Hong Kong Financial Reporting Standards, Hong Kong Accounting Standards ("HKASs") and Interpretations) issued by the Hong Kong Institute of Certified Public Accountants ("HKICPA").

2 MATERIAL ACCOUNTING POLICIES

2.1 Basis of preparation

The financial statements have been prepared under the historical cost convention, except as stated in the accounting policy set out below. These financial statements are presented in United States dollars ("US$") and all values are rounded to the nearest thousand ("US$'000") except when otherwise indicated.

In accordance with the criteria set out in paragraph 4(a) of HKFRS 10, Consolidated Financial Statements, the Company is exempt from the preparation of consolidated financial statements because FWD Group Holdings Limited, which is the intermediate holding company of the Company and incorporated in Cayman Islands, produces consolidated financial statements in accordance with International Financial Reporting Standards that are available for public use. The Company presents separate financial statements.

The accounting policies adopted are consistent with those followed in the financial statements for the year ended 31 December 2024, except as described as follows.

(a) Voluntary change in accounting policy

HKFRS 9, "Financial Instruments" on hedge accounting

The requirements under HKFRS 9 related to hedge accounting better aligns the accounting treatments with risk management activities and enable the Company to better reflect these activities in the financial statements. It relaxes the requirements for assessing hedge effectiveness which may enable more risk management strategies to be eligible for hedge accounting. It also relaxes the rules on using non-derivative financial instruments as hedging instruments and allows greater flexibility on hedged items. Users of the financial statements will be provided with more relevant information about the effect of hedge accounting on the financial statements. The Company has chosen to prospectively apply HKFRS 9 hedge accounting from 1 July 2024 except for:

- The accounting for the forward element of forward contracts is applied retrospectively, for contracts where only the change in the spot element of a forward contract was designated as a hedging instrument in a hedging relationship when HKAS 39 was applied;
- The accounting for foreign currency basis spreads is applied retrospectively for hedging relationships that existed at the beginning of the earliest comparative period or were designated thereafter.

After assessment, the application does not have a material impact on the Company's financial statements, no restatement is required.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.1 Basis of preparation (continued)

(b) Mandatory for the year ended 31 December 2024

The Company has adopted the following revised HKFRSs, which are applicable to the Company for the first time in the current year's financial statements.

Amendments to HKFRS 16	Lease Liability in a Sale and Leaseback
Amendments to HKAS 1	Classification of Liabilities as Current or Non-current (the "2020 Amendments")
Amendments to HKAS 1	Non-current Liabilities with Covenants (the "2022 Amendments")

Amendments to HKFRS 16 Lease Liability in a Sale and Leaseback
Amendments to HKFRS 16 specify the requirements that a seller-lessee uses in measuring the lease liability arising in a sale and leaseback transaction to ensure the seller-lessee does not recognise any amount of the gain or loss that relates to the right of use it retains. Since the Company has no sale and leaseback transactions with variable lease payments that do not depend on an index or a rate occurring from the date of initial application of HKFRS 16, the amendments did not have any impact on the financial position or performance of the Company.

Amendments to HKAS 1 Classification of Liabilities as Current or Non-current and Amendments to HKAS 1 Non-current Liabilities with Covenants
The 2020 Amendments clarify the requirements for classifying liabilities as current or non-current, including what is meant by a right to defer settlement and that a right to defer must exist at the end of the reporting period. Classification of a liability is unaffected by the likelihood that the entity will exercise its right to defer settlement. The amendments also clarify that a liability can be settled in its own equity instruments, and that only if a conversion option in a convertible liability is itself accounted for as an equity instrument would the terms of a liability not impact its classification. The 2022 Amendments further clarify that, among covenants of a liability arising from a loan arrangement, only those with which an entity must comply on or before the reporting date affect the classification of that liability as current or non-current. Additional disclosures are required for non-current liabilities that are subject to the entity complying with future covenants within 12 months after the reporting period.

The Company has reassessed the terms and conditions of its liabilities as at 1 January 2023 and 2024 and concluded that the classification of its liabilities as current or non-current remained unchanged upon initial application of the amendments. Accordingly, the amendments did not have any impact on the financial position or performance of the Company.

(c) Issued but not yet effective and have not been early adopted for the year ended 31 December 2024

The Company has not early applied any of the new and revised HKFRSs that have been issued but are not yet effective for the accounting year ended 31 December 2024 in these financial statements. Among these new and revised HKFRSs, the following are expected to be relevant to the Company's financial statements upon becoming effective:

HKFRS 18	Presentation and Disclosure in Financial Statements[2]
HKFRS 19	Subsidiaries without Public Accountability: Disclosures[2]
Amendments to HKFRS 9 and HKFRS 7	Amendments to the Classification and Measurement of Financial Instruments[1]
Annual Improvements to HKFRS Accounting Standards – Volume 11	Amendments to HKFRS 1, HKFRS 7, HKFRS 9, HKFRS 10 and HKAS 7[1]

[1] Effective for annual periods beginning on or after 1 January 2026
[2] Effective for annual/reporting periods beginning on or after 1 January 2027

2 MATERIAL ACCOUNTING POLICIES (continued)

2.1 Basis of preparation (continued)

(c) Issued but not yet effective and have not been early adopted for the year ended 31 December 2024 (continued)

HKFRS 18 replaces HKAS 1 Presentation of Financial Statements. While a number of sections have been brought forward from HKAS 1 with limited changes, HKFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals. Entities are required to classify all income and expenses within the statement of profit or loss into one of the five categories: operating, investing, financing, income taxes and discontinued operations and to present two new defined subtotals. It also requires disclosures about management-defined performance measures in a single note and introduces enhanced requirements on the grouping (aggregation and disaggregation) and the location of information in both the primary financial statements and the notes. Some requirements previously included in HKAS 1 are moved to HKAS 8 Accounting Policies, Changes in Accounting Estimates and Errors, which is renamed as HKAS 8 Basis of Preparation of Financial Statements. As a consequence of the issuance of HKFRS 18, limited, but widely applicable, amendments are made to HKAS 7 Statement of Cash Flows, HKAS 33 Earnings per Share and HKAS 34 Interim Financial Reporting. In addition, there are minor consequential amendments to other HKFRSs. HKFRS 18 and the consequential amendments to other HKFRSs are effective for annual periods beginning on or after 1 January 2027 with earlier application permitted. Retrospective application is required. The Company is currently analysing the new requirements and assessing the impact of HKFRS 18 on the presentation and disclosure of the Company's financial statements.

HKFRS 19 allows eligible entities to elect to apply reduced disclosure requirements while still applying the recognition, measurement and presentation requirements in other HKFRSs. To be eligible, at the end of the reporting period, an entity must be a subsidiary as defined in HKFRS 10 Consolidated Financial Statements, cannot have public accountability and must have a parent (ultimate or intermediate) that prepares consolidated financial statements available for public use which comply with HKFRSs. Earlier application is permitted. The Company is currently considering the application of HKFRS 19 in the financial statements.

Amendments to HKFRS 9 and HKFRS 7 clarify the date on which a financial asset or financial liability is derecognised and introduce an accounting policy option to derecognise a financial liability that is settled through an electronic payment system before the settlement date if specified criteria are met. The amendments clarify how to assess the contractual cash flow characteristics of financial assets with environmental, social and governance and other similar contingent features. Moreover, the amendments clarify the requirements for classifying financial assets with non-recourse features and contractually linked instruments. The amendments also include additional disclosures for investments in equity instruments designated at fair value through other comprehensive income and financial instruments with contingent features. The amendments shall be applied retrospectively with an adjustment to opening retained profits (or other component of equity) at the initial application date. Prior periods are not required to be restated and can only be restated without the use of hindsight. Earlier application of either all the amendments at the same time or only the amendments related to the classification of financial assets is permitted. The amendments are not expected to have any significant impact on the Company's financial statements.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.1 Basis of preparation (continued)

(c) Issued but not yet effective and have not been early adopted for the year ended 31 December 2024 (continued)

Annual Improvements to HKFRS Accounting Standards – Volume 11 set out amendments to HKFRS 1, HKFRS 7 (and the accompanying *Guidance on implementing HKFRS 7*), HKFRS 9, HKFRS 10 and HKAS 7. Details of the amendments that are expected to be applicable to the Company are as follows:

- HKFRS 7 *Financial Instruments: Disclosures*: The amendments have updated certain wording in paragraph B38 of HKFRS 7 and paragraphs IG1, IG14 and IG20B of the *Guidance on implementing HKFRS 7* for the purpose of simplification or achieving consistency with other paragraphs in the standard and/or with the concepts and terminology used in other standards. In addition, the amendments clarify that the *Guidance on implementing HKFRS 7* does not necessarily illustrate all the requirements in the referenced paragraphs of HKFRS 7 nor does it create additional requirements. Earlier application is permitted. The amendments are not expected to have any significant impact on the Company's financial statements.

- HKFRS 9 *Financial Instruments*: The amendments clarify that when a lessee has determined that a lease liability has been extinguished in accordance with HKFRS 9, the lessee is required to apply paragraph 3.3.3 of HKFRS 9 and recognise any resulting gain or loss in profit or loss. In addition, the amendments have updated certain wording in paragraph 5.1.3 of HKFRS 9 and Appendix A of HKFRS 9 to remove potential confusion. Earlier application is permitted. The amendments are not expected to have any significant impact on the Company's financial statements.

- HKFRS 10 *Consolidated Financial Statements*: The amendments clarify that the relationship described in paragraph B74 of HKFRS 10 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor, which removes the inconsistency with the requirement in paragraph B73 of HKFRS 10. Earlier application is permitted. The amendments are not expected to have any significant impact on the Company's financial statements.

- HKAS 7 *Statement of Cash Flows*: The amendments replace the term "cost method" with "at cost" in paragraph 37 of HKAS 7 following the prior deletion of the definition of "cost method". Earlier application is permitted. The amendments are not expected to have any impact on the Company's financial statements.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts

Consistent accounting policies for the measurement and recognition of insurance and investment contracts have been adopted throughout the Company.

(1) Product classification

The Company classifies its contracts written including reinsurance issued or reinsurance contracts held as either insurance contracts or investment contracts, depending on the level of insurance risk. Insurance contracts are those contracts that transfer significant insurance risk, while investment contracts are those contracts without significant insurance risk. The significance of insurance risk is dependent on both the probability of an insured event and the magnitude of its potential effect. Some insurance and investment contracts, referred to as participating business, have discretionary participation features, "DPF", which may entitle the customer to receive, as a supplement to guaranteed benefits, additional non-guaranteed benefits, such as policyholder dividends or bonuses. The Company applies the same accounting policies for the recognition and measurement of obligations arising from investment contracts with DPF as it does for insurance contracts. The Company refers to such contracts as participating business.

In the event that a scenario (other than those lacking commercial substance) exists in which an insured event would require the Company to pay significant additional benefits to its customers, the contract is accounted for as an insurance contract. For investment contracts that do not contain DPF, *HKFRS 9 Financial Instruments*, and, if the contract includes an investment management element, *HKFRS 15, Revenue from contracts with customers,* are applied. Once a contract has been classified as an insurance contract reclassification is not subsequently performed unless the terms of the agreements are later amended.

Certain insurance and investment contracts with DPF supplement the amount of guaranteed benefits due to policyholders. These contracts are distinct from other insurance and investment contracts as the Company has discretion in the amount and/or timing of the benefits declared, and how such benefits are allocated between groups of policyholders. Customers may be entitled to receive, as a supplement to guaranteed benefits, additional benefits or bonuses:

- that are likely to be a significant portion of the total contractual benefits;
- whose amount or timing is contractually at the discretion of the Company; and
- that are contractually based on:
  - the performance of a specified pool of contracts or a specified type of contract;
  - realised and/or unrealised investment returns on a specified pool of assets held by the issuer; or
  - the profit or loss of the entity, fund or other entity that issues the contract.

Insurance contracts are classified as direct participating contracts or contracts without direct participation features. Direct participating contracts measured under the variable fee approach ("VFA") are contracts for which, at inception:

- the contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items;
- the Company expects to pay to the policyholder an amount equal to a substantial share of the fair value returns on the underlying items; and
- the Company expects a substantial proportion of any change in the amounts to be paid to the policyholder to vary with the change in fair value of the underlying items.

All other insurance contracts and all reinsurance contracts held are classified as contracts without direct participation features. Some of these contracts are measured under the premium allocation approach ("PAA").

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

The Company's products may be divided into the following main categories:

		Basis of accounting for:	
Policy type	Description of benefits payable	Insurance contract liabilities	Investment contract
Traditional participating life assurance with DPF	Participating funds Participating products include protection and savings element. The basic sum assured, payable on death or maturity, may be enhanced by dividends or bonuses, the aggregate amount of which is determined by the performance of a distinct fund of assets and liabilities. The timing and bonus declarations is at the discretion of the insurer. Local regulators generally prescribed a minimum proportion of policyholder participation in declared dividend.	Insurance contracts liabilities make provision for the present value of guaranteed benefits, non-guaranteed participation and future administrative expenses that are directly attributable to the contract less estimated future gross premiums to be collected from policyholders. In addition, a contractual service margin representing the unearned profit the Company will recognise as it provides service to the contract is recognised.	Not applicable, as contracts with DPF are accounted for as insurance contracts under HKFRS 17.
	Other participating business Participating products include protection and savings elements. The basic sum assured, payable on death or maturity, may be enhanced by dividends or bonuses, the timing or amount of which are at the discretion of the insurer taking into account factors such as investment experience.	Insurance contract liabilities make provision for the present value of guaranteed benefits, non-guaranteed participation and future administrative expenses that are directly attributable to the contract less estimated future gross premiums to be collected from policyholders. In addition, a contractual service margin representing the unearned profit the Company will recognise as it provides service to the contract is recognised.	Not applicable, as contracts with DPF are accounted for as insurance contracts under HKFRS 17.
Non-participating life assurance, annuities and other protection products	Benefits payable are not at the discretion of the insurer	Insurance contract liabilities reflect the present value of future policy benefits to be paid and the future administration expenses that are directly attributable to the contract, less the present value of estimated future gross premiums to be collected from policyholders. In addition, a contractual service margin representing the unearned profit the Company will recognise as it provides service to the contract is recognised.	Investment contract liabilities without DPF are measured at amortised cost
Universal life	Benefits are based on an account balance, credited with interest at a rate set by the insurer, and a death benefit, which may be varied by the customer.	Insurance contract liabilities reflect the present value of future policy benefits to be paid and the future administration expenses that are directly attributable to the contract, less the present value of estimated future gross premiums to be collected from policyholders. In addition, a contractual service margin representing the unearned profit the Company will recognise as it provides service to the contract is recognised.	Not applicable as such contracts generally contain significant insurance risk
Unit-linked	These may be primarily savings products or may combine savings with an element of protection	Insurance contract liabilities reflect the present value of future policy benefits to be paid and the future administration expenses that are directly attributable to the contract, less the present value of estimated future gross premiums to be collected from policyholders. In addition, a contractual service margin representing the unearned profit the Company will recognise as it provides service to the contract is recognised.	Investment contract liabilities are measured at fair value (determined with reference to the accumulation value)

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF

(1) Separating components from insurance and reinsurance contracts issued

At inception, the Company separates the following components from an insurance or reinsurance contract and accounts for them as if they were stand-alone financial instruments:

- derivatives embedded in the contract whose economic characteristics and risks are not closely related to those of the host contract, and whose terms would not meet the definition of an insurance or reinsurance contract as a stand-alone instrument; and
- distinct investment components: i.e. investment components that are not highly inter-related with the insurance components and for which contracts with equivalent terms are sold, or could be sold, separately in the same market or the same jurisdiction.

After separating any financial instrument components, the Company separates any promises to transfer to policyholders distinct goods or services other than insurance coverage and investment services and accounts for them as separate contracts with customers (i.e. not as insurance contracts). A good or service is distinct if the policyholder can benefit from it either on its own or with other resources that are readily available to the policyholder. A good or service is not distinct and is accounted for together with the insurance component if the cash flows and risks associated with the good or service are highly inter-related with the cash flows and risks associated with the insurance component, and the Company provides a significant service of integrating the good or service with the insurance component.

(2) Aggregation and recognition of insurance and reinsurance contracts issued

Insurance contracts are aggregated into groups for measurement purposes. Groups of insurance contracts are determined by identifying portfolios of insurance contracts, each comprising contracts subject to similar risks and managed together, and dividing each portfolio into annual cohorts (i.e. by year of issue) and each annual cohort into three groups based on the profitability of contracts:

- any contracts that are onerous on initial recognition;
- any contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently; and
- any remaining contracts in the annual cohort.

An insurance contract issued by the Company is recognised from the earliest of:

- the beginning of its coverage period (i.e. the period during which the Company provides services in respect of any premiums within the boundary of the contract);
- when the first payment from the policyholder becomes due or, if there is no contractual due date, when it is received from the policyholder; and
- when facts and circumstances indicate that the contract is onerous.

An insurance contract acquired in a transfer of contracts or a business combination is recognised on the date of acquisition.
When the contract is recognised, it is added to an existing group of contracts or, if the contract does not qualify for inclusion in an existing group, it forms a new group to which future contracts are added. Groups of contracts are established on initial recognition and their composition is not revised once all contracts have been added to the group.

(3) Insurance acquisition cash flows

Insurance acquisition cash flows are allocated to groups of insurance contracts using a systematic and rational method and considering, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort.

If insurance acquisition cash flows are directly attributable to a group of contracts, then they are allocated to that group and to the groups that will include renewals of those contracts. The Company expects to recover part of the related insurance acquisition cash flows through renewals of these contracts. The allocation to renewals is based on the manner in which the Company expects to recover those cash flows.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(3) Insurance acquisition cash flows (continued)

If insurance acquisition cash flows are directly attributable to a portfolio but not to a group of contracts, then they are allocated to groups in the portfolio using a systematic and rational method.

Insurance acquisition cash flows arising before the recognition of the related group of contracts are recognised as an asset. Insurance acquisition cash flows arise when they are paid or when a liability is required to be recognised under a standard other than HKFRS 17. Such an asset is recognised for each group of contracts to which the insurance acquisition cash flows are allocated.

The asset is derecognised, fully or partially, when the insurance acquisition cash flows are included in the measurement of the group of contracts.

When the Company acquires insurance contracts in a transfer of contracts or a business combination, at the date of acquisition it recognises an asset for insurance acquisition cash flows at fair value for the rights to obtain:

- renewals of contracts recognised at the date of acquisition; and
- other future contracts after the date of acquisition without paying again insurance acquisition cash flows that the acquiree has already paid.

At each reporting date, the Company revises the amounts allocated to groups to reflect any changes in assumptions that determine the inputs to the allocation method used. Amounts allocated to a group are not revised once all contracts have been added to the group.

Recoverability assessment

At each reporting date, if facts and circumstances indicate that an asset for insurance acquisition cash flows may be impaired, then the Company:

a. recognises an impairment loss in profit or loss so that the carrying amount of the asset does not exceed the expected net cash inflow for the related group; and
b. if the asset relates to future renewals, recognises an impairment loss in profit or loss to the extent that it expects those insurance acquisition cash flows to exceed the net cash inflow for the expected renewals and this excess has not already been recognised as an impairment loss under (a).

The Company reverses any impairment losses in profit or loss and increases the carrying amount of the asset to the extent that the impairment conditions have improved.

(4) Contract boundaries

The measurement of a group of contracts includes all of the future cash flows within the boundary of each contract in the group. The contract boundary is reassessed at each reporting date to include the effect of changes in circumstances on the Company's substantive rights and obligations and, therefore, may change over time.

Cash flows are within the contract boundary if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay premiums or has a substantive obligation to provide services (including insurance coverage and any investment services).

A substantive obligation to provide services ends when:

- the Company has the practical ability to reassess the risks of the particular policyholder and can set a price or level of benefits that fully reflects those reassessed risks; or
- the Company has the practical ability to reassess the risks of the portfolio that contains the contract and can set a price or level of benefits that fully reflects the risks of that portfolio, and the pricing of the premiums up to the reassessment date does not take into account risks that relate to periods after the reassessment date.

The reassessment of risks considers only risks transferred from policyholders to the Company, which may include both insurance and financial risks.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(5) Measurement – Contracts not measured under the PAA

Initial measurement

On initial recognition, the Company measures a group of insurance contracts as the total of (a) the fulfilment cash flows, which comprise estimates of future cash flows, adjusted to reflect the time value of money and the associated financial risks, and a risk adjustment for non-financial risk; and (b) the Contractual Service Margin, "CSM". The fulfilment cash flows of a group of insurance contracts do not reflect the Company's non-performance risk.

The risk adjustment for non-financial risk for a group of insurance contracts, determined separately from the other estimates, is the compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk.

The CSM of a group of insurance contracts represents the unearned profit that the Company will recognise as it provides services under those contracts. On initial recognition of a group of insurance contracts, if the total of (a) the fulfilment cash flows, (b) any cash flows arising at that date and (c) any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group (including assets for insurance acquisition cash flows under (3)) is a net inflow, then the group is not onerous. In this case, the CSM is measured as the equal and opposite amount of the net inflow, which results in no income or expenses arising on initial recognition.

For groups of contracts acquired in a transfer of contracts or a business combination, the consideration received for the contracts is included in the fulfilment cash flows as a proxy for the premiums received at the date of acquisition. In a business combination, the consideration received is the fair value of the contracts at that date.

If the total is a net outflow, then the group is onerous. In this case, the net outflow is recognised as a loss in profit or loss, or as an adjustment to goodwill or a gain on a bargain purchase if the contracts are acquired in a business combination. A loss component is created to depict the amount of the net cash outflow, which determines the amounts that are subsequently presented in profit or loss as reversals of losses on onerous contracts and are excluded from insurance revenue.

Subsequent measurement

The carrying amount of a group of insurance contracts at each reporting date is the sum of the liability for remaining coverage and the liability for incurred claims. The liability for remaining coverage comprises (a) the fulfilment cash flows that relate to services that will be provided under the contracts in future periods and (b) any remaining CSM at that date. The liability for incurred claims includes the fulfilment cash flows for incurred claims and expenses that have not yet been paid, including claims that have been incurred but not yet reported.

The fulfilment cash flows of groups of insurance contracts are measured at the reporting date using current estimates of future cash flows, current discount rates and current estimates of the risk adjustment for non-financial risk. Changes in fulfilment cash flows are recognised as follows.

Changes relating to future services	Adjusted against the CSM (or recognised in the insurance service result in profit or loss if the group is onerous)
Changes relating to current or past services	Recognised in the insurance service result in profit or loss
Effects of the time value of money, financial risk and changes therein on estimated future cash flows	Recognised as insurance finance income or expenses

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(5) Measurement – Contracts not measured under the PAA (continued)

Subsequent measurement (continued)

The CSM of each group of contracts is calculated at each reporting date as follows.

Insurance contracts without direct participation features

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the year, adjusted for:

- the CSM of any new contracts that are added to the group in the year;
- interest accreted on the carrying amount of the CSM during the year, measured at the discount rates determined on initial recognition;
- changes in fulfilment cash flows that relate to future services, except to the extent that:
  - any increases in the fulfilment cash flows exceed the carrying amount of the CSM, in which case the excess is recognised as a loss in profit or loss and creates a loss component; or
  - any decreases in the fulfilment cash flows are allocated to the loss component, reversing losses previously recognised in profit or loss;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue because of the services provided in the year.

Changes in fulfilment cash flows that relate to future services comprise:

- experience adjustments arising from premiums received in the year that relate to future services and related cash flows, measured at the discount rates determined on initial recognition;
- changes in estimates of the present value of future cash flows in the liability for remaining coverage, measured at the discount rates determined on initial recognition, except for those that arise from the effects of the time value of money, financial risk and changes therein;
- differences between (a) any investment component expected to become payable in the year, determined as the payment expected at the start of the year plus any insurance finance income or expenses related to that expected payment before it becomes payable; and (b) the actual amount that becomes payable in the year;
- differences between any loan to a policyholder expected to become repayable in the year and the actual amount that becomes repayable in the year; and
- changes in the risk adjustment for non-financial risk that relate to future services.

Changes in discretionary cash flows are regarded as relating to future services and accordingly adjust the CSM.

Direct participation contracts measured under VFA

Direct participating contracts are contracts under which the Company's obligation to the policyholder is the net of:

- the obligation to pay the policyholder an amount equal to the fair value of the underlying items; and
- a variable fee in exchange for future services provided by the contracts, being the amount of the Company's share of the fair value of the underlying items less fulfilment cash flows that do not vary based on the returns on underlying items. The Company provides investment services under these contracts by promising an investment return based on underlying items, in addition to insurance coverage.

When measuring a group of direct participating contracts, the Company adjusts the fulfilment cash flows for the whole of the changes in the obligation to pay policyholders an amount equal to the fair value of the underlying items. These changes do not relate to future services and are recognised in profit or loss. The Company then adjusts any CSM for changes in the amount of the Company's share of the fair value of the underlying items, which relate to future services, as explained below.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(5) Measurement – Contracts not measured under the PAA (continued)

Subsequent measurement (continued)

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the year, adjusted for:

- the CSM of any new contracts that are added to the group in the year;
- the change in the amount of the Company's share of the fair value of the underlying items and changes in fulfilment cash flows that relate to future services, except to the extent that:
  - the Company has applied the risk mitigation option to exclude from the CSM changes in the effect of financial risk on the amount of its share of the underlying items or fulfilment cash flows;
  - a decrease in the amount of the Company's share of the fair value of the underlying items, or an increase in the fulfilment cash flows that relate to future services, exceeds the carrying amount of the CSM, giving rise to a loss in profit or loss (included in insurance service expenses) and creating a loss component; or
  - an increase in the amount of the Company's share of the fair value of the underlying items, or a decrease in the fulfilment cash flows that relate to future services, is allocated to the loss component, reversing losses previously recognised in profit or loss (included in insurance service expenses);
- the effect of any currency exchange differences on the CSM; and
- the amount recognised as insurance revenue because of the services provided in the year.

Changes in fulfilment cash flows not varying based on the return on underlying items that relate to future services include the changes relating to future services specified above for contracts without direct participation features (measured at current discount rates) and changes in the effect of the time value of money and financial risks that do not arise from underlying items – e.g. the effect of financial guarantees.

(6) Measurement – Contracts measured under the PAA

The Company generally uses the PAA to simplify the measurement of groups of contracts in the following circumstances:

- when the coverage period of each contract in the group is one year or less; or
- the Company reasonably expects that the resulting measurement of the liabilities for remaining coverage ("LRC") would not differ materially from the result of applying the accounting policies of contracts not measured under the PAA.

On initial recognition of each group of contracts, the carrying amount of the liability for remaining coverage is measured at the premiums received on initial recognition minus any insurance acquisition cash flows allocated to the group at that date, and adjusted for any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group (including assets for insurance acquisition cash flows for life insurance contracts). For non-life insurance contracts, the Company has chosen to expense insurance acquisition cash flows when they are incurred.

Subsequently, the carrying amount of the liability for remaining coverage is increased by any premiums received and the amortisation of insurance acquisition cash flows recognised as expenses, and decreased by the amount recognised as insurance revenue for services provided and any additional insurance acquisition cash flows allocated after initial recognition. On initial recognition of each group of contracts, the Company expects that the time between providing each part of the services and the related premium due date is no more than a year. Accordingly, the Company has chosen not to adjust the liability for remaining coverage to reflect the time value of money and the effect of financial risk.

If at any time during the coverage period, facts and circumstances indicate that a group of contracts is onerous, then the Company recognises a loss in profit or loss and increases the liability for remaining coverage to the extent that the current estimates of the fulfilment cash flows that relate to remaining coverage exceed the carrying amount of the liability for remaining coverage. The fulfilment cash flows are discounted (at current rates) if the liability for incurred claims is also discounted.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(6) Measurement – Contracts measured under the PAA (continued)

The Company recognises the liability for incurred claims of a group of insurance contracts at the amount of the fulfilment cash flows relating to incurred claims. The future cash flows are discounted (at current rates) unless they are expected to be paid in one year or less from the date the claims are incurred.

(7) Derecognition and contract modification

The Company derecognises a contract when it is extinguished – i.e. when the specified obligations in the contract expire or are discharged or cancelled.

The Company also derecognises a contract if its terms are modified in a way that would have changed the accounting for the contract significantly had the new terms always existed, in which case a new contract based on the modified terms is recognised. If a contract modification does not result in derecognition, then the Company treats the changes in cash flows caused by the modification as changes in estimates of fulfilment cash flows.

On derecognition of a contract from within a group of contracts not measured under the PAA:

- the fulfilment cash flows allocated to the group are adjusted to eliminate those that relate to the rights and obligations derecognised;
- the CSM of the group is adjusted for the change in the fulfilment cash flows, except where such changes are allocated to a loss component; and
- the number of coverage units for the expected remaining services is adjusted to reflect the coverage units derecognised from the group.

If a contract is derecognised because it is transferred to a third party, then the CSM is also adjusted for the premium charged by the third party, unless the group is onerous.

If a contract is derecognised because its terms are modified, then the CSM is also adjusted for the premium that would have been charged had the Company entered into a contract with the new contract's terms at the date of modification, less any additional premium charged for the modification. The new contract recognised is measured assuming that, at the date of modification, the Company received the premium that it would have charged less any additional premium charged for the modification.

(8) Presentation

Portfolios of insurance contracts that are assets and those that are liabilities, and portfolios of reinsurance contracts held that are assets and those that are liabilities, are presented separately in the statement of financial position. Any assets or liabilities recognised for cash flows arising before the recognition of the related group of contracts (including any assets for insurance acquisition cash flows) are included in the carrying amount of the related portfolios of contracts.

The Company disaggregates amounts recognised in the statement of profit or loss and OCI into (a) an insurance service result, comprising insurance revenue and insurance service expenses; and (b) insurance finance income or expenses.

Income and expenses from reinsurance contracts held are presented separately from income and expenses from insurance contracts.

The Company does not disaggregate changes in the risk adjustment for non-financial risk between the insurance service result and insurance finance income or expenses. All changes in the risk adjustment for non-financial risk are included in the insurance service result.

Insurance revenue and insurance service expenses exclude any investment components.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(8) Presentation (continued)

Insurance revenue – Contracts not measured under the PAA

The Company recognises insurance revenue as it satisfies its performance obligations – i.e. as it provides services under groups of insurance contracts. For contracts not measured under the PAA, the insurance revenue relating to services provided for each year represents the total of the changes in the liability for remaining coverage that relate to services for which the Company expects to receive consideration, and comprises the following items:

- A release of the CSM, measured based on coverage units provided.
- Changes in the risk adjustment for non-financial risk relating to current services.
- Claims and other insurance service expenses incurred in the year, generally measured at the amounts expected at the beginning of the year. This includes amounts arising from the derecognition of any assets for cash flows other than insurance acquisition cash flows at the date of initial recognition of a group of contracts, which are recognised as insurance revenue and insurance service expenses at that date.
- Other amounts, such as experience adjustments for premium receipts for current or past services.

In addition, the Company allocates a portion of premiums that relate to recovering insurance acquisition cash flows to each period in a systematic way based on the passage of time. The Company recognises the allocated amount, as insurance revenue and an equal amount as insurance service expenses.

Release of the CSM
The amount of the CSM of a group of insurance contracts that is recognised as insurance revenue in each year is determined by identifying the coverage units in the group, allocating the CSM remaining at the end of the year (before any allocation) equally to each coverage unit provided in the year and expected to be provided in future years, and recognising in profit or loss the amount of the CSM allocated to coverage units provided in the year. The number of coverage units is the quantity of services provided by the contracts in the group, determined by considering for each contract the quantity of benefits provided and its expected coverage period. The coverage units are reviewed and updated at each reporting date.

Services provided by insurance contracts include insurance coverage and, for all direct participating contracts, investment services for managing underlying items on behalf of policyholders. In addition, insurance contracts without direct participation features may also provide investment services for generating an investment return for the policyholder, but only if:

- an investment component exists or the policyholder has a right to withdraw an amount;
- the investment component or withdrawal amount is expected to include an investment return; and
- the Company expects to perform investment activities to generate that investment return.

The expected coverage period reflects expectations of lapses and cancellations of contracts, as well as the likelihood of insured events occurring to the extent that they would affect the expected coverage period. The period of investment services ends no later than the date on which all amounts due to current policyholders relating to those services have been paid.

Insurance revenue – Contracts measured under the PAA

For contracts measured under the PAA, the insurance revenue for each period is the amount of expected premium receipts for providing services in the period. The Company allocates the expected premium receipts to each period by the passage of time.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.1 Life Insurance contracts and investment contracts with DPF (continued)

(8) Presentation (continued)

Loss components

For contracts not measured under the PAA, the Company establishes a loss component of the liability for remaining coverage for onerous groups of insurance contracts. The loss component determines the amounts of fulfilment cash flows that are subsequently presented in profit or loss as "losses/reversals of losses on onerous contracts" and are excluded from insurance revenue when they occur. When the fulfilment cash flows are incurred, they are allocated between the loss component and the liability for remaining coverage excluding the loss component on a systematic basis.

The systematic basis is determined by the proportion of the loss component relative to the total estimate of the present value of the future cash outflows, excluding investment component, plus the risk adjustment for non-financial risk at the beginning of each year (or on initial recognition if a group of contracts is initially recognised in the year).

Changes in fulfilment cash flows relating to future services and changes in the amount of the Company's share of the fair value of the underlying items for direct participating contracts are allocated solely to the loss component. If the loss component is reduced to zero, then any excess over the amount allocated to the loss component creates a new CSM for the group of contracts.

Insurance service expenses

Insurance service expenses arising from insurance contracts are recognised in profit or loss generally as they are incurred. They exclude repayments of investment components and comprise the following items.

- Incurred claims and other insurance service expenses: For some contracts, incurred claims also include premiums waived on detection of critical illness.
- Amortisation of insurance acquisition cash flows: For contracts not measured under the PAA, this is equal to the amount of insurance revenue recognised in the year that relates to recovering insurance acquisition cash flows. For contracts measured under the PAA, other than non-life contracts, the Company amortises insurance acquisition cash flows on a straight-line basis over the coverage period of the group of contracts.
- Losses on onerous contracts and reversals of such losses.
- Adjustments to the liabilities for incurred claims that do not arise from the effects of the time value of money, financial risk and changes therein.
- Impairment losses on assets for insurance acquisition cash flows and reversals of such impairment losses.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.2 Reinsurance contracts held

To the extent that reinsurance contracts held principally transfer financial risk (as opposed to insurance risk) they are accounted for directly through the statements of financial position and are not included in reinsurance assets or liabilities. A deposit asset or liability is recognised, based on the consideration paid or received less any explicitly identified premiums or fees to be retained by the reinsured.

For reinsurance contracts held that transferred significant insurance risk, they are accounted for as follows.

(1) Aggregation and recognition of reinsurance contracts held

Groups of reinsurance contracts held are established such that each group comprises a single contract. Some reinsurance contracts held provide cover for underlying contracts that are included in different groups. However, the Company concludes that the reinsurance contract's legal form of a single contract reflects the substance of the Company's contractual rights and obligations, considering that the different covers lapse together and are not sold separately. As a result, the reinsurance contract is not separated into multiple insurance components that relate to different underlying groups.

A group of reinsurance contracts held is recognised on the following date:

- Reinsurance contracts held initiated by the Company that provide proportionate coverage: The date on which any underlying insurance contract is initially recognised.
- Other reinsurance contracts held initiated by the Company: The beginning of the coverage period of the group of reinsurance contracts held. However, if the Company recognises an onerous group of underlying insurance contracts on an earlier date and the related reinsurance contract was entered into before that earlier date, then the group of reinsurance contracts held is recognised on that earlier date. This applies to the Company's excess of loss and stop loss reinsurance contracts held.
- Reinsurance contracts held acquired: The date of acquisition.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.2 Reinsurance contracts held (continued)

(2) Contract boundaries

The measurement of a group of contracts includes all of the future cash flows within the boundary of each contract in the group. The contract boundary is reassessed at each reporting date to include the effect of changes in circumstances on the Company's substantive rights and obligations and, therefore, may change over time.

Cash flows are within the contract boundary if they arise from substantive rights and obligations that exist during the reporting period in which the Company is compelled to pay amounts to the reinsurer or has a substantive right to receive services from the reinsurer. A substantive right to receive services from the reinsurer ends when the reinsurer:

- has the practical ability to reassess the risks transferred to it and can set a price or level of benefits that fully reflects those reassessed risks; or
- has a substantive right to terminate the coverage.

(3) Measurement – Contracts not measured under the PAA

To measure a group of reinsurance contracts held, the Company applies the same accounting policies as are applied to insurance contracts without direct participation features, with the following modifications.

The carrying amount of a group of reinsurance contracts held at each reporting date is the sum of the asset for remaining coverage and the asset for incurred claims. The asset for remaining coverage comprises (a) the fulfilment cash flows that relate to services that will be received under the contracts in future periods and (b) any remaining CSM at that date.

The Company measures the estimates of the present value of future cash flows using assumptions that are consistent with those used to measure the estimates of the present value of future cash flows for the underlying insurance contracts, with an adjustment for any risk of non-performance by the reinsurer. The effect of the non-performance risk of the reinsurer is assessed at each reporting date and the effect of changes in the non-performance risk is recognised in profit or loss.

The risk adjustment for non-financial risk is the amount of risk being transferred by the Company to the reinsurer.

On initial recognition, the CSM of a group of reinsurance contracts held represents a net cost or net gain on purchasing reinsurance. It is measured as the equal and opposite amount of the total of (a) the fulfilment cash flows, (b) any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the group, (c) any cash flows arising at that date and (d) any income recognised in profit or loss because of onerous underlying contracts recognised at that date. However, if any net cost on purchasing reinsurance coverage relates to insured events that occurred before the purchase of the group, then the Company recognises the cost immediately in profit or loss as an expense.

The carrying amount of the CSM at each reporting date is the carrying amount at the start of the year, adjusted for:

- the CSM of any new contracts that are added to the group in the year;
- interest accreted on the carrying amount of the CSM during the year, measured at the discount rates determined on initial recognition;
- income recognised in profit or loss in the year on initial recognition of onerous underlying contracts;
- reversals of a loss-recovery component to the extent that they are not changes in the fulfilment cash flows of the group of reinsurance contracts held;
- changes in fulfilment cash flows that relate to future services, measured at the discount rates determined on initial recognition, unless they result from changes in fulfilment cash flows of onerous underlying contracts, in which case they are recognised in profit or loss and create or adjust a loss-recovery component;
- the effect of any currency exchange differences on the CSM; and
- the amount recognised in profit or loss because of the services received in the year.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.2 Reinsurance contracts held (continued)

(3) Measurement – Contracts not measured under the PAA (continued)

Reinsurance of onerous underlying insurance contracts

The Company adjusts the CSM of the group to which a reinsurance contract belongs and as a result recognises income when it recognises a loss on initial recognition of onerous underlying contracts, if the reinsurance contract is entered into before or at the same time as the onerous underlying contracts are recognised. The adjustment to the CSM is determined by multiplying:

- the amount of the loss that relates to the underlying contracts; and
- the percentage of claims on the underlying contracts that the Company expects to recover from the reinsurance contracts held.

For reinsurance contracts held acquired in a transfer of contracts or a business combination covering onerous underlying contracts, the adjustment to the CSM is determined by multiplying:

- the amount of the loss component that relates to the underlying contracts at the date of acquisition; and
- the percentage of claims on the underlying contracts that the Company expects at the date of acquisition to recover from the reinsurance contracts held.

For reinsurance contracts acquired in a business combination, the adjustment to the CSM reduces goodwill or increases a gain on a bargain purchase.

If the reinsurance contract held covers only some of the insurance contracts included in an onerous group of contracts, then the Company uses a systematic and rational method to determine the portion of losses recognised on the onerous group of contracts that relates to underlying contracts covered by the reinsurance contract.

A loss-recovery component is created or adjusted for the group of reinsurance contracts held to depict the adjustment to the CSM, which determines the amounts that are subsequently presented in profit or loss as “recoveries/reversals of recoveries of losses from the reinsurance contracts held” and are excluded from the allocation of reinsurance premiums paid.

(4) Measurement – Contracts measured under the PAA

The Company applies the same accounting policies to measure a group of reinsurance contracts held, adapted where necessary to reflect features that differ from those of insurance contracts.

If a loss-recovery component is created for a group of reinsurance contracts held measured under the PAA, then the Company adjusts the carrying amount of the asset for remaining coverage instead of adjusting the CSM.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.2 Reinsurance contracts held (continued)

(5) Derecognition and contract modification

The Company derecognises a contract when it is extinguished – i.e. when the specified obligations in the contract expire or are discharged or cancelled.

The Company also derecognises a contract if its terms are modified in a way that would have changed the accounting for the contract significantly had the new terms always existed, in which case a new contract based on the modified terms is recognised. If a contract modification does not result in derecognition, then the Company treats the changes in cash flows caused by the modification as changes in estimates of fulfilment cash flows.

On derecognition of a contract from within a group of contracts not measured under the PAA:

- the fulfilment cash flows allocated to the group are adjusted to eliminate those that relate to the rights and obligations derecognised;
- the CSM of the group is adjusted for the change in the fulfilment cash flows; and
- the number of coverage units for the expected remaining services is adjusted to reflect the coverage units derecognised from the group.

If a contract is derecognised because it is transferred to a third party, then the CSM is also adjusted for the premium charged by the third party.

If a contract is derecognised because its terms are modified, then the CSM is also adjusted for the premium that would have been charged had the Company entered into a contract with the new contract's terms at the date of modification, less any additional premium charged for the modification. The new contract recognised is measured assuming that, at the date of modification, the Company received the premium that it would have charged less any additional premium charged for the modification.

(6) Presentation

Portfolios of reinsurance contracts held that are assets and those that are liabilities, are presented separately in the statement of financial position. Any assets or liabilities recognised for cash flows arising before the recognition of the related group of contracts are included in the carrying amount of the related portfolios of contracts.

Income and expenses from reinsurance contracts held are presented separately from income and expenses from insurance contracts. Income and expenses from reinsurance contracts held, other than insurance finance income or expenses, are presented on a net basis as "net expenses from reinsurance contracts held" in the insurance service result.

Net expenses from reinsurance contracts held

Net expenses from reinsurance contracts held comprise an allocation of reinsurance premiums paid less amounts recovered from reinsurers.

The Company recognises an allocation of reinsurance premiums paid in profit or loss as it receives services under groups of reinsurance contracts held. For contracts not measured under the PAA, the allocation of reinsurance premiums paid relating to services received for each period represents the total of the changes in the asset for remaining coverage that relate to services for which the Company expects to pay consideration.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.2 Insurance and investment contracts (continued)

2.2.2 Reinsurance contracts held (continued)

For contracts measured under the PAA, the allocation of reinsurance premiums paid for each period is the amount of expected premium payments for receiving services in the period.

For a group of reinsurance contracts held covering onerous underlying contracts, the Company establishes a loss-recovery component of the asset for remaining coverage to depict the recovery of losses recognised:

- on recognition of onerous underlying contracts, if the reinsurance contract covering those contracts is entered into before or at the same time as those contracts are recognised; and
- for changes in fulfilment cash flows of the group of reinsurance contracts held relating to future services that result from changes in fulfilment cash flows of the onerous underlying contracts.

The loss-recovery component determines the amounts that are subsequently presented in profit or loss as "recoveries/reversals of recoveries of losses from the reinsurance contracts held" and are excluded from the allocation of reinsurance premiums paid. It is adjusted to reflect changes in the loss component of the onerous group of underlying contracts, but it cannot exceed the portion of the loss component of the onerous group of underlying contracts that the Company expects to recover from the reinsurance contracts held.

2.2.3 Investment contracts without DPF

Investment contracts without DPF which do not contain sufficient insurance risk are not considered as insurance contracts and are accounted for as a financial liability.

Revenue from these contracts consists of various charges (policy fees, handling fees, management fees and surrender charges) made against the contract for the cost of insurance, expenses and early surrender. First year charges are amortised over the life of the contract as the services are provided.

(1) Investment contract fee revenue

Customers are charged fees for policy administration, investment management, surrenders or other contract services. The fees may be fixed amounts or vary with the amounts being managed, and will generally be charged as an adjustment to the policyholder's account balance. The fees are recognised as revenue in the period in which they are received unless they relate to services to be provided in future periods, in which case they are deferred and recognised as the service is provided.

Origination and other "upfront" fees (fees that are assessed against the account balance as consideration for origination of the contract) are charged on some non-participating investment and pension contracts. Where the investment contract is measured at fair value, the front-end fees that relate to the provision of investment management services are amortised and recognised as the services are provided.

(2) Investment contract liabilities

Deposits collected and benefit payments under investment contracts without DPF are not accounted for through the statement of profit or loss, except for the investment income and fees attributed to those contracts, but are accounted for directly through the statement of financial position as an adjustment to the investment contract liability, which reflects the account balance.

The majority of the Company's contracts classified as investment contracts are unit-linked contracts, with measurement directly linked to the underlying investment assets, which are portfolios maintained to meet specific investment objectives of policyholders who generally bear the credit and market risks on those investments. The liabilities are carried at fair value determined with reference to the accumulation value (current unit value) and an unearned revenue liability and sales inducement liability where applicable. The costs of policy administration, investment management, surrender charges and certain policyholder taxes assessed against customers' account balances are included in revenue, and accounted for as described under "investment contract fee revenue" above.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments

2.3.1 Classification and measurement of financial instruments

On initial recognition, a financial asset is classified as measured at amortised cost, fair value through other comprehensive income ("FVOCI") or fair value through profit or loss ("FVTPL"). Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

(1) Financial assets at amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are SPPI.

(2) Financial asset is measured at fair value through other comprehensive income

A financial asset is measured at FVOCI if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are SPPI.

Financial asset is measured at FVOCI are initially recognised at fair value plus attributable transaction costs. The difference between the initial recognition amount and par value is amortised. Interest income from FVOCI debt securities is recognised in "interest revenue" in the statement of profit or loss using the effective interest method. FVOCI debt securities are subsequently measured at fair value. Changes in the fair value, except for relevant foreign exchange gains and losses and impairment losses, are recognised in other comprehensive income and accumulated in a separate fair value reserve within equity. Foreign currency translation differences on these debt securities are calculated as if they were carried at amortised cost and are recognised in the statement of profit or loss as investment experience. Impairment losses are recognised in the statement of profit or loss.

On initial recognition of an equity security that is not held for trading, the Company may irrevocably elect to present subsequent changes in fair value in other comprehensive income on an investment-by-investment basis.

(3) Financial assets at fair value through profit or loss

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. In addition, on initial recognition the Company may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Dividend income from equity securities or investment funds at fair value through profit or loss is recognised in "other investment gains/losses" in the statement of profit or loss, generally when the security becomes ex-dividend. Interest income is recognised on an accrued basis. For all financial assets at fair value through profit or loss, changes in fair value are recognised in "other investment gains/losses".

Transaction costs in respect of financial assets and liabilities at fair value through profit or loss are expensed as they are incurred.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.1 Classification and measurement of financial instruments (continued)

(4) Business model assessment

The Company assesses the objective of the business model in which a financial asset is held for each portfolio of financial assets because this best reflects the way that the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice, including whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected); and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Company's stated objective for managing the financial assets is achieved and how cash flows are realised.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Company's continuing recognition of the assets.

For a majority of debt investments, the objective of the Company's business model is to fund insurance contract liabilities. The Company undertakes significant buying and selling activity on a regular basis to rebalance its portfolio of assets and to ensure that contractual cash flows from the financial assets are sufficient to settle insurance contract liabilities. The Company determines that both collecting contractual cash flows as they come due and selling financial assets to maintain the desired asset profile are integral to achieving the business model's objective.

Loans and deposits are held in separate portfolios for long-term yield. These assets may be sold, but such sales are not expected to be more than infrequent. The Company considers that these assets are held within a business model whose objective is to hold assets to collect the contractual cash flows.

(5) Assessment of whether contractual cash flows are SPPI

For the purposes of this assessment, principal is defined as the fair value of the financial asset on initial recognition. However, the principal may change over time – e.g. if there are repayments of principal.

Interest is defined as consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Company considers:

- contingent events that would change the amount or timing of cash flows;
- leverage features;
- prepayment and extension features;
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration for the time value of money (e.g. periodic reset of interest rates).

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.1 Classification and measurement of financial instruments (continued)

(5) Assessment of whether contractual cash flows are SPPI (continued)

A prepayment feature is consistent with the SPPI criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable compensation for early termination of the contract. In addition, for a financial asset acquired at a premium or discount to its contractual par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual par amount plus accrued (but unpaid) contractual interest (which may also include reasonable compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant on initial recognition.

Some prepayment features permit the debtor to prepay the debt instrument at an amount calculated as the remaining contractual cash flows discounted at the current market benchmark interest rate plus a fixed spread. The Company has determined that these prepayment features are consistent with the SPPI criterion. Because the Company would be compensated only for the change in the market benchmark interest rate and for lost interest margin, the prepayment penalty would not include any non-SPPI risks and may be seen as reasonable compensation.

(6) Realised gains and losses on financial assets

Realised gains and losses on FVOCI debt securities are determined as the difference between the sale proceeds and amortised costs and the cumulative gains and losses are reclassified to profit or loss from other comprehensive income.

Cumulative gains and losses recognised in other comprehensive income on FVOCI equity securities are not reclassified to profit or loss but transferred to retained earnings on disposal of an investment.

Purchases and sales of financial instruments are recognised on the trade date, which is the date at which the Company commits to purchase or sell the assets.

(7) Financial liabilities

The Company classifies its financial liabilities, into one of the following categories:

- financial liabilities at FVTPL, and within this category as:
  - held-for-trading;
  - derivative hedging instruments; or
  - designated as at FVTPL; and
- financial liabilities at amortised cost.

The Company has designated investment contract liabilities as at FVTPL on initial recognition if the related assets are measured at FVTPL and the designation eliminates a measurement inconsistency.

All investment contract liabilities have a unit-linking feature whereby the amount due to contract holders is contractually determined on the basis of specified assets. The effect of the unit-linking feature on the fair value of the liability is asset-specific performance risk and not credit risk, and the liabilities are fully collateralised. The Company has determined that any residual credit risk is insignificant and has not had any impact on the fair value of the liabilities.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.1 Classification and measurement of financial instruments (continued)

(8) Derecognition and offset

Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the Company has transferred substantially all risks and rewards of ownership. If the Company neither transfers nor retains substantially all the risks and rewards of ownership of a financial asset, it derecognises the financial asset if it no longer has control over the asset. In transfers where control over the asset is retained, the Company continues to recognise the asset to the extent of its continuing involvement. The extent of continuing involvement is determined by the extent to which the Company is exposed to changes in the fair value of the asset.

Financial liabilities are generally derecognised when their contractual obligations expire or are discharged or cancelled. If the terms of a financial instrument are modified, then the Company evaluates whether the cash flows of the modified financial instrument are substantially different. If the cash flows are substantially different, in which case, a new financial instrument based on the modified terms is recognised at fair value. If a financial instrument measured at amortised cost is modified but not substantially, then it is not derecognised.

Financial assets and liabilities are offset and the net amount reported in the statement of financial position only when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(9) Loans and deposits

Loans and deposits are initially recognised at fair value plus transaction costs. Subsequently, they are carried at amortised cost using the effective interest method less any impairment losses. Interest income from loans and receivables is recognised in “interest revenue” in the statement of profit or loss using the effective interest method .

(10) Cash and cash equivalents and restricted cash

Cash and cash equivalents include cash in hand, deposits held at call with banks and other short-term highly liquid investments with maturities at acquisition of three months or less, which are held for cash management purposes. Cash and cash equivalents also include cash received as collateral for derivative transactions, and repo and reverse repo transactions. Cash and cash equivalents are measured at amortised cost using the effective interest method.

Bank deposits which are restricted to use are included in ‘‘restricted cash’’ within “prepayments, deposits and other receivables” in the statement of financial position. Restricted cash are excluded from cash and cash equivalents.

2.3.2 Fair values of non-derivative financial instruments

The fair value of a financial instrument is the amount that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, having regard to the specific characteristics of the asset or liability concerned, assuming that the transfer takes place in the most advantageous market to which the Company has access. The fair values of financial instruments traded in active markets are based on quoted market prices at the date of the statement of financial position. The quoted market price used for financial assets held by the Company is the current bid price, which is considered to be the price within the bid-ask spread that is most representative of the fair value in the circumstances. The fair values of financial instruments that are not traded in active markets are determined using valuation techniques. The Company uses a variety of methods and makes assumptions that are based on market conditions at each reporting date. The objective of using a valuation technique is to estimate the price at which an orderly transaction would take place between market participants at the date of the statement of financial position.

Financial instruments carried at fair value are measured using a fair value hierarchy described in Note 16.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.3 Impairment of financial assets

(1) General

The Company recognises loss allowances for expected credit loss ("ECL") on financial assets measured at amortised cost and debt investments measured at FVOCI.

The Company measures loss allowances at an amount equal to 12-month ECL, except for Stage 2 and Stage 3 assets where a lifetime ECL is recognised.

ECL is assessed in three stages:

Stage 1: if the financial asset is not credit-impaired upon origination and the credit risk on the financial instrument has not increased significantly since initial recognition, the loss allowance is measured at an amount up to 12-month ECL;

Stage 2: if the financial asset is not credit-impaired upon origination but the credit risk on the financial instrument has increased significantly since initial recognition, the loss allowance is measured at an amount equal to the lifetime ECL. Lifetime ECL results from all possible default events over the expected life of the financial instrument; and

Stage 3: if the financial asset is credit-impaired, with one or more events that have a detrimental impact on the estimated future cash flows of that financial asset have occurred, the loss allowance is also measured at an amount equal to the lifetime ECL.

In all cases, the maximum period considered when estimating ECL is the maximum contractual period over which the Company is exposed to credit risk.

For debt securities at low credit risk at the reporting date, it is assumed that the credit risk has not increased significantly since initial recognition, and hence, the loss allowance is measured at an amount up to 12-month ECL.

(2) Measurement of ECL

ECL is calculated as a probability-weighted forward-looking estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the Company in accordance with the contract and the cash flows that the Company expects to receive).

(3) Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets measured at amortised cost, debt investments at FVOCI and lease receivables are credit-impaired. A financial asset is credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The Company considers a financial asset to be in default when the debtor is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to mitigating actions. The criteria of default are consistent with those of credit-impaired.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.3 Impairment of financial assets (continued)

(3) Credit-impaired financial assets (continued)

Evidence that a financial asset is credit-impaired includes the following observable data:

- significant financial difficulty of the debtor;
- a breach of contract such as a default or past-due event;
- the restructuring of an amount due to the Company on terms that the Company would not otherwise consider;
- the debtor entering bankruptcy or other financial reorganisation becoming probable; or
- the disappearance of an active market for a security because of financial difficulties.

A financial asset that has been renegotiated due to a deterioration in the borrower's condition is usually considered to be credit-impaired unless there is evidence that the risk of not receiving contractual cash flows has reduced significantly and there are no other indicators of impairment.

(4) Presentation of loss allowances in the statement of financial position

Loss allowances for ECL are presented in the statement of financial position as follows:

- financial assets measured at amortised cost: the loss allowance is deducted from the gross carrying amount of the assets; and
- debt investments measured at FVOCI: the loss allowance does not reduce the carrying amount of the financial assets (which are measured at fair value) but gives rise to an equal and opposite gain in OCI.

ECL is recognised as "net impairment loss on financial assets" in the statement of profit or loss.

(5) Write-off

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at the individual asset level.

Although the Company expects no significant recovery from amounts written off, financial assets that are written off could still be subject to enforcement activities and company activities, that may result in recovery of written off amounts.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.4 Derivative financial instruments

Derivative financial instruments primarily include foreign exchange contracts, interest rate swaps and bond forwards that derive their value mainly from underlying foreign exchange rates, interest rates and bond prices. All derivatives are initially recognised in the statement of financial position at their fair value, which represents their cost excluding transaction costs which are expensed. They are subsequently remeasured at their fair value, with movements in this value recognised in profit or loss. Fair values are obtained from quoted market prices or, if these are not available, by using valuation techniques such as discounted cash flow models or option pricing models. All derivatives are carried as assets when the fair values are positive and as liabilities when the fair values are negative.

(1) Derivative instruments for economic hedges

Whilst the Company enters into derivative transactions to provide economic hedges under the Company's risk management framework, it adopts hedge accounting to these transactions only in limited circumstances. This is either because the transactions would not meet the specific HKFRS rules to be eligible for hedge accounting or the documentation requirements to meet hedge accounting criteria would be unduly onerous. Where hedge accounting does not apply, these transactions are treated as held for trading and fair value movements are recognised immediately in "other investment gains/losses".

Any gains or losses arising from changes in fair value of derivatives are taken directly to profit or loss, except for the effective portion of cash flow hedges, which is recognised in other comprehensive income.

(2) Derivative instruments for hedge accounting

For the purpose of hedge accounting, hedges are classified as:

- Fair value hedges when hedging the exposure to changes in the fair value of a recognised asset or liability or an unrecognised firm commitment.
- Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognised asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognised firm commitment.

(i) Fair value hedge

Where a derivative financial instrument is designated as a hedge of the fair value of a recognised asset or liability or an unrecognised firm commitment (or an identified portion of such asset, liability or firm commitment), changes in the fair value of the derivative are recorded in the statement of profit or loss, together with any changes in fair value of the hedged asset or liability that are attributable to the hedged risk.

When a hedging instrument expires or is sold, terminated or exercised, or no longer meets the criteria for hedge accounting; or the Company revokes the designation of the hedge relationship, the cumulative adjustment to the carrying amount of a hedged item for which the effective interest method is used is amortised to the statement of profit or loss over the residual period to maturity.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.3 Financial Instruments (continued)

2.3.4 Derivative financial instruments (continued)

(2) Derivative instruments for hedge accounting (continued)

(ii) Cash flow hedge

Where a derivative financial instrument is designated as a hedge of the variability in cash flows of a recognised asset or liability, or a highly probable forecast transaction or the foreign currency risk of a committed future transaction, the effective portion of changes in the fair value of the derivative is recognised in other comprehensive income and accumulated separately in the hedging reserve under equity. The ineffective portion of any gain or loss is recognised immediately in the statement of profit or loss.

If a hedge of a forecast transaction subsequently results in the recognition of a non-financial asset or a non-financial liability, the associated cumulative gain or loss is removed from equity and included in the initial cost or other carrying amount of the non-financial asset or liability.

If a hedge of a forecast transaction subsequently results in the recognition of a financial asset or a financial liability, the associated cumulative gain or loss is removed from equity and recognised in the statement of profit or loss in the same period or periods during which the asset acquired or liability assumed affects the statement of profit or loss (such as when the interest income or expense is recognised).

For cash flow hedges, other than those covered by the preceding two policy statements, the associated cumulative gain or loss is removed from equity and recognised in the statement of profit or loss in the same period or periods during which the hedged forecast transaction affects the statement of profit or loss.

When a hedging instrument expires or is sold, terminated or exercised, or no longer meets the criteria for hedge accounting, or the Company revokes the designation of the hedge relationship but the hedged forecast transaction is still expected to occur, the associated cumulative gain or loss at that point remains in equity and is recognised in accordance with the above policy when the transaction occurs. If the hedged transaction is no longer expected to occur, the cumulative unrealised gain or loss recognised in equity is recognised immediately in the statement of profit or loss.

(3) Embedded derivatives

Embedded derivatives are derivatives embedded within other non-derivative host financial instruments to create hybrid instruments. When the host contract is a financial asset in the scope of HKFRS 9, the hybrid financial instrument as a whole is assessed for classification and the embedded derivative is not separated from the host contract.

A derivative embedded in a host insurance or reinsurance contract is not accounted for separately from the host contract if the embedded derivative itself meets the definition of an insurance or reinsurance contract.

For other contracts, where the economic characteristics and risks of the embedded derivatives are not closely related to the economic characteristics and risks of the host instrument, and where the hybrid instrument is not measured at fair value with changes in fair value recognised in profit or loss, the embedded derivative is bifurcated and carried at fair value as a derivative in accordance with HKFRS 9.

2.4 Foreign currency translation

(1) Functional and presentation currency

Items included in the financial statements of the Company are measured in the currency of the primary economic environment in which foreign operation and foreign branch operate (the “functional currency”). The financial statements are presented in the United States dollars (“US$”), which is the functional currency of the Company, unless otherwise stated.

(2) Transactions and balances

Statement of profit or loss and cash flows of foreign entities are translated into the Company’s presentation currency at average exchange rates for the period as this approximates to the exchange rates prevailing at the transaction date. Their statements of financial position are translated at year or period end exchange rates.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.4 Foreign currency translation (continued)

Exchange differences arising from the translation of the net investment in foreign operations, are taken to the currency translation reserve within equity. On disposal of a foreign operation, such exchange differences are transferred out of this reserve and are recognised in the statement of profit or loss as part of the gain or loss on sale.

Foreign currency transactions are accounted for at the exchange rates prevailing at the date of the transactions. Gains and losses resulting from the settlement of such transactions, and from the translation of monetary assets and liabilities denominated in foreign currencies into functional currency, are recognised in the statement of profit or loss.

Translation differences on financial assets designated at fair value through profit or loss are included in investment experience. For monetary financial assets classified as FVOCI, translation differences are calculated as if they were carried at amortised cost and so are recognised in the statement of profit or loss. Foreign exchange movements on non-monetary equities that are accounted for as FVOCI are included in the fair value reserve.

2.5 Property, plant and equipment and depreciation

Plant and equipment are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Right-of-use assets in relation to other leased property, plant and equipment are carried at cost less accumulated depreciation. The right-of-use asset in relation to a lease is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

Depreciation is calculated using the straight-line method to allocate cost less any residual value over the estimated useful life, generally:

Leasehold improvements	Over the lease terms
Furniture and fixtures and others	3 - 5 years
Computer equipment	3 - 5 years

Subsequent costs are included in the carrying amount or recognised as a separate asset, as appropriate, when it is probable that future economic benefits will flow to the Company. Repairs and maintenance are charged to the statement of profit or loss during the financial period in which they are incurred.

Residual values and useful lives are reviewed and adjusted, if applicable, at each reporting date. An asset is written down to its recoverable amount if the carrying value is greater than the estimated recoverable amount.

Any gain and loss arising on disposal of property, plant and equipment is measured as the difference between the net sale proceeds and the carrying amount of the relevant asset, and is recognised in the statement of profit or loss.

2.6 Intangible assets

Intangible assets consist primarily of computer software, and are amortised over their estimated useful lives.

Purchased computer software licenses are capitalised on the basis of the costs incurred to purchase and bring to use the specific software. Costs associated with maintaining software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Company are recognised as intangible assets where the following criteria are met:

- it is technically feasible to complete the software so that it will be available for use;
- management intends to complete the software and use or sell it;
- there is an ability to use or sell the software;
- it can be demonstrated how the software will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software are available; and
- the expenditure attributable to the software during its development can be reliably measured.

Costs of purchasing computer software licenses and incurred in the internal production of computer software are amortised using the straight-line method over the estimated useful life of the software, which does not generally exceed a period of 3 to 15 years. The amortisation charge for the period is included in the statement of profit or loss under "general and other expenses".

2 MATERIAL ACCOUNTING POLICIES (continued)

2.7 Impairment of non-financial assets

Property, plant and equipment, and other non-financial assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. The carrying values of intangible assets with indefinite useful lives are reviewed at least annually or when circumstances or events indicate that there may be uncertainty over this value.

For the purposes of assessing impairment, assets are allocated to each of the Company's cash-generating units, or group of cash-generating units, the lowest level for which there are separately identifiable cash flows.

An impairment loss is recognised to the extent that the carrying amount of the asset exceeds its recoverable amount, which is the higher of the fair value of the asset less cost to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

The Company assesses at the end of each reporting period whether there is any objective evidence that its investments in associates and joint ventures are impaired. Such objective evidence includes whether there have been any significant adverse changes in the technological, market, economic or legal environment in which the associates and joint ventures operate or whether there has been a significant or prolonged decline in value below their cost. If there is an indication that an interest in an associate or a joint venture is impaired, the Company assesses whether the entire carrying amount of the investment is recoverable. An impairment loss is recognised in profit or loss for the amount by which the carrying amount is lower than the higher of the investment's fair value less costs to sell or value in use. Any reversal of such impairment loss in subsequent periods is reversed through profit or loss.

2.8 Subsidiary

Subsidiaries are all entities (including structured entities) over which the Company has control. A structured entity is an entity that has been designed so that voting or similar rights are not the dominant factor in deciding who controls the entity, such as when any voting rights relate to administrative tasks only, and the relevant activities are directly by means of contractual arrangement. The Company has determined that the investment funds that the Company has interest are structured entities.

The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The results of subsidiaries are included in profit or loss to the extent of dividends received and receivable.

The Company classifies its investments in certain subsidiaries at fair value through profit or loss financial instruments in accordance with HKFRS 9 due to the fact that this category of companies is continually managed for total return and evaluated on a fair value basis.

Other investments in subsidiaries that are not classified as held for sale in accordance with HKFRS 5 are stated at cost less any impairment losses.

2.9 Collateral

The Company receives and pledges collateral in the form of cash or non-cash assets in respect of derivative transactions and reinsurance arrangements, in order to reduce the credit risk of these transactions. The amount and type of collateral depends on an assessment of the credit risk of the counterparty. Collateral received in the form of cash, which is not legally segregated from the Company, is recognised as an asset in the statement of financial position with a corresponding liability for the repayment.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.9 Collateral (continued)

Non-cash collateral received is not recognised on the statement of financial position unless the Company sells these assets in the absence of default, at which point the obligation to return this collateral is recognised as a liability. To further minimise credit risk, the financial condition of counterparties is monitored on a regular basis.

Collateral pledged in the form of cash which is legally segregated from the Company is derecognised from the statement of financial position and a corresponding receivable established for its return. Non-cash collateral pledged is not derecognised (except in the event of default) and therefore continues to be recognised in the statement of financial position within the appropriate financial instrument classification.

2.10 Income taxes

Income tax comprises current and deferred tax. The current tax expense is based on the taxable profits for the period, including any adjustments in respect of prior years. Tax is allocated to profit or loss before taxation and amounts charged or credited to equity as appropriate.

Deferred tax is recognised in respect of temporary differences between the tax bases of assets and liabilities and their carrying amounts in the financial statements, except as described below.

The principal temporary differences arise from the basis of recognition of insurance and investment contract liabilities, revaluation of certain financial assets and liabilities including derivative contracts. The rates enacted or substantively enacted at the date of the statement of financial position are used to determine deferred tax.

Deferred tax assets are recognised to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised. When there is a history of tax losses, deferred tax assets are only recognised in excess of deferred tax liabilities if there is evidence that future profits will be available.

Deferred taxes are not provided in respect of temporary differences arising from the initial recognition of an asset or liability in a transaction which is not a business combination and which affects neither accounting nor taxable profit or loss at the time of the transaction.

Deferred tax related to fair value remeasurement of certain FVOCI investments and other amounts taken directly to equity, is recognised initially within the applicable component of equity. It is subsequently recognised in the statement of profit or loss, together with the gain or loss arising on the underlying item.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

The Company has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two model rules income taxes.

In addition to paying tax on shareholders' profits, certain of the Company's life insurance businesses pay tax on policyholders' investment returns (policyholder tax) at policyholder tax rates. Policyholder tax is accounted for as an income tax and is included in the total tax expense.

2.11 Revenue

(1) Insurance revenue

The Company recognises insurance revenue as it provides services under groups of insurance contracts (see 2.2).

(2) Investment return

Investment income consists of dividends and interest for the reporting period. Investment expenses comprise realised gains and losses, impairments and unrealised gains and losses on investments held at fair value through profit or loss. Interest income is recognised as it accrues, taking into account the effective yield on the investment. Dividend income is recognised on the date the shares become quoted ex-dividend. Investment return consists of investment income and investment expenses.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.11 Revenue (continued)

The realised gain or loss on disposal of an investment is the difference between the proceeds received, net of transaction costs, and its original cost or amortised cost as appropriate. Unrealised gains and losses represent the difference between the carrying value at the period end and the carrying value at the previous year end or purchase price if purchased during the period, less the reversal of previously recognised unrealised gains and losses in respect of disposals made during the period.

(3) Other revenue

Other revenue consists primarily of management fees, income from any incidental non-insurance activities and distribution fees from mutual funds.

Income is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. In case of variable consideration contracts, revenue is recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty is subsequently resolved.

2.12 Employee benefits

(1) Annual leave

The Company provides annual leave to its employees under their employment contracts on a calendar year basis. Under certain circumstances, such leave which remains untaken as at the end of a reporting period is permitted to be carried forward and utilised by the respective employees in the following year. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the reporting date.

(2) Post-retirement benefit obligations

The Company operates a number of post-retirement employee benefit schemes, whose members receive benefits on a defined contribution basis (generally related to the amount invested, investment return and annuity rates).

For defined contribution retirement benefits schemes, the Company pays contributions to independently administered funds. Once the contributions have been paid, the Company, as employer, does not have any further payment obligations. The Company's contributions are charged to the statement of profit or loss in the reporting period to which they relate and are included in "employee benefits expenses". When an employee leaves the scheme prior to his/her interest in the Company's employer contributions becoming fully vested, the ongoing contributions payable by the Company may be reduced by the relevant amount of forfeited contributions.

The Company's obligations under defined contribution plans are included in "other liabilities" of the statement of financial position.

(3) Long service payments

Certain employees of the Company are eligible for long service payments in the event of the termination of their employment according to the Hong Kong Employment Ordinance (the "Employment Ordinance"). The Company is liable to make such payments in the event that such a termination of employment meets the circumstances specified in the Employment Ordinance.

(4) Share-based compensation

FWD Group Holdings Limited ("FGHL"), an intermediate holding company, launched a share-based compensation plan, under which FGHL awards restricted shares units ("RSU") and/ or share options of FGHL to certain key employees of the Company as part of compensation for services provided in achieving shareholder value targets. This share-based compensation plan is known as the FWD Share Option and RSU Plan (the "Plan").

2 MATERIAL ACCOUNTING POLICIES (continued)

2.12 Employee benefits (continued)

(4) Share-based compensation (continued)

The Plan is equity-settled plan. Under equity-settled share-based compensation plan, the fair value of the employee services received in exchange for the award of RSU and/or share options is recognised as an expense in profit or loss over the vesting period with a corresponding amount recorded in equity.

The total amount to be expensed over the vesting period is determined by reference to the fair value of the RSU and/or share options awarded on respective grant date or fixed monetary value. Non-market vesting conditions are included in assumptions about the number of RSU and/or share options that are expected to be vested. At each period end, the Company revises its estimates of the number of RSU and/or share options that are expected to be vested. Any impact of the revision to original estimates is recognised in profit or loss with a corresponding adjustment to equity. Where awards of share-based payment arrangements have graded vesting terms, each tranche is recognised as a separate award, and therefore the fair value of each tranche is recognised over the applicable vesting period.

The Company estimates the fair value of the awards using appraisal value method (Embedded Value plus a multiple of Value of New Business) for the RSU and Black-Scholes model for the share options.

Where modification or cancellation of an equity-settled share-based compensation plan occurs, the grant date fair value continues to be recognised, together with any incremental value arising on the date of modification if non-market conditions are met.

(5) Termination benefits

Termination benefits are payable and recognised at the earlier of: (a) when employment is terminated by the Company before the normal retirement date, or (b) when an employee accepts voluntary redundancy in exchange for these benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the end of the reporting period are discounted to present value.

2.13 Provisions and contingencies

Provisions are recognised when the Company has a present legal or constructive obligation as a result of past events, it is probable that an outflow of economic resources will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made. Where the Company expects a provision to be reimbursed, for example under an insurance contract held, the reimbursement is recognised as a separate asset only when the reimbursement is virtually certain. Provisions comprise of provisions in respect of regulatory matters, litigation, reorganisation and restructuring.

The Company recognises a provision for onerous contracts when the expected benefits to be derived from a contract are less than the unavoidable costs of meeting the obligations under the contract.

Contingencies are disclosed if material and if there is a possible future obligation as a result of a past event, or if there is a present obligation as a result of a past event, but either a payment is not probable or the amount cannot be reliably estimated.

2.14 Lease

Company as a lessor
Leases in which the Company does not transfer substantially all the risks and rewards of ownership of an asset are classified as operating leases. Assets subject to such leases are included in investment property. Rentals from such leases are credited to the statement of profit or loss on a straight-line basis over the period of the relevant lease.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.14 Lease (continued)

Company as a lessee
The Company leases various premises, car parks, equipment and other small items as a lessee. These leases, except for short-term leases and leases of low-value assets, are recognised as right-of-use assets and lease liabilities at the date at which the leased assets are available for use by the Company. Right-of-use assets and lease liabilities are presented as a separate line item in the statement of financial position. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease term so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. The depreciation charge for right-of-use assets, by class of underlying asset, and finance cost on lease liabilities are disclosed in Note 6 and 7 respectively.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

The lease payments are discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the incremental borrowing rate of the Company (as the lessee). Furthermore, a maturity analysis of the Company's lease liabilities is disclosed in Note 27.

Right-of-use assets are measured at cost comprising the following:

- the amount of initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

In determining the lease term, management considers all facts and circumstances that create an economic incentive for the lessee to exercise an extension option, or not exercise a termination option. Extension and termination options are included in a number of leases across the Company. These terms are used to maximise operational flexibility in terms of managing contracts. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated) by the lessee. The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise computer hardware and small items of furniture and fixtures that are individually, when new, below US$5,000.

2.15 Share capital

Ordinary shares are classified in equity when there is no contractual obligation to transfer cash or other assets or to deliver a variable number of the Company's own equity instruments to the holders.

Incremental external costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds of the issue.

Dividends are recognised when they have been approved by shareholders.

2 MATERIAL ACCOUNTING POLICIES (continued)

2.16 Presentation of the statement of financial position

The Company's insurance and investment contract liabilities and related assets are realised and settled over periods of several years, reflecting the long-term nature of the Company's products. Accordingly, the Company presents the assets and liabilities in its statements of financial position in approximate order of liquidity, rather than distinguishing current and non-current assets and liabilities. The Company regards its intangible assets, investment in subsidiaries, property, plant and equipment and right-of-use assets as non-current assets as these are held for the longer-term use of the Company.

2.17 Statement of cash flow

The statement of cash flow presents movements in cash and cash equivalents as shown in the statement of financial position.

Purchases and sales of financial investments are included in operating cash flows as the purchases are funded from cash flows associated with the origination of insurance and investment contracts, net of payments of related benefits and claims.

2.18 Related parties

A party is considered to be related to the Company if:

(a) the party is a person or a close member of that person's family and that person:
  (i) has control or joint control over the Company;
  (ii) has significant influence over the Company; or
  (iii) is a member of the key management personnel of the Company or of a parent of the Company;

or

(b) the party is an entity where any of the following conditions applies:
  (i) the entity and the Company are members of the same group;
  (ii) one entity is an associate or joint venture of the other entity (or of a parent, subsidiary or fellow subsidiary of the other entity);
  (iii) the entity and the Company are joint ventures of the same third party;
  (iv) one entity is a joint venture of a third entity and the other entity is an associate of the third entity;
  (v) the entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company;
  (vi) the entity is controlled or jointly controlled by a person identified in (a);
  (vii) a person identified in (a)(i) has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity); and
  (viii) the entity, or any member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and their accompanying disclosures, and the disclosure of contingent liabilities. All estimates are based on management's knowledge of current facts and circumstances, assumptions based on that knowledge and predictions of future events and actions. Actual results can always differ from those estimates, possibly significantly. Key judgements, estimates and assumptions are described below.

Judgements

In the process of applying the Company's accounting policies, management has made the following judgements, apart from those involving estimations, which have the most significant effect on the amounts recognised in the financial statements.

(a) Income taxes

Significant management judgements on the future tax treatment of certain transactions are required in determining income tax provisions. The Company carefully evaluates tax implications of transactions and tax provisions are set up accordingly. The tax treatment of such transactions is reconsidered periodically to take into account all changes in tax laws. Hong Kong tax laws evolve over time, and in some cases taxation positions are uncertain because the tax laws are subject to varied interpretation. When this is the case management seeks to adopt a supportable and prudent tax treatment after consultation with professional tax advisers. However, as judicial and non-judicial interpretations develops, these taxation positions may change in the future.

Due to the implementation of Risk-Based Capital ("RBC") regime and the Insurance (amendment) Ordinance 2023 ("IO"), the Inland Revenue Ordinance ("IRO") has also been amended. As set out in the amended IRO, both the life insurance business (Class A and C) and the non-life long-term insurance business (Class D and I) of the Company are assessed using adjusted surplus. Under adjusted surplus basis, the surplus shall be the amount by which the life insurance fund and the non-life long-term insurance fund exceeds the estimated liability of the corporation on the aforesaid funds at the end of the period the actuarial report (the "Actuarial Report") submitted to the Insurance Authority under section 18 of the IO is made.

Same as prior year, the Company, with reference to the amended IRO, believes that it would be adequate to include the balance of fair value reserve and cash flow hedge reserve of life insurance fund and the movement of the fair value reserve and cash flow hedge non-life long-term insurance fund in the current tax calculation on the grounds that fair value reserve and cash flow hedge reserves form part of the surplus in the Actuarial Report and included in current tax calculation.

(b) Valuation of deferred tax assets in respect of unused tax losses

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits with future tax planning strategies.

Further details are discussed in Note 8 to the financial statements.

(c) Product classification

The Company issues contracts that transfer insurance risk or financial risk or both. Insurance contracts are those contracts that transfer significant insurance risk, while investment contracts are those contracts without significant insurance risk. The Company exercises significant judgement to determine whether there is a scenario (other than those lacking commercial substance) in which an insured event would require the Company to pay significant additional benefits to its customers. In the event the Company has to pay significant additional benefits to its customers, the contract is accounted for as an insurance contract. The judgements exercised in determining the level of insurance risk in product classification affect the amounts recognised in the financial statements as insurance and investment contract liabilities. The accounting policy on product classification is described in Note 2.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

Judgement (continued)

(d) *Determining the lease term of contracts with renewal options*

The Company has several lease contracts that include extension and termination options. The Company applies judgement in evaluating whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic incentive for it to exercise either the renewal or termination. After the commencement date, the Company reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customisation to the leased asset).

(e) *Contingent liabilities*

The Company applies judgement in evaluating whether contingent liability shall be disclosed or provision shall be recognised. Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a contingent liability, unless the probability of outflow of economic benefits is remote. Possible obligations, whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events are also disclosed as contingent liabilities unless the probability of outflow of economic benefits is remote. Further details are discussed in Note 24 to the financial statements.

(f) *Contingent assets*

The Company applies judgement in evaluating whether contingent assets shall be disclosed. Contingent assets are assessed continually to ensure that developments are appropriately reflected in the financial statements. Contingent asset is disclosed, where economic benefits is probable. Further details are discussed in Note 24 to the financial statements.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below.

3.1 Level of aggregation and recognition of group of insurance contracts

For contracts issued to which the Company does not apply the premium allocation approach, the judgements exercised in determining whether contracts are onerous on initial recognition for those what have no significant possibility of becoming onerous subsequently are:

- based on the likelihood of changes in assumptions which, if the occurred, would result in the contracts becoming onerous; and
- using information about profitability estimation for the relevant group of products.

The accounting policy on level of aggregation and recognition of group of insurance contracts is described in Note 2.2.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

3.2 Insurance contracts not measured under the premium allocation approach

(1) Measurement

The asset or liability for groups of insurance contracts is measured as the total of fulfilment cash flows and CSM.

The fulfilment cash flows of insurance contracts (including investment contracts with DPF) represents the present value of estimated future cash outflows, less the present value of estimated future cash inflows and adjusted for a provision for the risk adjustment for non-financial risk. The assumptions used and the techniques for estimating fulfilment cash flows and risk adjustment for non-financial risk are based on actual experience by each geographical market and policy form. The Company exercises significant judgement in making appropriate assumptions and techniques.

CSM represents the unearned profits that the Company will recognise as it provides services under the insurance contracts in a group. The amounts of CSM recognised in profit or loss are determined by identifying the coverage units in the group, allocating the CSM at the end of period equally to each coverage unit provided in the current period and expected to be provided in the future. The number of coverage units in a group is the quantity of the services provided by the contracts in the group, determined by considering for each contract the quantity of the services provided under a contract and its expected coverage period. The Company exercises judgements in determining the quantity of the services provided under a contract which will affect the amounts recognised in the financial statements as insurance revenue from insurance contracts issued.

The judgements exercised in the valuation of insurance contracts (including investment contracts with DPF) affect the amounts recognised in the financial statements as assets or liabilities of insurance contracts and investment contracts with DPF. Further details of the related accounting policies in respect of insurance contracts are provided in Note 2.2.

(2) Determination of coverage unit

The CSM of a group of contracts is recognised as insurance revenue in each period based on the number of coverage units provided in the period, which is determined by considering for each contract the quantity of the services provided, its expected coverage period and time value of money.

The quantity of services provided by insurance contracts could include insurance coverage, investment-return service and investment-related service, as applicable. In assessing the services provided by insurance contracts, the terms and benefit features of the contracts are considered.

For contracts providing predominately insurance coverage, the quantity of services is determined for the contract as a whole based on the expected maximum benefits less investment component. For contracts providing multiple services, the quantity of services is determined based on the benefits provided to policyholder for each service with the relative weighting considered in the calculation through the use of factors. Relevant elements are considered in determining the quantity of service including among others, benefit payments and premiums. The Company applies judgement in these determinations.

Expected coverage period is derived based on the likelihood of an insured event occurring to the extent they affect the expected duration of contracts in the group. Determining the expected coverage period is judgemental since it involves making an expectation of when claims and lapse will occur.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

3.3 Fair value of financial assets

The Company determines the fair values of financial assets traded in active markets using quoted bid prices as of each reporting date. The fair values of financial assets that are not traded in active markets are typically determined using a variety of other valuation techniques, such as prices observed in recent transactions and values obtained from current bid prices of comparable investments. More judgement is used in measuring the fair value of financial assets for which market observable prices are not available or are available only infrequently.

The degree of judgement used in measuring the fair value of financial assets generally correlates with the level of pricing observability. Pricing observability is affected by a number of factors, including the type of financial instrument, whether the financial instrument is new to the market and not yet established, the characteristics specific to the transaction and general market conditions.

Changes in the fair value of financial assets held by the Company's participating funds affect not only the value of financial assets, but are also reflected in corresponding movements in insurance and investment contract liabilities. This is due to an insurance liability being recorded for the proportion of the net assets of the participating funds that would be allocated to policyholders if all relevant surplus at the date of the statement of financial position were to be declared as a policyholder dividend based on current local regulations. Both of the foregoing changes are reflected in the statement of profit or loss.

Changes in the fair value of financial assets held to back the Company's unit-linked contracts result in a corresponding change in insurance and investment contract liabilities. Both of the foregoing changes are also reflected in the statement of profit or loss.

Further details of the fair value of financial assets and the sensitivity analysis to interest rates and equity prices are provided in Notes 16 and 27 respectively.

3.4 Impairment of other intangible assets

For the purposes of impairment testing, other intangible assets are grouped into cash-generating units or groups of cash generating units. These assets are tested for impairment by comparing the carrying amount of the cash-generating unit (group of units), to the recoverable amount of that cash-generating unit (group of units). The determination of the recoverable amount requires significant judgement regarding the selection of appropriate valuation techniques and assumptions.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

3.5 Share based compensation

FGHL launched a share-based compensation plan, under which FGHL offers RSU and/or share options of FGHL to certain key employees of the Company.

(1) RSUs

The Company utilises an appraisal value method (Embedded Value ("EV") plus a multiple of Value of New Business ("VNB")) to estimate the fair value of the RSUs, taking into account the terms and conditions upon which the awards were granted. The Company determines appraisal value on the following basis:

- For life insurance businesses, the appraisal value equals EV plus a multiplier of VNB for the calendar year at the end of each performance period. The multiplier was agreed with the shareholders for the purpose of assessing the performance conditions.
- For non-life businesses, the appraisal value is calculated as the net asset value plus a multiplier of the net profits for the calendar year at the end of each performance period.
- For non-operating entities, the appraisal value is equal to the net asset value for the calendar year at the end of each performance period.

In assessing the achievement of performance conditions, the Company takes into account all monthly cash flow items during the performance period and the appraisal value determined in accordance with the guidelines approved by the Compensation Committee.

The judgements exercised in the determination of appraisal value and the assessment of achievement of performance conditions affect the amounts recognised in the financial statements as share-based payment expense and share option reserve. Further details of the related accounting policies and movements in outstanding awards are provided in Notes 2.12 and 23 respectively.

(2) Share Options

The Company estimates the fair value of share options using the Black-Scholes model taking into account the terms and conditions upon which the awards were granted. The Company determines the fair value of share options by using the following input:

- Dividend yield
- Expected share price volatility
- Risk-free interest rate
- Expected life of the share options
- Appraisal value per share, using the same valuation methodology as is used in the RSU plan

The assessment of achievement of performance conditions of share options is the same as described above for RSUs.

The judgements exercised in the determination of share-option fair value and the assessment of achievement of performance condition affect the amounts recognised in the financial statements as share-based payment expense and share-based payment reserve. Further details of the related accounting policies and movements in outstanding awards are provided in Notes 2.12 and 23 respectively.

3.6 Income taxes

Significant management judgement on the future tax treatment of certain transactions is required in determining income tax provisions. The Company carefully evaluates tax implications of transactions and tax provisions are set up accordingly. The tax treatment of such transactions is reconsidered periodically to take into account developments in tax laws. Tax laws evolve over time, and in some cases taxation positions are uncertain because the tax laws are subject to varied interpretation. When this is the case, management seeks to adopt a supportable and prudent tax treatment after consultation with professional tax advisers. However, as judicial and non-judicial interpretations develop, these taxation positions may change in the future.

3.7 Valuation of deferred tax assets

Deferred tax assets are recognised for all unused tax losses to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits with future tax planning strategies. Further details are contained in Note 8 to the financial statements.

3 SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS (continued)

3.8 Impairment of financial assets

The Company recognises loss allowances for ECL on financial assets measured at amortised cost and debt securities measured at FVOCI. The measurement of ECL uses probability weighted forward-looking models with significant assumptions about future economic conditions and credit behaviour.

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk since initial recognition;
- Choosing appropriate models and assumptions for the measurement of ECL; and
- Establishing the methodology for incorporating forward-looking information into the measurement of ECL.

When determining whether the credit risk (i.e. risk of default) on a financial asset has increased significantly since initial recognition, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both qualitative and quantitative information and analysis based on the Company's experience, credit assessment performed by internal and external experts and forward-looking information. The Company determines a significant increase in credit risk based on various criteria for different categories of assets, including rating notch downgrade, days past due, expert judgement and other qualitative factors.

The Company has assumed that the credit risk of a financial asset has not increased significantly since initial recognition if the financial asset has low credit risk at the reporting date. The Company considers a financial asset to have low credit risk when its credit risk rating is equivalent to the globally understood definition of "investment-grade", with credit rating equivalent to be Baa3 or above. As a backstop, the Company considers that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due, unless there are other indications that there is no significant increase in credit risk.

Details are further disclosed in Note 27.

4 INSURANCE REVENUE AND OTHER REVENUE

	Year ended 31 December	
US$'000	2024	2023
Contracts not measured under the PAA		
Amounts relating to changes in liabilities for remaining coverage:		
CSM recognised for services provided	199,049	211,320
Change in risk adjustment for non-financial risk for risk expired	13,169	12,447
Expected incurred claims and other insurance service expenses	208,268	239,443
Experience adjustments for premium receipts related to current or past service	—	97
Recovery of insurance acquisition cash flows	378,085	394,680
	798,571	857,987
Contracts measured under the PAA	71,812	24,515
Total insurance revenue	**870,383**	**882,502**
Represented by:		
Contracts measured under the fair value approach	310,423	412,776
Other contracts	559,960	469,726
	870,383	882,502

Other revenue

Other revenue primarily consists of management fee income.

5 NET INVESTMENT RESULT

Analysis of investment result in profit or loss and other comprehensive income:

US$'000	Notes	Year ended 31 December 2024	2023
Investment return:			
Interest revenue	B	515,407	476,616
Other investment losses	C	(145,153)	(156,089)
Net impairment loss on financial assets		(7,842)	(2,754)
Amounts recognised in OCI		(79,709)	593,203
Total investment return		**282,703**	**910,976**
Net finance expenses from insurance contracts:			
Changes in fair value of underlying items of direct participating contracts		(243,879)	(920,323)
Interest accreted		2,473	4,552
Effect of changes in interest rates and other financial assumptions		(16,534)	55,174
Effect of measuring changes in estimates at current rates and adjusting the CSM at rates on initial recognition		1,749	19,378
Net foreign exchange (losses)/gains		(18,510)	5,315
Total net finance expenses from insurance contracts	A	**(274,701)**	**(835,904)**
Net finance expenses from reinsurance contracts held:			
Interest accreted		520	(2,905)
Effect of changes in interest rates and other financial assumptions		1,617	611
Effect of measuring change in estimates at current rates and adjusting the CSM at rates on initial recognition		(15,983)	4,565
Others		(3,917)	(2,817)
Total net finance expenses from reinsurance contracts held	A	**(17,763)**	**(546)**
Movement in investment contract liabilities		(974)	3,727
Net investment result		**(10,735)**	**78,253**
Represented by:			
Amounts recognised in profit or loss		17,268	(122,233)
Amounts recognised in OCI		(28,003)	200,486
		(10,735)	**78,253**

5 NET INVESTMENT RESULT (continued)

A. Insurance finance income and expenses

US$'000	Year ended 31 December 2024	2023
Net finance expenses from insurance contracts		
Recognised in profit or loss	(334,091)	(448,136)
Recognised in OCI	59,390	(387,768)
	(274,701)	**(835,904)**
Net finance expenses from reinsurance contracts held		
Recognised in profit or loss	(10,079)	4,403
Recognised in OCI	(7,684)	(4,949)
	(17,763)	**(546)**

B. Interest revenue

Interest revenue calculated using the effective interest method are presented as below.

US$'000	Year ended 31 December 2024	2023
Interest revenue calculated using the effective interest method		
Debt securities measured at FVOCI	485,300	433,574
Financial investments measured at amortised cost	(3,269)	(1,388)
	482,031	**432,186**
Other interest revenue		
Financial investments measured at FVTPL	33,376	44,430
	515,407	**476,616**

C. Other investment losses

US$'000	Year ended 31 December 2024	2023
Financial investments mandatorily measured at FVTPL:		
Net fair value gains/(losses) on		
Debt securities	(1,177)	4,278
Derivatives	(95,498)	(29,931)
Equity securities	8,608	13,260
Interests in investment funds	189,735	(62,718)
Dividend income	171,421	176,202
Net foreign exchange (losses)/gains	(1,832)	249
	271,257	101,340
Net losses on derecognition of debt securities measured at FVOCI	(379,152)	(262,807)
Net foreign exchange (losses)/gains on instruments not measured at FVTPL	(43,848)	4,721
Fair value gains of investment in subsidiaries	6,460	—
Other net realised gains	130	657
Total	**(145,153)**	**(156,089)**

6 EXPENSES

US$'000	Year ended 31 December 2024	2023
Claims and benefits	193,172	202,634
Reversal of losses on onerous insurance contracts	(67,779)	(5,506)
Commission and other acquisition expenses	832,429	540,349
Employee benefits expenses	131,980	127,476
Depreciation	28,379	26,833
Amortisation	3	3
Marketing and advertising	8,968	14,811
Professional service fees	20,804	24,380
Information technology expenses	20,879	26,057
Investment management expenses	31,849	27,779
Others[1]	77,773	65,256
	1,278,457	1,050,072
Amounts attributed to insurance acquisition cash flows	(1,009,123)	(697,929)
Amortisation of insurance acquisition cash flows	380,312	395,594
Total	**649,646**	**747,737**
Represented by:		
Insurance service expenses	568,867	641,911
General and other expenses	80,779	105,826
	649,646	**747,737**

Note:
[1] Includes travel and entertainment, bank charges, office related expenses and other general operating expenses.

General and other expenses includes auditor's remunerations of:

US$'000	Year ended 31 December 2024	2023
Audit services	2,174	2,147
Non–audit services	72	61
	2,246	2,208

Depreciation consists of:

US$'000	Year ended 31 December 2024	2023
Leasehold improvements, furniture and fixtures, computer equipment, software and others	9,619	7,088
Right-of-use assets:		
Premises and car park	16,536	17,318
Equipment and Others	2,224	2,427
Total	**28,379**	**26,833**

6 EXPENSES (continued)

Employee benefits consist of:

	Year ended 31 December	
US$'000	2024	2023
Wages and salaries	126,385	122,067
Pension scheme contribution	5,595	5,409
Total	**131,980**	**127,476**

During the year, the directors of the Company received the following remuneration for their services rendered to the Company:

	Year ended 31 December	
US$'000	2024	2023
Fees	282	249
Other emoluments:		
Salaries, allowances and benefits in kind	900	868
Performance related bonuses	1,359	1,745
Equity-settled share option expense	131	99
Pension scheme contribution	58	47
	2,448	2,759
	2,730	3,008
Aggregate amount of the emoluments of the three highest paid directors	2,455	2,784

7 FINANCE COSTS

Finance costs may be analysed as follows:

	Year ended 31 December	
US$'000	2024	2023
Interest expenses on lease liabilities	2,711	2,244
Others	3,850	12,791
Total	**6,561**	**15,035**

8 INCOME TAX

(1) Income tax

Taxes on profits assessable elsewhere have been calculated at the rates of tax prevailing in the jurisdictions in which the Company operates. Hong Kong profits tax has been provided at the rate of 16.5% on the estimated assessable profits arising in Hong Kong during the year.

	Year ended 31 December	
US$'000	2024	2023
Current income tax	(175,044)	14,147
Deferred income tax on temporary differences	79,291	48,964
Total	**(95,753)**	**63,111**

In 2023, Bermuda has introduced and enacted a corporate income tax rate of 15% that will become effective from 1 January 2025.

The Organisation for Economic Co-operation and Development ("OECD") is currently working on a project to address the tax challenges arising from the digitalisation of the economy. The project's second pillar involves the implementation of a global corporate minimum tax rate of 15% applicable to large multinational enterprises. The OECD has released model rules and other documents for this second pillar (the "Pillar Two model rules"). The Company operates in certain jurisdictions which have enacted or substantively enacted their versions of Pillar Two model rules, including Singapore. Hong Kong is in the process of legislating the Pillar Two model rules. These rules have been or are expected to be effective and apply to the Company from 1 January 2025.

The implementation of the Pillar Two model rules may have an adverse impact on tax expenses of the Company starting from 1 January 2025. The Company will continue to monitor the Pillar Two model rules requirements and assess the accounting implications accordingly.

A reconciliation of the tax expense/credit applicable to profit before tax at the statutory rate to the tax position at the effective tax rate and a reconciliation of the applicable rates (i.e., the statutory tax rates) to the effective tax rates, are as follows:

	Year ended 31 December			
US$'000	2024	%	2023	%
Income tax reconciliation				
Profit before tax	242,355		33,862	
Tax expense calculated at domestic tax rates applicable to profits in the respective jurisdictions	(39,470)	(16.3)	(5,588)	(16.5)
Income not subject to tax	3,262	1.3	—	—
Expense not deductible for tax purposes	(858)	(0.3)	(9,228)	(27.3)
Adjustments to tax expenses related to prior years	(15,430)	(6.4)	11,303	33.4
Adjustment on deferred tax assets on tax losses and temporary differences	(5)	—	—	—
Tax differences arising from different accounting basis	(37,524)	(15.5)	61,516	181.7
Others	(5,728)	(2.3)	5,108	15.1
Total income tax (expense)/benefit	**(95,753)**	**(39.5)**	**63,111**	**186.4**

8 INCOME TAX (continued)

(2) Deferred tax

The movement in net deferred tax assets/(liabilities) in the year may be analysed as set out below:

US$'000	Net deferred tax asset/ (liability) at 1 January	Reclassification to current tax payable	Credited/ (charged) to statement of profit or loss	Credited/ (charged) to other comprehensive income	Net deferred tax asset/(liability) at 31 December
31 December 2024					
Financial instruments	13,996	—	3,048	(180)	16,864
Insurance contracts and reinsurance contracts held	35,277	—	75,147	(8,279)	102,145
Others	1,243	—	1,096	—	2,339
Total	**50,516**	**—**	**79,291**	**(8,459)**	**121,348**
31 December 2023					
Financial instruments	27,113	63,149	(1,070)	(75,196)	13,996
Insurance contracts and reinsurance contracts held	(78,222)	—	48,703	64,796	35,277
Others	(88)	—	1,331	—	1,243
Total	**(51,197)**	**63,149**	**48,964**	**(10,400)**	**50,516**

9 PROPERTY, PLANT AND EQUIPMENT

	Property, plant and equipment			
US$'000	Leasehold improvements	Furniture and fixtures and others	Computer equipment and software	Total
Cost				
At 1 January 2023	19,558	5,916	41,470	**66,944**
Additions	3,391	111	3,774	7,276
Disposals	—	—	(640)	(640)
At 31 December 2023	22,949	6,027	44,604	**73,580**
Additions	8,634	274	8,501	17,409
Disposals	(5,194)	(1,463)	(398)	(7,055)
At 31 December 2024	26,389	4,838	52,707	**83,934**
Accumulated depreciation				
At 1 January 2023	(16,762)	(5,205)	(30,537)	**(52,504)**
Disposals	—	—	640	640
Depreciation charge for the year	(1,359)	(394)	(5,335)	(7,088)
At 31 December 2023	(18,121)	(5,599)	(35,232)	**(58,952)**
Disposals	5,188	1,442	398	7,028
Depreciation charge for the year	(4,463)	(284)	(4,872)	(9,619)
At 31 December 2024	(17,396)	(4,441)	(39,706)	**(61,543)**
Net book value				
At 31 December 2023	4,828	428	9,372	**14,628**
At 31 December 2024	8,993	397	13,001	**22,391**

10 RIGHT-OF-USE ASSETS

US$'000	Right-of-use assets		
	Office premises	Equipment and others	Total
Cost			
At 1 January 2023	82,116	7,277	**89,393**
Remeasurement of lease liability	(2,799)	—	(2,799)
Additions	25,770	6,673	32,443
Disposals	(18,320)	(7,277)	(25,597)
At 31 December 2023	86,767	6,673	**93,440**
Additions	4,412	—	4,412
Disposals	(1,676)	—	(1,676)
At 31 December 2024	89,503	6,673	**96,176**
Accumulated depreciation			
At 1 January 2023	(29,188)	(5,971)	**(35,159)**
Disposals	17,835	7,277	25,112
Depreciation charge for the year	(17,318)	(2,427)	(19,745)
At 31 December 2023	(28,671)	(1,121)	**(29,792)**
Disposals	1,676	—	1,676
Depreciation charge for the year	(16,536)	(2,224)	(18,760)
At 31 December 2024	(43,531)	(3,345)	**(46,876)**
Net book value			
At 31 December 2023	58,096	5,552	**63,648**
At 31 December 2024	45,972	3,328	**49,300**

The Company obtains right to use various office premises for a period of time through lease arrangements. Lease arrangements are negotiated on an individual basis and contain a wide range of terms and conditions including lease payments and lease terms ranging from three to seven years.

11 INTANGIBLE ASSETS

	US$'000
Cost	
At At 1 January 2023, 31 December 2023, 31 December 2024	**1,094**
Accumulated amortisation and impairment	
At 1 January 2023	**(116)**
Amortisation charge for the year	(3)
At 31 December 2023	**(119)**
Amortisation charge for the year	(3)
At 31 December 2024	**(122)**
Net book value	
At 31 December 2023	**975**
At 31 December 2024	**972**

12 INVESTMENTS IN SUBSIDIARIES

	As at 31 December	
US$'000	2024	2023
Unlisted shares, at cost	1,084,945	1,040,638
Impairment[1]	(14,779)	(14,779)
	1,070,166	1,025,859
Unlisted shares, at fair value	252,765	246,305
Total	**1,322,931**	**1,272,164**

Note:

[1]An impairment provision of US$14,779,000 (2023: US$14,779,000) was recognised for the unlisted investment in subsidiaries because the subsidiary requires continuing financial support from the Company.

Particulars of the subsidiaries as at the end of the reporting period are as follows:

				Percentage of ownership interest As at 31 December			
				2024		2023	
Name of entity	Place of incorporation	Principal activity	Nominal value of issued ordinary shares	Direct %	Indirect %	Direct %	Indirect %
FWD Financial Limited	Hong Kong	Provision of consultancy, digital commerce research and development and insurance agency services	HK$240,322,561 (2023: HK$115,322,561)	100%	—%	100%	—%
Future Radiance Limited	Cayman Islands	Investment holding	4 (2023: 3) ordinary shares of US$1	100%	—%	100%	—%
Sky Accord Limited	Cayman Islands	Property investment and management	4 (2023: 3) ordinary shares of US$1	—%	100%	—%	100%
FWD Vietnam Life Insurance Company Limited	Vietnam	Underwriting of life insurance	VND 19,102,000,000,000	100%	—%	100%	—%
FWD Properties Limited	Hong Kong	Investment holding	US$232,000,000 + HK$1	100%	—%	100%	—%
OGS (I) Limited	Cayman Islands	Investment holding	3 ordinary shares of US$1	—%	100%	—%	100%
OGS (II) Limited	Cayman Islands	Investment holding	3 ordinary shares of US$1	—%	100%	—%	100%
FWD Takaful Berhad	Malaysia	Underwriting of Islamic life insurance	RM$100,000,000	70%	—%	49%	—%

13 INSURANCE AND REINSURANCE CONTRACT BALANCES

INSURANCE AND REINSURANCE CONTRACTS

Insurance contracts

	As at 31 December	
US$'000	2024	2023
Insurance contract assets	77,150	61,577
Insurance contract liabilities	(15,454,063)	(13,856,243)
Total	(15,376,913)	(13,794,666)

Reinsurance contracts held

	As at 31 December	
US$'000	2024	2023
Reinsurance contract assets	475,425	325,358
Reinsurance contract liabilities	(177,758)	(141,686)
Total	297,667	183,672

The following table sets out the carrying amounts of insurance and reinsurance contracts expected to be recovered/ (settled) more than 12 months after the reporting date.

	As at 31 December	
US$'000	2024	2023
Insurance contract assets	75,117	85,122
Insurance contract liabilities	(12,117,758)	(10,998,314)
Reinsurance contract assets	396,856	36,190
Reinsurance contract liabilities	(169,118)	(25,643)

At 31 December 2024 and 2023, the maximum exposure to credit risk from reinsurance contracts is US$475,425,000 and US$325,358,000. The credit risk arising from insurance contracts is not considered to be significant.

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances

The Company presents a table that separately analyses movements in the liabilities for remaining coverage and movements in the liabilities for incurred claims and reconciles these movements to the line items in the statement of profit or loss and OCI.

A second reconciliation is presented for contracts not measured under the PAA, which separately analyses changes in the estimates of the present value of future cash flows, the risk adjustment for non-financial risk and the CSM.

(i) (a) Insurance contracts not measured under the premium allocation approach
Analysis by remaining coverage and incurred claims

		Year ended 31 December			
		2024			
		Liabilities for remaining coverage			
US$'000	Note	Excluding loss component	Loss component	Liabilities for incurred claims	Total
Opening assets		61,594	—	(17)	61,577
Opening liabilities		(13,401,960)	(116,860)	(326,442)	(13,845,262)
Net opening balance		**(13,340,366)**	**(116,860)**	**(326,459)**	**(13,783,685)**
Changes in the statement of profit or loss and OCI					
Insurance revenue	4				
Contracts under the fair value approach		310,423	—	—	310,423
Other contracts		488,148	—	—	488,148
		798,571	—	—	798,571
Insurance service expenses					
Incurred claims and other insurance service expenses		—	6,575	(226,311)	(219,736)
Amortisation of insurance acquisition cash flows		(378,085)	—	—	(378,085)
Losses and reversals of losses on onerous contracts		—	67,779	—	67,779
Adjustments to liabilities for incurred claims		—	—	22,497	22,497
Total insurance service expenses		(378,085)	74,354	(203,814)	(507,545)
Investment components		950,436	—	(950,436)	—
Insurance service result		1,370,922	74,354	(1,154,250)	291,026
Net finance expenses from insurance contracts	5	(272,002)	(2,066)	(658)	(274,726)
Total changes in the statement of profit or loss and OCI		1,098,920	72,288	(1,154,908)	16,300
Cash flows					
Premium received		(3,511,276)	—	—	(3,511,276)
Claims and other insurance service expenses paid; including investment components		—	—	956,788	956,788
Insurance acquisition cash flows		957,262	—	—	957,262
Total cash flows		(2,554,014)	—	956,788	(1,597,226)
Net closing balance		(14,795,460)	(44,572)	(524,579)	(15,364,611)
Closing assets		77,192	—	(42)	77,150
Closing liabilities		(14,872,652)	(44,572)	(524,537)	(15,441,761)
Net closing balance		(14,795,460)	(44,572)	(524,579)	(15,364,611)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(i) (a) Insurance contracts not measured under the premium allocation approach (continued)
Analysis by remaining coverage and incurred claims (continued)

		Year ended 31 December			
		2023			
		Liabilities for remaining coverage			
US$'000	Note	Excluding loss component	Loss component	Liabilities for incurred claims	Total
Opening assets		39,795	—	(9)	39,786
Opening liabilities		(12,532,006)	(129,620)	(174,946)	(12,836,572)
Net opening balance		**(12,492,211)**	**(129,620)**	**(174,955)**	**(12,796,786)**
Changes in the statement of profit or loss and OCI					
Insurance revenue	4				
Contracts under the fair value approach		412,198	—	—	412,198
Other contracts		445,789	—	—	445,789
		857,987	—	—	857,987
Insurance service expenses					
Incurred claims and other insurance service expenses		—	13,275	(215,719)	(202,444)
Amortisation of insurance acquisition cash flows		(394,680)	—	—	(394,680)
Losses and reversals of losses on onerous contracts		—	5,506	—	5,506
Adjustments to liabilities for incurred claims		—	—	(16,469)	(16,469)
Total insurance service expenses		(394,680)	18,781	(232,188)	(608,087)
Investment components		1,400,448	—	(1,400,448)	—
Insurance service result		1,863,755	18,781	(1,632,636)	249,900
Net finance expenses from insurance contracts	5	(779,945)	(6,021)	(50,883)	(836,849)
Total changes in the statement of profit or loss and OCI		1,083,810	12,760	(1,683,519)	(586,949)
Cash flows					
Premium received		(2,561,058)	—	—	(2,561,058)
Claims and other insurance service expenses paid; including investment components		—	—	1,532,015	1,532,015
Insurance acquisition cash flows		629,093	—	—	629,093
Total cash flows		(1,931,965)	—	1,532,015	(399,950)
Net closing balance		(13,340,366)	(116,860)	(326,459)	(13,783,685)
Closing assets		61,594	—	(17)	61,577
Closing liabilities		(13,401,960)	(116,860)	(326,442)	(13,845,262)
Net closing balance		(13,340,366)	(116,860)	(326,459)	(13,783,685)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(i) (a) Insurance contracts not measured under the premium allocation approach (continued)
Analysis by measurement component

		Year ended 31 December					
		2024					
				CSM			
US$'000	Note	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under fair value transition approach	Other contracts	Subtotal	Total
Opening assets		93,030	—	—	(31,453)	(31,453)	61,577
Opening liabilities		(12,132,738)	(219,902)	(795,446)	(697,176)	(1,492,622)	(13,845,262)
Net opening balance		(12,039,708)	(219,902)	(795,446)	(728,629)	(1,524,075)	(13,783,685)
Changes in the statement of profit or loss and OCI							
Changes that relate to current services							
CSM recognised for services provided	4	—	—	85,834	113,215	199,049	199,049
Change in risk adjustment for non-financial risk for risk expired	4	—	13,169	—	—	—	13,169
Experience adjustments		(11,468)	—	—	—	—	(11,468)
Changes that relate to future services							
Contracts initially recognised in the year		435,941	(23,585)	—	(413,205)	(413,205)	(849)
Changes in estimates that adjust the CSM		(35,852)	164	51,563	(15,875)	35,688	—
Changes in estimates that result in losses and reversals of losses on onerous contracts		68,801	(173)	—	—	—	68,628
Changes that relate to past services							
Adjustments to liabilities for incurred claims		22,497	—	—	—	—	22,497
Insurance service result		479,919	(10,425)	137,397	(315,865)	(178,468)	291,026
Net finance expenses from insurance contracts	5	(243,529)	(1,034)	(7,143)	(23,020)	(30,163)	(274,726)
Total changes in the statement of profit or loss and OCI		236,390	(11,459)	130,254	(338,885)	(208,631)	16,300
Cash flows							
Premium received		(3,511,276)	—	—	—	—	(3,511,276)
Claims and other insurance service expenses paid; including investment components		956,788	—	—	—	—	956,788
Insurance acquisition cash flows		957,262	—	—	—	—	957,262
Total cash flows		(1,597,226)	—	—	—	—	(1,597,226)
Net closing balance		(13,400,544)	(231,361)	(665,192)	(1,067,514)	(1,732,706)	(15,364,611)
Closing assets		112,941	—	—	(35,791)	(35,791)	77,150
Closing liabilities		(13,513,485)	(231,361)	(665,192)	(1,031,723)	(1,696,915)	(15,441,761)
Net closing balance		(13,400,544)	(231,361)	(665,192)	(1,067,514)	(1,732,706)	(15,364,611)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(i) (a) Insurance contracts not measured under the premium allocation approach (continued)
Analysis by measurement component (continued)

		Year ended 31 December					
		2023					
				CSM			
US$'000	Note	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under fair value transition approach	Other contracts	Subtotal	Total
Opening assets		52,024	—	—	(12,238)	(12,238)	39,786
Opening liabilities		(11,167,146)	(182,004)	(756,008)	(731,414)	(1,487,422)	(12,836,572)
Net opening balance		(11,115,122)	(182,004)	(756,008)	(743,652)	(1,499,660)	(12,796,786)
Changes in the statement of profit or loss and OCI							
Changes that relate to current services							
CSM recognised for services provided	4	—	—	108,926	102,394	211,320	211,320
Change in risk adjustment for non-financial risk for risk expired	4	—	12,447	—	—	—	12,447
Experience adjustments		37,096	—	—	—	—	37,096
Changes that relate to future services							
Contracts initially recognised in the year		311,001	(35,883)	—	(279,725)	(279,725)	(4,607)
Changes in estimates that adjust the CSM		(65,394)	(15,288)	(144,489)	225,171	80,682	—
Changes in estimates that result in losses and reversals of losses on onerous contracts		9,564	549	—	—	—	10,113
Changes that relate to past services							
Adjustments to liabilities for incurred claims		(16,469)	—	—	—	—	(16,469)
Insurance service result		275,798	(38,175)	(35,563)	47,840	12,277	249,900
Net finance (expenses)/income from insurance contracts	5	(800,434)	277	(3,875)	(32,817)	(36,692)	(836,849)
Total changes in the statement of profit or loss and OCI		(524,636)	(37,898)	(39,438)	15,023	(24,415)	(586,949)
Cash flows							
Premium received		(2,561,058)	—	—	—	—	(2,561,058)
Claims and other insurance service expenses paid; including investment components		1,532,015	—	—	—	—	1,532,015
Insurance acquisition cash flows		629,093	—	—	—	—	629,093
Total cash flows		(399,950)	—	—	—	—	(399,950)
Net closing balance		(12,039,708)	(219,902)	(795,446)	(728,629)	(1,524,075)	(13,783,685)
Closing assets		93,030	—	—	(31,453)	(31,453)	61,577
Closing liabilities		(12,132,738)	(219,902)	(795,446)	(697,176)	(1,492,622)	(13,845,262)
Net closing balance		(12,039,708)	(219,902)	(795,446)	(728,629)	(1,524,075)	(13,783,685)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(i) (b) Insurance contracts measured under the premium allocation approach
Analysis by remaining coverage and incurred claims

		Year ended 31 December				
		2024				
		Liabilities for remaining coverage		Liabilities for incurred claims		
US$'000	Note	Excluding loss component	Loss component	Estimates of present value ("PV") of fulfilment cash flows ("FCF")	Risk Adjustment	Total
Opening assets		—	—	—	—	—
Opening liabilities		(10,921)	—	(60)	—	(10,981)
Net opening balance		(10,921)	—	(60)	—	(10,981)
Changes in the statement of profit or loss and OCI						
Insurance revenue	4					
Contracts under the fair value approach		—	—	—	—	—
Other contracts		71,812	—	—	—	71,812
		71,812	—	—	—	71,812
Insurance service expenses						
Incurred claims and other insurance service expenses		—	—	(58,943)	—	(58,943)
Amortisation of insurance acquisition cash flows		(2,227)	—	—	—	(2,227)
Adjustments to liabilities for incurred claims		—	—	(152)	—	(152)
Total insurance service expenses		(2,227)	—	(59,095)	—	(61,322)
Insurance service result		69,585	—	(59,095)	—	10,490
Net finance (expenses)/income from insurance contracts	5	(20)	—	45	—	25
Total changes in the statement of profit or loss and OCI		69,565	—	(59,050)	—	10,515
Cash flows						
Premium received		(60,052)	—	—	—	(60,052)
Claims and other insurance service expenses paid; including investment components		—	—	45,887	—	45,887
Insurance acquisition cash flows		2,329	—	—	—	2,329
Total cash flows		(57,723)	—	45,887	—	(11,836)
Net closing balance		921	—	(13,223)	—	(12,302)
Closing assets		—	—	—	—	—
Closing liabilities		921	—	(13,223)	—	(12,302)
Net closing balance		921	—	(13,223)	—	(12,302)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(i) (b) Insurance contracts measured under the premium allocation approach (continued)
Analysis by remaining coverage and incurred claims (continued)

		Year ended 31 December				
		2023				
		Liabilities for remaining coverage		Liabilities for incurred claims		
US$'000	Note	Excluding loss component	Loss component	Estimates of PV of FCF	Risk Adjustment	Total
Opening assets		—	—	—	—	—
Opening liabilities		2,286	—	(3,591)	158	(1,147)
Net opening balance		2,286	—	(3,591)	158	(1,147)
Changes in the statement of profit or loss and OCI						
Insurance revenue	4					
Contracts under the fair value approach		578	—	—	—	578
Other contracts		23,937	—	—	—	23,937
		24,515	—	—	—	24,515
Insurance service expenses						
Incurred claims and other insurance service expenses		—	—	(32,878)	—	(32,878)
Amortisation of insurance acquisition cash flows		(914)	—	—	—	(914)
Adjustments to liabilities for incurred claims		—	—	(32)	—	(32)
Total insurance service expenses		(914)	—	(32,910)	—	(33,824)
Insurance service result		23,601	—	(32,910)	—	(9,309)
Net finance income/(expenses) from insurance contracts	5	3,540	—	(2,437)	(158)	945
Total changes in the statement of profit or loss and OCI		27,141	—	(35,347)	(158)	(8,364)
Cash flows						
Premium received		(41,701)	—	—	—	(41,701)
Claims and other insurance service expenses paid; including investment components		—	—	38,878	—	38,878
Insurance acquisition cash flows		1,353	—	—	—	1,353
Total cash flows		(40,348)	—	38,878	—	(1,470)
Net closing balance		(10,921)	—	(60)	—	(10,981)
Closing assets		—	—	—	—	—
Closing liabilities		(10,921)	—	(60)	—	(10,981)
Net closing balance		(10,921)	—	(60)	—	(10,981)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(ii)(a) Reinsurance contracts held not measured under the premium allocation approach
Analysis by remaining coverage and incurred claims

		Year ended 31 December			
		2024			
		Assets for remaining coverage			
US$'000	Note	Excluding loss-recovery component	Loss-recovery component	Assets for incurred claims	Total
Opening assets		156,299	1,859	167,200	325,358
Opening liabilities		(155,134)	226	13,222	(141,686)
Net opening balance		1,165	2,085	180,422	183,672
Changes in the statement of profit or loss and OCI					
Allocation of reinsurance premium paid		(31,739)	—	—	(31,739)
Amounts recoverable from reinsurers					
Recoveries of incurred claims and other insurance service expenses		—	(1,534)	33,003	31,469
Recoveries and reversals of recoveries of losses on onerous underlying contracts		—	5,484	—	5,484
Adjustments to assets for incurred claims		—	—	(14,833)	(14,833)
		—	3,950	18,170	22,120
Investment components and premium refunds		(32,846)	—	32,846	—
Net (expenses)/income from reinsurance contracts		(64,585)	3,950	51,016	(9,619)
Effect of changes in non-performance risk of reinsurers		(43)	—	—	(43)
Net finance (expenses)/income from reinsurance contracts		(18,204)	197	302	(17,705)
Total changes in the statement of profit or loss and OCI		(82,832)	4,147	51,318	(27,367)
Cash flows					
Premium paid		215,358	—	—	215,358
Amounts received		—	—	(73,336)	(73,336)
Total cash flows		215,358	—	(73,336)	142,022
Net closing balance		133,691	6,232	158,404	298,327
Closing assets		315,355	5,682	154,373	475,410
Closing liabilities		(181,664)	550	4,031	(177,083)
Net closing balance		133,691	6,232	158,404	298,327

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(ii) (a) Reinsurance contracts held not measured under the premium allocation approach (continued)
Analysis by remaining coverage and incurred claims (continued)

		Year ended 31 December			
		2023			
		Assets for remaining coverage			
US$'000	Note	Excluding loss-recovery component	Loss-recovery component	Assets for incurred claims	Total
Opening assets		304,918	3,034	71,542	379,494
Opening liabilities		(417,276)	439	66,237	(350,600)
Net opening balance		(112,358)	3,473	137,779	28,894
Changes in the statement of profit or loss and OCI					
Allocation of reinsurance premium paid		(54,096)	—	—	(54,096)
Amounts recoverable from reinsurers					
Recoveries of incurred claims and other insurance service expenses		—	(785)	45,570	44,785
Recoveries and reversals of recoveries of losses on onerous underlying contracts		—	(746)	—	(746)
Adjustments to assets for incurred claims		—	—	3,921	3,921
		—	(1,531)	49,491	47,960
Investment components and premium refunds		(177,171)	—	177,171	—
Net (expenses)/income from reinsurance contracts		(231,267)	(1,531)	226,662	(6,136)
Effect of changes in non-performance risk of reinsurers		(214)	—	—	(214)
Net finance (expenses)/income from reinsurance contracts		(8,921)	143	8,446	(332)
Total changes in the statement of profit or loss and OCI		(240,402)	(1,388)	235,108	(6,682)
Cash flows					
Premium paid		353,925	—	—	353,925
Amounts received		—	—	(192,465)	(192,465)
Total cash flows		353,925	—	(192,465)	161,460
Net closing balance		1,165	2,085	180,422	183,672
Closing assets		156,299	1,859	167,200	325,358
Closing liabilities		(155,134)	226	13,222	(141,686)
Net closing balance		1,165	2,085	180,422	183,672

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (a) Reinsurance contracts held not measured under the premium allocation approach (continued)

Analysis by measurement component

		Year ended 31 December						
		2024						
				CSM				
US$'000	Note	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under modified retrospective transition approach	Contracts under fair value transition approach	Other contracts	Subtotal	Total
Opening assets		301,818	829	—	16,659	6,052	22,711	325,358
Opening liabilities		(213,860)	6,774	—	54,453	10,947	65,400	(141,686)
Net opening balance		87,958	7,603	—	71,112	16,999	88,111	183,672
Changes in the statement of profit or loss and OCI								
Changes that relate to current services								
CSM recognised for services received		—	—	—	(1,198)	(1,448)	(2,646)	(2,646)
Change in risk adjustment for non-financial risk for risk expired		—	31	—	—	—	—	31
Experience adjustments		2,345	—	—	—	—	—	2,345
Changes that relate to future services								
Contracts initially recognised in the year		(1,035)	493	—	—	1,261	1,261	719
Changes in estimates that adjust the CSM		78,866	(1,249)	—	(75,022)	(2,595)	(77,617)	—
Changes in recoveries of losses on onerous underlying contracts that adjust the CSM		—	—	—	3,815	950	4,765	4,765
Changes that relate to past services								
Adjustments to assets for incurred claims		(14,833)	—	—	—	—	—	(14,833)
Net income/(expenses) from reinsurance contracts		65,343	(725)	—	(72,405)	(1,832)	(74,237)	(9,619)
Effect of changes in non-performance risk of reinsurers		(43)	—	—	—	—	—	(43)
Net finance (expenses)/income from reinsurance contracts		(20,070)	28	—	1,649	688	2,337	(17,705)
Total changes in the statement of profit or loss and OCI		45,230	(697)	—	(70,756)	(1,144)	(71,900)	(27,367)
Cash flows								
Premium paid		215,358	—	—	—	—	—	215,358
Amounts received		(73,336)	—	—	—	—	—	(73,336)
Total cash flows		142,022	—	—	—	—	—	142,022
Net closing balance		275,210	6,906	—	356	15,855	16,211	298,327
Closing assets		477,792	2	—	5,671	(8,055)	(2,384)	475,410
Closing liabilities		(202,582)	6,904	—	(5,315)	23,910	18,595	(177,083)
Net closing balance		275,210	6,906	—	356	15,855	16,211	298,327

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)

(ii) (a) Reinsurance contracts held not measured under the premium allocation approach (continued)

Analysis by measurement component (continued)

		Year ended 31 December						
		2023						
				CSM				
US$'000	Note	Estimates of present value of future cash flows	Risk adjustment for non-financial risk	Contracts under modified retrospective transition approach	Contracts under fair value transition approach	Other contracts	Subtotal	Total
Opening assets		337,125	1,869	—	31,728	8,772	40,500	379,494
Opening liabilities		(395,404)	4,364	—	40,607	(167)	40,440	(350,600)
Net opening balance		(58,279)	6,233	—	72,335	8,605	80,940	28,894
Changes in the statement of profit or loss and OCI								
Changes that relate to current services								
CSM recognised for services received		—	—	—	(9,702)	5,121	(4,581)	(4,581)
Change in risk adjustment for non-financial risk for risk expired		—	818	—	—	—	—	818
Experience adjustments		(5,548)	—	—	—	—	—	(5,548)
Changes that relate to future services								
Contracts initially recognised in the year		(7,767)	635	—	—	7,173	7,173	41
Changes in estimates that adjust the CSM		(3,177)	(76)	—	5,690	(2,437)	3,253	—
Changes in recoveries of losses on onerous underlying contracts that adjust the CSM		—	—	—	1,236	(2,023)	(787)	(787)
Changes that relate to past services								
Adjustments to assets for incurred claims		3,921	—	—	—	—	—	3,921
Net (expenses)/income from reinsurance contracts		(12,571)	1,377	—	(2,776)	7,834	5,058	(6,136)
Effect of changes in non-performance risk of reinsurers		(214)	—	—	—	—	—	(214)
Net finance (expenses)/income from reinsurance contracts		(2,438)	(7)	—	1,553	560	2,113	(332)
Total changes in the statement of profit or loss and OCI		(15,223)	1,370	—	(1,223)	8,394	7,171	(6,682)
Cash flows								
Premium paid		353,925	—	—	—	—	—	353,925
Amounts received		(192,465)	—	—	—	—	—	(192,465)
Total cash flows		161,460	—	—	—	—	—	161,460
Net closing balance		87,958	7,603	—	71,112	16,999	88,111	183,672
Closing assets		301,818	829	—	16,659	6,052	22,711	325,358
Closing liabilities		(213,860)	6,774	—	54,453	10,947	65,400	(141,686)
Net closing balance		87,958	7,603	—	71,112	16,999	88,111	183,672

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(ii) (b) Reinsurance contract held measured under the premium allocation approach
Analysis by remaining coverage and incurred claims

		Year ended 31 December 2024				
		Assets for remaining coverage		Assets for incurred claims		
US$'000	Note	Excluding loss-recovery component	Loss-recovery component	Estimates of PV of FCF	Risk Adjustment	Total
Opening assets		—	—	—	—	—
Opening liabilities		—	—	—	—	—
Net opening balance		—	—	—	—	—
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premium		(5,886)	—	—	—	(5,886)
		(5,886)	—	—	—	(5,886)
Amounts recoverable from reinsurers						
Recoveries of incurred claims and other insurance service expenses		—	—	3,782	—	3,782
Recoveries and reversals of recoveries of losses on onerous underlying contracts		—	—	—	—	—
Adjustments to assets for incurred claims		—	—	—	—	—
		—	—	3,782	—	3,782
Investment components and premium refunds		—	—	—	—	—
Net expenses from reinsurance contracts		(5,886)	—	3,782	—	(2,104)
Effect of changes in non-performance risk of reinsurers		—	—	—	—	—
Net finance expenses from reinsurance contracts		(15)	—	—	—	(15)
Total changes in the statement of profit or loss and OCI		(5,901)	—	3,782	—	(2,119)
Cash flows						
Premium paid		5,226	—	—	—	5,226
Amounts received		—	—	(3,767)	—	(3,767)
Total cash flows		5,226	—	(3,767)	—	1,459
Net closing balance		(675)	—	15	—	(660)
Closing assets		—	—	15	—	15
Closing liabilities		(675)	—	—	—	(675)
Net closing balance		(675)	—	15	—	(660)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(a) Movement in insurance and reinsurance contract balances (continued)
(ii) (b) Reinsurance contract held measured under the premium allocation approach (continued)
Analysis by remaining coverage and incurred claims (continued)

		Year ended 31 December 2023				
		Assets for remaining coverage		Assets for incurred claims		
US$'000	Note	Excluding loss-recovery component	Loss-recovery component	Estimates of PV of FCF	Risk Adjustment	Total
Opening assets		—	—	—	—	—
Opening liabilities		—	—	—	—	—
Net opening balance		—	—	—	—	—
Changes in the statement of profit or loss and OCI						
Allocation of reinsurance premium		(126)	—	—	—	(126)
		(126)	—	—	—	(126)
Amounts recoverable from reinsurers						
Recoveries of incurred claims and other insurance service expenses		—	—	—	—	—
Recoveries and reversals of recoveries of losses on onerous underlying contracts		—	—	—	—	—
Adjustments to assets for incurred claims		—	—	—	—	—
		—	—	—	—	—
Investment components and premium refunds		—	—	—	—	—
Net expenses from reinsurance contracts		(126)	—	—	—	(126)
Effect of changes in non-performance risk of reinsurers		—	—	—	—	—
Net finance expenses from reinsurance contracts		—	—	—	—	—
Total changes in the statement of profit or loss and OCI		(126)	—	—	—	(126)
Cash flows						
Premium paid		126	—	—	—	126
Amounts received		—	—	—	—	—
Total cash flows		126	—	—	—	126
Net closing balance		—	—	—	—	—
Closing assets		—	—	—	—	—
Closing liabilities		—	—	—	—	—
Net closing balance		—	—	—	—	—

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(b) Effect of contracts initially recognised in the year

The following tables summarise the effect on the measurement components arising from the initial recognition of insurance and reinsurance contracts held not measured under the PAA in the year.

(i) Insurance contracts

US$'000	Profitable contracts issued	Onerous contracts issued	Total
31 December 2024			
Claims and other insurance service expenses payable	(2,807,487)	(61,441)	(2,868,928)
Insurance acquisition cash flows	(1,061,425)	(8,060)	(1,069,485)
Estimates of present value of cash outflows	(3,868,912)	(69,501)	(3,938,413)
Estimates of present value of cash inflows	4,305,610	68,744	4,374,354
Risk adjustment for non-financial risk	(23,493)	(92)	(23,585)
CSM	(413,205)	—	(413,205)
Amount included in insurance contract assets/liabilities for the year	—	(849)	(849)
31 December 2023			
Claims and other insurance service expenses payable	(2,309,222)	(244,599)	(2,553,821)
Insurance acquisition cash flows	(918,170)	(39,324)	(957,494)
Estimates of present value of cash outflows	(3,227,392)	(283,923)	(3,511,315)
Estimates of present value of cash inflows	3,542,487	279,829	3,822,316
Risk adjustment for non-financial risk	(35,370)	(513)	(35,883)
CSM	(279,725)	—	(279,725)
Amount included in insurance contract assets/liabilities for the year	—	(4,607)	(4,607)

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

INSURANCE AND REINSURANCE CONTRACTS (continued)

(b) Effect of contracts initially recognised in the year (continued)

(ii) Reinsurance contracts held

US$'000	Contracts initiated
31 December 2024	
Estimates of present value of cash inflows	295,700
Estimates of present value of cash outflows	(296,735)
Risk adjustment for non-financial risk	493
CSM	1,261
Amount included in reinsurance contract assets/liabilities for the year	719
31 December 2023	
Estimates of present value of cash inflows	47,832
Estimates of present value of cash outflows	(55,599)
Risk adjustment for non-financial risk	635
CSM	7,173
Amount included in reinsurance contract assets/liabilities for the year	41

(c) CSM

The following table sets out when the Company expects to recognise the remaining CSM in profit or loss after the reporting date for contracts not measured under the PAA.

	As at 31 December					
	2024			2023		
US$'000	Insurance contracts	Reinsurance contracts held	Total	Insurance contracts	Reinsurance contracts held	Total
Within one year	196,287	(3,457)	192,830	174,732	(10,557)	164,175
One to five years	581,675	(5,607)	576,068	500,609	(29,515)	471,094
Five to ten years	425,442	(2,892)	422,550	367,051	(20,160)	346,891
More than ten years	529,302	(4,255)	525,047	481,683	(27,879)	453,804
Total	1,732,706	(16,211)	1,716,495	1,524,075	(88,111)	1,435,964

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

The following table summarises the key variables on which insurance and investment contract cash flows depend.

Type of contract	Material terms and conditions	Nature of benefits and compensation for claims	Factors affecting contract cash flows
Traditional participating life assurance with DPF	Participating products combine protection with a savings element. The basic sum assured, payable on death or maturity, may be enhanced by dividends, the timing or amount of which is at the discretion of the insurer taking into account factors such as investment experience.	Minimum guaranteed benefits may be enhanced based on investment experience and other considerations.	Investment performance Expenses Mortality Lapses Morbidity Dividend / bonus rates
Traditional non-participating life	Benefits paid on death, maturity, sickness or disability that are fixed and guaranteed and not at the discretion of the insurer.	Benefits, defined in the insurance contract, are determined by the contract and are not affected by investment performance or the performance of the contract as a whole.	Mortality Morbidity Lapses Expenses
Accident and health non-participating	These products provide morbidity or sickness benefits and include health, disability, critical illness and accident cover.	Benefits, defined in the insurance contract, are determined by the contract and are not affected by investment performance or the performance of the contract as a whole.	Mortality Morbidity Lapses Expenses
Universal Life	Universal Life contracts combine savings with protection. Account balances are credited with interest at a rate set by the insurer.	Benefits are based on the account balance and death and living benefits.	Investment performance Crediting rates Lapses Partial withdrawals Premium holidays Expenses Mortality Morbidity
Unit-linked	Investment-linked contracts combine savings with protection, the cash value of the policy depending on the value of unitised funds.	Benefits are based on the value of the unitised funds and death and living benefits.	Investment performance Lapses Partial withdrawals Premium holidays Expenses Mortality Morbidity

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

Methodology and assumptions (continued)

The most significant items to which profit or loss for the period and shareholders' equity are sensitive are market, insurance and lapse risks which are shown in the table below. Indirect exposure indicates that there is a second order impact. For example, whilst the profit or loss for the period attributable to shareholders is not directly affected by investment income earned where the investment risk is borne by policyholders (for example, in respect of unit-linked contracts), there is a second order effect through the investment management fees which the Company earns by managing such investments. The distinction between direct and indirect exposure is not intended to indicate the relative sensitivity to each of these items. Where the direct exposure is shown as being "net neutral", this is because the exposure to market and credit risk is offset by a corresponding movement in insurance contract liabilities.

	Market and credit risk			
	Direct exposure			
Type of contract	Insurance contract liabilities	Risks associated with related investment portfolio	Indirect exposure	Significant insurance and lapse risks
Traditional participating life assurance with DPF	Net neutral except for the insurer's share of participating investment performance Guarantees	Net neutral except for the insurer's share of participating investment performance	Investment performance	Persistency Mortality Morbidity
Traditional non-participating life assurance	Investment performance Asset-liability mismatch risk	Asset-liability mismatch risk Credit Risk Investment performance	Not applicable	Mortality Morbidity Persistency
Accident and health non-participating	Loss ratio Asset-liability mismatch risk	Investment performance Credit risk Asset-liability mismatch risk	Not applicable	Morbidity Persistency
Universal Life	Guarantees Asset-liability mismatch risk	Investment performance Credit risk Asset-liability mismatch risk	Spread between earned rate and crediting rate to policyholders	Mortality Persistency Partial withdrawals Premium holidays
Unit-Linked	Net neutral	Net neutral	Performance-related investment management fees	Mortality Persistency Partial withdrawals Premium holidays

The Company is also exposed to foreign currency risk in respect of its operations, and to interest rate risk, credit risk and equity price risk on assets representing net shareholders' equity, and to expense risk to the extent that actual expenses exceed those that can be charged to insurance contract holders on non-participating business. Expense assumptions applied in the Company's actuarial valuation models assume a continuing level of business volumes.

13 INSURANCE AND REINSURANCE CONTRACT BALANCES (continued)

Discount rates

All cash flows are discounted using risk-free yield curves adjusted to reflect the characteristics of the cash flows and the liquidity of the insurance contracts. The Company generally determines the risk-free rates using either government bond yields or swap yield curve. The yield curve is interpolated between the last available market data point and an ultimate forward rate, which reflects long-term real interest rate and inflation expectations. Although the ultimate forward rate is subject to revision, it is expected to be stable and would change only on changes to long-term expectations. To reflect the liquidity characteristics of the insurance contracts, the risk-free yield curves are adjusted by an illiquidity premium. Illiquidity premiums are generally determined by adjusting the return of a reference portfolio to eliminate any factors that are not relevant to the insurance contracts.

The tables below set out the spot rates used to discount the cash flows of insurance contracts for major currencies.

As at 31 December 2024	1 year		5 years		10 years		15 years		20 years	
Spot rates	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium
CNY	1.08 %	1.64 %	1.42 %	1.98 %	1.70 %	2.25 %	2.09 %	2.65 %	2.52 %	3.08 %
HKD	3.88 %	4.70 %	3.60 %	4.41 %	3.65 %	4.46 %	3.72 %	4.53 %	3.75 %	4.56 %
USD	4.11 %	4.85 %	4.34 %	5.08 %	4.55 %	5.29 %	4.77 %	5.51 %	4.90 %	5.64 %

As at 31 December 2023	1 year		5 years		10 years		15 years		20 years	
Spot rates	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium	Risk free	With illiquidity premium
CNY	2.07 %	2.53 %	2.41 %	2.86 %	2.58 %	3.04 %	2.82 %	3.28 %	3.12 %	3.57 %
HKD	4.29 %	5.29 %	3.27 %	4.27 %	3.29 %	4.29 %	3.41 %	4.41 %	3.47 %	4.47 %
USD	4.70 %	5.66 %	3.79 %	4.75 %	3.83 %	4.78 %	3.94 %	4.89 %	4.27 %	5.22 %

Cash flows that vary based on the returns on any financial underlying items are adjusted for the effect of that variability using risk-neutral measurement techniques and discounted using the risk-free rates as adjusted for illiquidity.

When the present value of future cash flows is estimated by stochastic modelling, the cash flows are discounted at scenario-specific rates calibrated, on average, to be the risk-free rates as adjusted for illiquidity.

Risk adjustments for non-financial risk

Risk adjustments for non-financial risk are generally determined by considering the expected cash flows arising from insurance contracts in each segment for each of the geographical markets in which the Company operates, consistent with the way that non-financial risk is managed. Risk adjustments are determined separately from estimates from the present value of future cash flows, using the confidence level technique.

Applying a confidence level technique, the Company estimates the probability distribution of the expected present value of the future cash flows from insurance contracts at each reporting date and calculates the risk adjustment for non-financial risk as the excess of the value at risk at 75th percentile (the target confidence level) over the expected present value of the future cash flows.

14 FINANCIAL INVESTMENTS

The following tables analyse the Company's financial investments by type and nature. The Company manages its financial investments in two distinct categories: "Unit-linked Investments" and "Policyholder and Shareholder Investments".

The investment risk in respect of Unit-linked Investments is generally wholly borne by the customers, and does not directly affect the profit for the period before tax. Furthermore, unit-linked contract holders are responsible for allocation of their policy values amongst investment options offered by the Company. Although profit before tax for the period is not affected by Unit-linked Investments, the investment return from such financial investments is included in the Company's profit before tax for the period, as the Company has elected the fair value option for all Unit-linked Investments with corresponding changes in insurance and investment contract liabilities for unit-linked contracts. Policyholder and Shareholder Investments include all financial investments other than Unit-linked Investments. The investment risk in respect of Policyholder and Shareholder Investments is partially or wholly borne by the Company.

Policyholder and Shareholder Investments are further categorised as "Participating Funds", other participating business with discretionary expected sharing with policyholders and underlying distinct investment portfolios ("Other Participating Business with distinct Portfolios") and "Other Policyholder and Shareholder Investments". Other Participating Business with distinct Portfolios refers to business where it is expected that the policyholder will receive, at the discretion of the insurer, additional benefits based on the performance of underlying segregated investment assets where this asset segregation is supported by an explicit statutory reserve and reporting in the relevant territory.

The reason for separately analysing financial investments held by Participating Funds and Other Participating Business with distinct Portfolios is that Participating Funds are subject to local regulations that generally prescribe a minimum proportion of policyholder participation in declared dividends and for Other Participating Business with distinct Portfolios it is, as explained above, expected that the policyholder will receive, at the discretion of the insurer, additional benefits based on the performance of the underlying segregated investment assets where this asset segregation is supported by an explicit statutory reserve and reporting in the relevant territory. The Company's accounting policy is to record an insurance liability for the proportion of net assets of the Participating Funds that would be allocated to policyholders assuming all performance would be declared as a dividend based upon local regulations as at the date of the statement of financial position. As a result, the Company's net profit before tax for the period is impacted by the proportion of investment return that would be allocated to shareholders as described above. For Other Participating Business with distinct Portfolios, the Company either have discretion as to the timing or amount of additional benefits to the policyholders. The investment risk from Other Participating Business with distinct Portfolios directly impacts the Company's financial statements, but it is expected that a proportion of investment return may be allocated to policyholders through policyholder dividends.

Other Policyholder and Shareholder Investments are distinct from Unit-linked Investments, Participating Funds and Other Participating Business with distinct Portfolios as there is not any direct contractual or regulatory requirement governing the amount, if any, for allocation to policyholders or it is not expected that the policyholder will receive at the discretion of the insurer additional benefits based on the performance of the underlying segregated investment assets where this asset segregation is supported by an explicit statutory reserve and reporting in the relevant territory. The investment risk from investments in this category directly impacts the Company's financial statements. Although a proportion of investment return may be allocated to policyholders through policyholder dividends, the Company's accounting policy for insurance and certain investment contract liabilities utilises a net level premium methodology that includes best estimates as at the date of issue for non-guaranteed participation. To the extent investment return from these investments either is not allocated to participating contracts or varies from the best estimates, it will impact the Company's profit before tax.

14 FINANCIAL INVESTMENTS (continued)

14.1 Debt securities

In compiling the tables below, external international issue ratings have been used in accordance with the Company's credit risk assessment framework. Where external international issue ratings are not readily available, external local issue ratings are used by mapping to external international ratings based on an internal rating methodology. Where there is no external international or local issue rating, the external credit rating of the issuer is used and if not available, the debt security is classified as not-rated.

Standard and Poor's and Fitch	Moody's	Internal ratings reported as
AAA	Aaa	AAA
AA+ to AA-	Aa1 to Aa3	AA
A+ to A-	A1 to A3	A
BBB+ to BBB-	Baa1 to Baa3	BBB
BB+ to BB-	Ba1 to Ba3	BB (Below investment grade)
B+ to B-	B1 to B3	B (Below investment grade)
CCC and below	Caa1 and below	Not rated

Debt securities by type comprise the following:

	Policyholder and Shareholder Investments						
	Participating Funds and Other Participating Business with distinct Portfolios		Other Policyholder and Shareholder Investments		Unit-linked		Total
US$'000	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	
31 December 2024							
Government bonds							
United States	—	1,805,892	—	180,668	—	—	1,986,560
Other	—	474,673	—	12,962	—	—	487,635
Sub-total	—	2,280,565	—	193,630	—	—	2,474,195
Government agency bonds[1]							
AAA	1,530	1,682	—	—	—	—	3,212
AA	—	379,462	—	51,104	—	—	430,566
A	—	95,441	—	23,407	—	—	118,848
BBB	—	45,718	—	34,426	—	—	80,144
Below investment grade	—	—	—	—	—	—	—
Not rated	—	—	—	—	—	—	—
Sub-total	1,530	522,303	—	108,937	—	—	632,770
Corporate bonds							
AAA	—	135,330	—	5,177	—	—	140,507
AA	365	432,626	—	55,461	—	—	488,452
A	90,213	2,225,095	50,510	822,984	—	—	3,188,802
BBB	108,790	1,084,438	95,207	1,101,941	—	—	2,390,376
Below investment grade	—	—	—	44,232	—	—	44,232
Not rated	45,357	67,909	40,521	7,371	—	—	161,158
Sub-total	244,725	3,945,398	186,238	2,037,166	—	—	6,413,527

14 FINANCIAL INVESTMENTS (continued)

14.1 Debt securities (continued)

US$'000	Policyholder and Shareholder Investments						Total
	Participating Funds and Other Participating Business with distinct Portfolios		Other Policyholder and Shareholder Investments		Unit-linked		
	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	
31 December 2024							
Structured securities[2]							
AAA	34,034	315,814	—	29,909	—	—	379,757
AA	246,851	741,482	65,104	144,731	—	—	1,198,168
A	40,322	615,679	—	143,349	—	—	799,350
BBB	—	88,438	—	1,369	—	—	89,807
Below investment grade	—	—	—	—	—	—	—
Not rated	41,978	52,557	7,180	—	—	—	101,715
Sub-total	363,185	1,813,970	72,284	319,358	—	—	2,568,797
Others							
Certificate of deposits	—	—	—	1,419	—	—	1,419
Others	—	—	—	—	—	—	—
Sub-total	—	—	—	1,419	—	—	1,419
Total	**609,440**	**8,562,236**	**258,522**	**2,660,510**	**—**	**—**	**12,090,708**

Notes:
[1] Government agency bonds comprise bonds issued by government-sponsored institutions such as national, provincial and municipal authorities and government-related entities.
[2] Structured securities include collateralised debt obligations, mortgage-backed securities and other asset-backed securities.

14 FINANCIAL INVESTMENTS (continued)

14.1 Debt securities (continued)

US$'000	Policyholder and Shareholder Investments						
	Participating Funds and Other Participating Business with distinct Portfolios		Other Policyholder and Shareholder Investments		Unit-linked		Total
	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	FVTPL (Mandatory)	FVOCI	
31 December 2023							
Government bonds							
United States	—	601,095	—	178,999	—	2,095	782,189
Other	—	649,917	—	52,286	—	2,301	704,504
Sub-total	—	1,251,012	—	231,285	—	4,396	1,486,693
Government agency bonds[1]							
AAA	1,594	13,144	—	—	—	—	14,738
AA	—	418,486	—	58,427	—	5,527	482,440
A	—	126,922	—	21,826	—	—	148,748
BBB	—	16,764	—	798	—	879	18,441
Below investment grade	—	—	—	—	—	—	—
Not rated	—	—	—	—	—	—	—
Sub-total	1,594	575,316	—	81,051	—	6,406	664,367
Corporate bonds							
AAA	—	140,597	—	14,040	—	—	154,637
AA	—	384,322	—	128,652	—	3,045	516,019
A	53,056	2,166,156	45,401	1,050,067	—	7,049	3,321,729
BBB	197,188	1,631,287	128,426	1,380,197	761	4,905	3,342,764
Below investment grade	9,988	17,694	—	55,874	—	—	83,556
Not rated	46,686	46,028	47,999	7,584	106	—	148,403
Sub-total	306,918	4,386,084	221,826	2,636,414	867	14,999	7,567,108
Structured securities[2]							
AAA	3,289	60,253	235	4,924	—	—	68,701
AA	5,347	151,481	—	4,575	—	—	161,403
A	40,733	173,790	8,159	12,290	—	—	234,972
BBB	44,996	168,000	4,232	19,057	—	—	236,285
Below investment grade	2,976	—	2,977	—	—	—	5,953
Not rated	—	10,106	—	500	—	—	10,606
Sub-total	97,341	563,630	15,603	41,346	—	—	717,920
Others							
Certificate of deposits	—	17,166	—	1,409	—	—	18,575
Others	—	—	—	—	—	—	—
Sub-total	—	17,166	—	1,409	—	—	18,575
Total	**405,853**	**6,793,208**	**237,429**	**2,991,505**	**867**	**25,801**	**10,454,663**

Notes:
[1] Government agency bonds comprise bonds issued by government-sponsored institutions such as national, provincial and municipal authorities and government-related entities.
[2] Structured securities include collateralised debt obligations, mortgage-backed securities and other asset-backed securities.

14 FINANCIAL INVESTMENTS (continued)

14.1 Debt securities (continued)

As at 31 December 2024 and 2023, debt securities of US$194,911,000 and US$173,609,000, are subject to repurchase and forward agreements, whereby securities are sold to third parties with a concurrent agreement to repurchase the securities at a specified date. The securities related to the repurchase and forward agreements are not derecognised from the statement of financial position, but are retained within the appropriate financial asset classification. During the term of the repurchase and forward agreements, the counterparty is restricted from selling or pledging the transferred debt securities. Refer to Note 20 for additional information on the associated liabilities.

14.2 Equity securities

Equity securities at fair value through profit and loss comprise the following:

	Policyholder and Shareholder Investments				
US$'000	Participating Funds and Other Participating Business with distinct	Other Policyholder and Shareholder Investments	Sub-total	Unit-linked	Total
31 December 2024	**78,251**	**25,958**	**104,209**	**591**	**104,800**
31 December 2023	**66,849**	**23,846**	**90,695**	**554**	**91,249**

14.3 Interests in investment funds

Interests in investment funds at fair value through profit and loss comprise the following:

	Policyholder and Shareholder Investments				
US$'000	Participating Funds and Other Participating Business with distinct	Other Policyholder and Shareholder Investments	Sub-total	Unit-linked	Total
31 December 2024	**3,198,174**	**527,344**	**3,725,518**	**535,655**	**4,261,173**
31 December 2023	**3,627,759**	**600,586**	**4,228,345**	**540,543**	**4,768,888**

14 FINANCIAL INVESTMENTS (continued)

14.4 Debt securities, equity securities and interests in investment funds

US$'000	As at 31 December 2024	2023
Debt securities		
Policyholder and Shareholder Investments		
Listed	7,992,118	8,353,570
Unlisted	4,098,590	2,074,425
Unit linked		
Listed	—	26,561
Unlisted	—	107
Total	12,090,708	10,454,663
Equity securities		
Policyholder and Shareholder Investments		
Listed	5,111	822
Unlisted	99,098	89,873
Unit-linked		
Listed	591	554
Unlisted	—	—
Total	104,800	91,249
Interests in investment funds		
Policyholder and Shareholder Investments		
Listed	1,025,460	1,463,821
Unlisted	2,700,058	2,764,524
Unit-linked		
Listed	48,711	21,014
Unlisted	486,944	519,529
Total	4,261,173	4,768,888

14.5 Loans and deposits

US$'000	As at 31 December 2024	2023
Secured loans	4,884	5,736
Provision for impairment	(638)	(514)
At end of year	**4,246**	**5,222**

Secured loans are carried at amortised cost less repayment and any impairment losses. The carrying amounts of secured loans approximate to their fair values.

15 DERIVATIVE FINANCIAL INSTRUMENTS

The followings summarised the Company's derivative exposure:

		Fair value	
US$'000	Notional amount	Assets	Liabilities
31 December 2024			
Foreign exchange contracts			
Forwards	4,167,538	28,446	(6,448)
Cross-currency swaps	414,791	18,751	(1,957)
Total foreign exchange contracts	4,582,329	47,197	(8,405)
Others			
Warrants and options	330,166	1	(10,328)
Bond forward contracts	1,450,000	4,576	(137,240)
Total	**6,362,495**	**51,774**	**(155,973)**
31 December 2023			
Foreign exchange contracts			
Forwards	2,689,744	17,309	(16,093)
Cross-currency swaps	389,809	10,135	(12,863)
Total foreign exchange contracts	3,079,553	27,444	(28,956)
Others			
Warrants and options	84,530	6	—
Bond forward contracts	337,000	—	(36,863)
Total	**3,501,083**	**27,450**	**(65,819)**

The Company's derivatives are over-the-counter ("OTC") derivatives. OTC derivative contracts are individually negotiated between contracting parties and not cleared through an exchange. OTC derivatives include forwards, swaps and options. Derivatives are subject to various risks including market, liquidity and credit risks, similar to those related to the underlying financial instruments.

Derivatives assets and derivative liabilities are recognised in the statement of financial position as financial assets at fair value through profit or loss and derivative financial liabilities, respectively. The Company's derivative contracts are established to economic hedge financial exposures. The Company adopts hedge accounting in limited circumstances. The notional or contractual amounts associated with derivative financial instruments are not recorded as assets or liabilities in the statement of financial position as they do not represent the fair value of these transactions. The notional amounts in the previous table reflect the aggregate of individual derivative positions on a gross basis and so give an indication of the overall scale of derivative transactions.

Foreign exchange contracts

Foreign exchange forward and futures contracts represent agreements to exchange the currency of one country for the currency of another country at an agreed price and settlement date. Currency options are agreements that give the buyer the right to exchange the currency of one country for the currency of another country at agreed prices and settlement dates. Currency swaps are contractual agreements that involve the exchange of both periodic and final amounts in two different currencies. Exposure to gains and losses on the foreign exchange contracts will increase or decrease over their respective lives as a function of maturity dates, interest and foreign exchange rates, implied volatility of the underlying indices and the timing of payments.

Interest rate swaps

Interest rate contracts are contractual agreements between two parties to exchange periodic payments in the same currency, each of which is computed on a different interest rate basis, on a specified notional amount. Most interest rate contracts involve the net exchange of payments calculated as the difference between the fixed and floating rate interest payments.

15 DERIVATIVE FINANCIAL INSTRUMENTS (continued)

Other derivatives

Forward contracts are contractual obligations to buy or sell a financial instrument on a predetermined future date at a specified price. Credit default swaps represent agreements under which the Company has purchased default protection on certain underlying corporate bonds held in its portfolio. These credit default swaps allow the Company to sell the protected bonds at par value to the counterparty if a default event occurs in exchange for periodic payments made by the Company for the life of the agreement.

Collateral under derivative transactions

As at 31 December 2024, the Company held cash collateral of US$8,700,000 and debt securities collateral with a carrying value of US$7,606,000 for assets and pledged debt securities with a carrying value of US$133,056,000 for liabilities. As at 31 December 2023, the Company held cash collateral of US$7,574,000 and debt securities collateral with a carrying value of US$9,710,000 for assets and pledged debt securities with a carrying value of US$47,266,000 for liabilities. The Company did not sell or repledge the collateral received. These transactions are conducted under terms that are usual and customary to collateralised transactions.

Derivatives designated as hedging instruments

The Company has designated several cross currency swaps as hedging instruments in respect of the future cash flows of the Company's fixed income assets denominated in foreign currencies with fair values of US$2,555,000 and US$7,990,000 as at 31 December 2024 and 2023 respectively. The terms of the cross currency swaps match future cash flows of the fixed income assets. These hedging relationships were considered highly effective as at 31 December 2024 and 2023 and recognised in the hedging reserve.

For derivative financial instruments that are not designated for hedge accounting purposes are measured at fair value through profit or loss with carrying amounts of the derivatives financial instruments are the same as their fair values.

16 FAIR VALUE MEASUREMENT

Fair value hierarchy

The fair value is the amount that would be received on sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Assets and liabilities recorded at fair value in the statement of financial position are measured and classified in a hierarchy for disclosure purposes consisting of three "levels" based on the observability of inputs available in the marketplace used to measure their fair values ("Fair Value Hierarchy") as discussed below:

- Level 1: Fair value measurements that are quoted prices (unadjusted) in active markets for identical assets or liabilities that the Company has the ability to access as of the measurement date. Market price data is generally obtained from exchange or dealer markets. The Company does not adjust the quoted price for such instruments. Assets measured at fair value on a recurring basis and classified as Level 1 are actively traded equities and debt securities.

- Level 2: Fair value measurements based on inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (as prices) or indirectly (derived from prices). Level 2 inputs include quoted prices for similar assets and liabilities in active markets, quoted prices for identical or similar assets or liabilities in markets that are not active and inputs other than quoted prices that are observable for the asset and liability, such as interest rates and yield curves that are observable at commonly quoted intervals. Assets and liabilities measured at fair value on a recurring basis and classified as Level 2 generally includes debt securities, equity securities, interests in investment funds and derivative contracts.

- Level 3: Fair value measurements based on valuation techniques that use significant inputs that are unobservable. Unobservable inputs are only used to measure fair value to the extent that relevant observable inputs are not available, allowing for circumstances in which there is little, if any, market activity for the asset or liability. Assets and liabilities measured at fair value on a recurring basis and classified as Level 3 mainly includes private equity fund investments.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the level in the fair value hierarchy within which the fair value measurement in its entirety falls is determined based on the lowest level input that is significant to the fair value measurement in its entirety. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgement. In making the assessment, the Company considers factors specific to the asset or liability.

16 FAIR VALUE MEASUREMENT (continued)

16.1 Fair value measurements on a recurring basis

The Company measures certain investment in subsidiaries, financial instruments classified at fair value through profit or loss, financial instruments classified at fair value through OCI, derivative assets and liabilities, and investment contract liabilities at fair value on a recurring basis. The following methods and assumptions were used by the Company to estimate the fair value.

Debt securities, equity securities, investment in subsidiaries at fair value and interests in investment funds

Fair values for fixed interest securities are based on quoted market prices, where available. For those securities not actively traded, fair values are estimated using values obtained from brokers, private pricing services or by discounting expected future cash flows using a current market rate applicable to the yield, credit quality and maturity of the investment. Priority is given to values from independent sources when available, but overall the source of pricing and/or valuation technique is chosen with the objective of arriving at the price at which an orderly transaction would take place between market participants on the measurement date. The inputs to determining fair value that are relevant to fixed interest securities include, but not limited to risk-free interest rates, the obligor's credit spreads, foreign exchange rates and credit default rates.

The fair values of listed equity securities and investment funds are based on quoted market prices. The transaction price is used as the best estimate of fair value at inception. The fair values of unlisted private equity funds and investment in subsidiaries at fair value are based on the reported net assets value ("NAV") in their financial statements, considering various factors including the accounting policies adopted by the investees, the restrictions and barriers preventing the Company from disposing the investments, the Company's ownership percentage over the investee and other relevant factors.

Derivative financial instruments

The Company values its derivative financial assets and liabilities using market transactions and other market evidence whenever possible, including market-based inputs to models, model calibration to market clearing transactions, broker or dealer quotations or alternative pricing sources with reasonable levels of price transparency. When models are used, the selection of a particular model to value a derivative depends on the contract terms of, and specific risks inherent in, the instrument as well as the availability of pricing information in the market. The Company generally uses similar models to value similar instruments. Valuation models require a variety of inputs, including contractual terms, market prices and rates, yield curves, credit curves, measures of volatility, prepayment rates and correlations of such inputs. For derivatives that trade in liquid markets, such as generic forwards, swaps and options, model inputs can generally be verified and model selection does not involve significant management judgement. Examples of inputs that are generally observable include foreign exchange spot and forward rates, benchmark interest rate curves and volatilities for commonly traded option products. Examples of inputs that may be unobservable include volatilities for less commonly traded option products and correlations between market factors.

Investment contract liabilities without DPF

Investment contracts can be surrendered by the holder at any time. Accordingly, their fair value is not less than the amount payable on demand. The fair values are based on the fair value of the underlying items less any surrender charges.

16 FAIR VALUE MEASUREMENT (continued)

16.1 Fair value measurements on a recurring basis (continued)

A summary of assets and liabilities carried at fair value on a recurring basis according to fair value hierarchy is given below:

	Fair value hierarchy			
US$'000	Level 1	Level 2	Level 3	Total
31 December 2024				
Recurring fair value measurements				
Investment in subsidiaries	—	—	252,765	252,765
Financial assets				
At fair value through OCI				
Debt securities	2,002,165	9,220,581	—	11,222,746
Government bonds	2,002,165	472,030	—	2,474,195
Government agency bonds	—	631,240	—	631,240
Corporate bonds	—	5,982,564	—	5,982,564
Structured securities	—	2,133,328	—	2,133,328
Others	—	1,419	—	1,419
At fair value through profit or loss				
Debt securities	—	867,962	—	867,962
Government agency bonds	—	1,530	—	1,530
Corporate bonds	—	430,963	—	430,963
Structured securities	—	435,469	—	435,469
Equity securities	5,702	—	99,098	104,800
Interests in investment funds	1,058,203	862,360	2,340,610	4,261,173
Derivative financial instruments	—	51,774	—	51,774
Total assets on a recurring fair value	**3,066,070**	**11,002,677**	**2,692,473**	**16,761,220**
% of Total	*18%*	*66%*	*16%*	*100%*
Financial liabilities				
Investment contract liabilities without DPF	—	—	32,418	32,418
Derivative financial instruments	—	155,973	—	155,973
Total liabilities on a recurring fair value	**—**	**155,973**	**32,418**	**188,391**
% of Total	*—%*	*83%*	*17%*	*100%*

16 FAIR VALUE MEASUREMENT (continued)

16.1 Fair value measurements on a recurring basis (continued)

	Fair value hierarchy			
US$'000	Level 1	Level 2	Level 3	Total
31 December 2023				
Recurring fair value measurements				
Investment in subsidiaries	—	—	246,305	246,305
Financial assets				
At fair value through OCI				
Debt securities	811,565	8,998,949	—	9,810,514
Government bonds	811,565	675,128	—	1,486,693
Government agency bonds	—	662,773	—	662,773
Corporate bonds	—	7,037,497	—	7,037,497
Structured securities	—	604,976	—	604,976
Others	—	18,575	—	18,575
At fair value through profit or loss				
Debt securities	—	644,149	—	644,149
Government agency bonds	—	1,594	—	1,594
Corporate bonds	—	529,611	—	529,611
Structured securities	—	112,944	—	112,944
Equity securities	1,376	—	89,873	91,249
Interests in investment funds	1,467,559	993,616	2,307,713	4,768,888
Derivative financial instruments	—	27,450	—	27,450
Total assets on a recurring fair value	**2,280,500**	**10,664,164**	**2,643,891**	**15,588,555**
% of Total	*15%*	*68%*	*17%*	*100%*
Financial liabilities				
Investment contract liabilities without DPF	—	—	56,375	56,375
Derivative financial instruments	—	65,819	—	65,819
Total liabilities on a recurring fair value	**—**	**65,819**	**56,375**	**122,194**
% of Total	*—%*	*54%*	*46%*	*100%*

The Company's policy is to recognise transfers of assets and liabilities between Level 1 and Level 2 at their fair values as at the end of each reporting period, consistent with the date of the determination of fair value. Assets are transferred out of Level 1 when they are no longer transacted with sufficient frequency and volume in an active market. There are no movement of financial assets between Level 1 and Level 2 during the year ended 31 December 2024. During the year ended 31 December 2023, US$1,507,000 of listed government bonds and US$500,000 unlisted investment funds were transferred from level 1 to level 2 respectively while US$28,019,000 of listed government bonds were transferred from Level 2 to Level 1.

The Company's Level 2 financial instruments include debt securities, equity securities, and derivative instruments. The fair values of Level 2 financial instruments are estimated using values obtained from private pricing services and brokers corroborated with internal review as necessary. When the quotes from third-party pricing services and brokers are not available, internal valuation techniques and inputs will be used to derive the fair value for the financial instruments.

The tables below set out a summary of changes in the Company's Level 3 assets and liabilities measured at fair value on a recurring basis for the years ended 31 December 2024 and 2023. The tables reflect gains and losses, including gains and losses on assets and liabilities categorised as Level 3 as at 31 December 2024 and 2023. During the years ended 31 December 2023 and 2024, there were no transfers into or out of Level 3.

16 FAIR VALUE MEASUREMENT (continued)

16.1 Fair value measurements on a recurring basis (continued)

Level 3 assets and liabilities

US$'000	Equity securities	Interests in investment funds	Investment contract liabilities without DPF	Investment in subsidiaries
As at 1 January 2024	89,873	2,307,713	(56,375)	246,305
Net movement on investment contract liabilities	—	—	23,957	—
Total gains/(losses) reported under investment return in the statement of profit or loss	9,225	(52,471)	—	6,460
Purchases	—	185,400	—	—
Sales	—	(100,032)	—	—
As at 31 December 2024	99,098	2,340,610	(32,418)	252,765
Change in unrealised gains/(losses) included in the statement of profit or loss for assets and liabilities held at the end of the reporting period, under investment return	9,225	(62,174)	—	6,460

US$'000	Equity securities	Interests in investment funds	Investment contract liabilities without DPF	Investment in subsidiaries
As at 1 January 2023	75,157	2,167,903	(112,134)	246,305
Net movement on investment contract liabilities	—	—	55,759	—
Total gains/(losses) reported under investment return in the statement of profit or loss	14,716	(77,797)	—	—
Purchases	—	313,368	—	—
Sales	—	(95,761)	—	—
As at 31 December 2023	89,873	2,307,713	(56,375)	246,305
Change in unrealised losses included in the statement of profit or loss for assets and liabilities held at the end of the reporting period, under investment return	13,775	(72,473)	—	—

Movements in investment contract liabilities at fair value are offset by movements in the underlying portfolio of matching assets. Details of the movement in investment contract liabilities are provided in Note 19.

16 FAIR VALUE MEASUREMENT (continued)

16.1 Fair value measurements on a recurring basis (continued)

Level 3 interests in investment funds and equity securities

As at 31 December 2024 and 2023, interests in investment funds classified as level 3 mainly include unlisted investment funds, and equity securities classified as level 3 mainly include unlisted private equity funds. The Company determines the fair values of these investment funds and unlisted private equity funds based on the reported NAV in their audited financial statements and may make adjustments where appropriate taking into consideration various factors including accounting policies adopted by the fund, the restrictions and barriers preventing the Company from disposing of its interests in such fund and the Company's ownership percentage in such fund. For those funds where December year end audited financial statements are not available, the Company performs a roll forward analysis on the latest NAV of the fund based on fund managers' statements available and capital movements up to the December year end. This valuation methodology is in accordance with guidelines of the International Valuation Standards Council. The Company considers that the change in the input to the valuation technique would not have a significant impact on the financial statements. No quantitative analysis has been presented.

Level 3 investment contract liabilities without DPF

Investment contract liabilities categorised in Level 3 of the fair value hierarchy are measured with reference to the value of the underlying items which are mainly unlisted investment funds.

16.2 Fair value measurements for disclosure purpose

Fair values of financial assets and liabilities for disclosure purpose are determined using the same Fair Value Hierarchy.

Loans and deposits

For loans and deposits that are repriced frequently and have not had any significant changes in credit risk, carrying amounts represent a reasonable estimate of fair values. The carrying amount of cash and cash equivalents, other financial assets and other financial liabilities are not materially different to their fair values.

Other assets

The carrying amount of other financial assets is not materially different to their fair value.

Cash and cash equivalents

The carrying amount of cash approximates its fair value.

Other liabilities

The fair values of other unquoted financial liabilities is estimated by discounting expected future cash flows using current market rates applicable to their yield, credit quality and maturity, except for those without stated maturity, where the carrying value approximates to fair value.

16 FAIR VALUE MEASUREMENT (continued)

16.2 Fair value measurements for disclosure purpose (continued)

Fair value of underlying items for the Company's insurance contracts with direct participation features as at 31 December 2024 and 2023 is given below.

	As at 31 December	
US$'000	2024	2023
Financial assets		
At fair value through OCI		
Debt securities	10,537,094	9,088,227
Government bonds	2,307,879	1,305,908
Government agency bonds	585,062	639,156
Corporate bonds	5,528,648	6,522,777
Structured securities	2,114,086	601,811
Others	1,419	18,575
At fair value through profit or loss		
Debt securities	791,976	566,316
Government agency bonds	1,530	1,594
Corporate bonds	355,823	452,013
Structured securities	434,623	112,709
Equity securities and investment funds	4,120,157	4,644,746
Equity securities	78,843	67,403
Interests in investment funds	4,041,314	4,577,343
Derivative financial instruments	42,756	22,657
Cash and cash equivalents	210,765	130,884
Total assets on a recurring fair value measurement basis	**15,702,748**	**14,452,830**
Financial liabilities		
Derivative financial instruments	(145,424)	(39,906)
Total liabilities on a recurring fair value measurement basis	**(145,424)**	**(39,906)**

17 PREPAYMENTS, DEPOSITS AND OTHER RECEIVABLES

	As at 31 December	
US$'000	2024	2023
Other receivable	16,845	15,025
Accrued investment income	137,453	121,009
Deposits	7,563	8,798
Prepayments	14,421	36,724
Investment receivables	35,404	14,850
Total	211,686	196,406

None of the above assets is either past due or impaired. The financial assets included in above balances relate to receivables for which there was no recent history of default.

All amounts other than certain prepayments are generally expected to be recovered within 12 months after the end of the reporting period.

18 CASH AND CASH EQUIVALENTS

	As at 31 December	
US$'000	2024	2023
Saving accounts	458,983	296,398
Current accounts	46,881	56,378
Cash on hand	2	1
Total	505,866	352,777

Cash comprises cash at bank and cash in hand. Cash equivalents comprise bank deposits with maturities at acquisition of three months or less.

19 INVESTMENT CONTRACT LIABILITIES

	As at 31 December	
US$'000	2024	2023
At beginning of year	56,375	112,134
Premium received	213	188
Benefits paid	(25,155)	(51,756)
Investment return from underlying assets	756	(3,828)
Others	229	(363)
At end of year	32,418	56,375

20 OTHER LIABILITIES

US$'000	As at 31 December 2024	2023
Trade and other payables	147,510	121,642
Obligations under repurchase and forward arrangements	194,911	173,609
Total	**342,421**	**295,251**

All trade and other payables are generally expected to be settled within 12 months after the end of the reporting period. Accordingly, no ageing analysis has been provided.

During the years ended 31 December 2024 and 2023, the Company has entered into repurchase and forward agreements whereby certain debt securities are sold to third parties with a concurrent agreement to repurchase the securities at a specified date. Refer to Note 14.1 for details.

21 LEASE LIABILITIES

The Company as a lessee

The Company has lease contracts for various office premises and other assets.

(a) Lease liabilities

The carrying amount of lease liabilities and the movements during the year are as follows:

US$'000	2024	2023
Carrying amount at 1 January	64,762	53,864
New Leases	4,226	31,627
Accretion of interest expenses during the year	2,711	2,244
Payments	(19,793)	(19,680)
Remeasurement	—	(2,680)
Termination	—	(486)
Exchange	354	(127)
Carrying amount at 31 December	52,260	64,762
Analysed into:		
Current portion	19,078	17,083
Non-current portion	33,182	47,679
Carrying amount at 31 December	52,260	64,762

The maturity analysis of lease liabilities is disclosed in Note 27 to the financial statements.

(b) The amounts recognised in profit or loss in relation to lease are as follows:

USD$'000	Year ended 31 December 2024	2023
Finance costs - interest on lease liabilities	2,711	2,244
Depreciation charge of right-of-use assets	18,760	19,745
Expense relating to short-term leases and other leases with remaining lease terms ended on or before 31 December	93	459
Total amount recognised in profit or loss	21,564	22,448

22 SHARE CAPITAL, RESERVES AND DIVIDENDS

22.1 Share capital

US$'000	As at 31 December 2024	2023
Authorised Share Capital	3,000,000	3,000,000
Issued and fully paid:		
1,855,893,000 ordinary shares (2023: 1,829,602,000)	1,855,893	1,829,602

A summary of the movements in the Company's share capital is as follows:

	Number of shares in issue '000	Share capital US$'000
At 1 January 2023	1,784,143	1,784,143
New issue (Note (i))	45,459	45,459
At December 2023 and 1 January 2024	1,829,602	1,829,602
New issue (Note (ii))	26,291	26,291
At 31 December 2024	1,855,893	1,855,893

Notes:

(i) On 30 June 2023, the Company issued 45,459,419 ordinary shares of US$1 each to FWD Management Holdings Limited, with a total consideration of US$45,459,419.

(ii) On 8 March 2024, the Company issued 26,290,600 ordinary shares of US$1 each to FWD Management Holdings Limited, with a total consideration of US$26,290,600.

22.2 Foreign currency translation reserve

The foreign currency translation reserve comprises all foreign currency exchange differences arising from the translation of the financial statements of foreign operations.

22.3 Dividends

During the year, dividends of USD 298,000,000 (2023: Nil) were declared and paid to the holder of ordinary shares.

23 SHARE-BASED COMPENSATION

Eligible employees are granted the Share Option and RSU Plan operated by the intermediate holding company, FWD Limited, to reward service and the achievement of shareholder value targets. These RSUs and share options are in the form of a contingent right to receive ordinary shares or a conditional allocation of ordinary shares. These awards have vesting periods of up to four years and are at nil or nominal cost to the eligible person. Save for in certain circumstances, vesting of awards is conditional upon the eligible person being in active employment at the time of vesting. Vesting of certain other awards is, in addition, subject to certain performance conditions. Award holders do not have any right to dividends or voting rights attaching to the shares prior to delivery of the shares. Each share option has a 10-year exercise period.

On 30 January 2022, the board of directors approved a new Share Award Plan and a new Employee Share Purchase Plan to attract and retain eligible persons.

(a) Share options

The following table shows the movement in outstanding share options under the Company's Share Option and RSU Plan:

	As at 31 December	
Number of share-options	2024	2023
Outstanding at beginning of the year	23,281	51,379
Awarded	4,328	—
Forfeited	—	(3,473)
Vested	(9,666)	(24,625)
Outstanding at end of the year	17,943	23,281

Valuation methodology

To calculate the fair value of the awards with performance conditions, the Company estimates the fair value of share options using the Black-Scholes model and an assessment of performance conditions, taking into account the terms and conditions upon which the awards were granted. The fair value calculated for the awards is inherently subjective due to the assumptions made.

Number of share options exercised during the year was Nil (2023: 20,124).

The total fair value of share options granted during the year ended 31 December 2024 was US$219,000 (2023: Nil).

23 SHARE-BASED COMPENSATION (continued)

(a) Share options (continued)

Recognised compensation cost

The fair value of the employee services received in exchange for the grant of share options is recognised as an expense in profit or loss over the vesting period with a corresponding amount recorded in equity.

The total expense recognised in the financial statements related to share options granted under the Share Option and RSU Plan by the Company for the year ended 31 December 2024 is US$282,000 (2023: US$197,000).

(b) RSUs

The following table shows the movement in outstanding RSUs under the Company's Share Option and RSU Plan:

	As at 31 December	
Number of shares	2024	2023
Outstanding at beginning of the year	95,461	65,454
Awarded	—	43,131
Forfeited	(2,614)	(11,383)
Vested	(25,614)	—
Transferred	996	(1,741)
Outstanding at end of the year	68,229	95,461

During the year ended 31 December 2024, the awards under the Share Option and RSU Plan were granted based on fixed monetary value, in which the number of RSUs will be determined at a later stage based on the details set out in the Share Option and RSU Plan. The awards granted based on fixed monetary value are not included in the above table

For awards granted, the fair value of the awards with performance conditions is calculated by using an appraisal value methodology (Embedded Value plus a multiple of Value of New Business) and market valuation approach, where applicable, and an assessment of performance conditions, taking into account the terms and conditions upon which the awards were granted. The fair value calculated for the awards is inherently subjective due to the assumptions made.

The total fair value of RSUs granted in 2024 is US$6,719,000 (2023: US$4,345,000).

Recognised compensation cost

The fair value of the employee services received in exchange for the grant of RSUs is recognised as an expense in profit or loss over the vesting period with a corresponding amount recorded in liabilities.

The total expense recognised in the financial statements related to RSUs granted under the Share Option and RSU Plan by the Company for the year ended 31 December 2024 is US$4,329,000 (2023: US$2,666,000).

24 COMMITMENTS AND CONTINGENCIES

Contingencies

There were alleged premium misappropriation complaint cases against an intermediary of the Company. The cases are still under investigation, and the Company will assess if they require settlement actions include the offering of financial compensation to the complainants. The potential financial compensation was around US$12,000 (2023: US$ Nil).

Certain agents were involved in the fraudulent selling of policies. The Company has been taking action against these agents to claw back the recruitment packages. Repayment arrangement is made with certain agents and the amount related is US$985,000 (2023: US$1,203,000).

Commitments in Malaysia

As of 31 December 2024 and 2023, the Company had planned to invest a total of US$30,969,000 (2023:Nil) in Malaysia.

Investment and capital commitments

As of 31 December 2024 and 2023, the Company has investments and capital commitments to invest in its private equity partnerships.

	As at 31 December	
US$'000	2024	2023
Within one year	135,554	75,064
In the second to fifth years	490,379	413,702
Over five years	—	—
Total	**625,933**	**488,766**

25 RELATED PARTY TRANSACTIONS

A portion of the Company's business is represented by transactions with certain related companies and these financial statements reflect the effect of these transactions which are conducted in accordance with terms mutually agreed between the parties.

(a) In addition to the transactions detailed elsewhere in these financial statements, the Company had the following related party transactions during the year:

(i) The Company charged US$17,359,000 (2023: US$29,123,000) to fellow subsidiaries and US$2,462,000 (2023: US$9,256,000) to subsidiaries for provision of management services. The management service fees were in accordance with terms mutually agreed by the parties. The amounts include the reimbursement from the counterparties for the payments made on their behalf.

(ii) The Company entered into a risk premium reinsurance agreement with a fellow subsidiary of the Company to transfer 70% risk of a specified block of policies underwritten by the fellow subsidiary on 1 January 2017. The total premium revenue, total commission expense and claims incurred based on the terms determined between the Company and the fellow subsidiary, under the risk premium reinsurance agreement for the year ended 31 December 2023 were US$209,000, US$50,000 and US$28,000 respectively. This reinsurance arrangement has been recaptured in April 2023.

(iii) The Company entered into a coinsurance agreement with fellow subsidiaries of the Company during the year 2021. The total premium revenue, total commission expense, and claims incurred based on the terms determined between the Company and fellow subsidiaries, under the coinsurance agreement for the current year were US$87,397,000, US$14,640,000 and US$118,000 (2023: US$98,493,000, US$1,710,000 and US$32,695,000), respectively.

(iv) The Company paid US$2,284,000 (2023: US$6,612,000) advertising expenses to related parties for several promotion campaigns on terms mutually agreed by the parties.

(v) The Company incurred telecommunication and maintenance fee of US$2,142,000 (2023: US$2,237,000) to related parties and investment management fee of US$9,293,000 (2023: US$10,033,000) to a related party for investment management services received, in accordance with terms mutually agreed by parties.

(vi) The Company incurred US$327,000 (2023: US$509,000) to related companies and US$45,456,000 (2023: US$40,191,000) to fellow subsidiaries and US$247,000 (2023: US$32,000) to a subsidiary for administration, consultancy and management services received. The amounts include the reimbursement to the counterparties for the payments made on behalf of the Company. The Company earned US$719,000 (2023: US$995,000) from a related company for the administration services. The transactions were based on terms mutually agreed by both parties.

(vii) The Company underwrote life and medical insurance policies to related companies and fellow subsidiaries on terms mutually agreed by the parties. The insurance premium revenue from the related companies and a fellow subsidiary for the current year amounted to US$23,085,000 (2023: US$25,669,000) and US$3,142,000 (2023: US$2,981,000), respectively. The benefits and claims payable to the related companies and a fellow subsidiary for the current year amounted to US$13,314,000 (2023: US$22,876,000) and US$2,542,000 (2023: US$2,091,000), respectively.

(viii) The Company incurred US$Nil (2023: US$2,609,000) to a fellow subsidiary for the branding services received based on terms mutually agreed by both parties.

(ix) The Company incurred commissions of US$146,000, US$2,195,000 and US$9,600,000 (2023: US$74,000, US$2,104,000 and US$6,930,000) to a fellow subsidiary, a subsidiary and related parties, respectively, based on terms mutually agreed by both parties.

(x) The Company entered into a reinsurance agreement with a related party. The total premium revenue, total commission expense and claims paid for the current year were US$22,361,000, US$2,804,000 and US$15,888,000 (2023: US$21,651,000, US$4,217,000 and US$17,767,000), respectively.

(xi) The Company has entered into reinsurance contracts with a related party. The total premium ceded out, claim recoveries and commission income for the current year were US$6,079,000, US$4,097,000 and US$2,034,000 (2023: US$3,673,000, US$717,000 and US$1,055,000), respectively.

(xii) The Company underwrote life policies to a related party. The insurance premium revenue from the related party and benefits and claims payable to the related party for the current year amounted to US$5,000 (2023: US$91,000) and US$300 (2023: US$4,000), respectively.

(xiii) The Company invested in a fund established by a related party for the current year, with a consideration of US$28,140,000 (2023: Nil).

25 RELATED PARTY TRANSACTIONS (continued)

(b) Compensation of key management personnel of the Company:

	As at 31 December	
US$'000	2024	2023
Salaries, allowances and benefits in kind	8,277	7,275
Performance related bonuses	4,905	7,491
Pension scheme contribution	551	459
Equity-settled share option expenses	131	197
RSU expenses	3,602	2,288
Total compensation paid to key management personnel	**17,466**	**17,710**

(c) The balances with related parties are disclosed as below. All balances are unsecured, interest-free and repayable on demand. The balance disclosed below includes (i) non-insurance related and (ii) insurance related balances, which form part of the insurance contract or reinsurance contract held balances measured in accordance with HKFRS17 in the statement of financial position.

	As at 31 December	
US$'000	2024	2023
Amount due from an immediate holding company	—	5
Amount due from subsidiaries	27,674	24,661
Amount due from fellow subsidiaries		
- insurance-related amounts receivables	462,535	389,008
- other amounts receivables	42,961	37,582
	505,496	426,590
Amount due from related companies	2,084	2,072
Amount due to intermediate holding company	3,457	2,498
Amount due to subsidiaries	245,222	245,223
Amount due to fellow subsidiaries	14,505	19,041
Amount due to related parties		
- insurance-related amounts payables	—	3,840
- other amounts payable	3,101	1,604
	3,101	5,444

26 FINANCIAL INSTRUMENTS BY CATEGORY

The carrying amounts of each of the categories of financial instruments of the Company as at the end of the reporting period are as follows:

As at 31 December 2024

Financial assets

US$'000	Financial assets at fair value through other comprehensive income	Financial assets at fair value through profit or loss	Financial assets at amortised cost	Total
Loans and deposits	—	—	4,246	4,246
Debt securities	11,222,746	867,962	—	12,090,708
Equity securities	—	104,800	—	104,800
Interests in investment funds	—	4,261,173	—	4,261,173
Derivative financial instruments	—	51,774	—	51,774
Deposits and other receivables	—	—	197,265	197,265
Cash and cash equivalents	—	—	505,866	505,866
Due from an immediate holding company	—	—	—	—
Due from subsidiaries	—	—	27,674	27,674
Due from fellow subsidiaries	—	—	42,961	42,961
Due from related companies	—	—	2,084	2,084
Total	11,222,746	5,285,709	780,096	17,288,551

Financial liabilities

US$'000	Financial liabilities at fair value through profit or loss	Financial liabilities at amortised cost	Total
Investment contract liabilities	32,418	—	32,418
Derivative financial instruments	155,973	—	155,973
Due to intermediate holding company	—	3,457	3,457
Due to subsidiaries	—	245,222	245,222
Due to fellow subsidiaries	—	14,505	14,505
Due to related companies	—	3,101	3,101
Other liabilities	—	342,238	342,238
Total	188,391	608,523	796,914

26 FINANCIAL INSTRUMENTS BY CATEGORY (continued)

As at 31 December 2023

Financial assets

US$'000	Financial assets at fair value through other comprehensive income	Financial assets at fair value through profit or loss	Financial assets at amortised cost	Total
Loans and deposits	—	—	5,222	5,222
Debt securities	9,810,514	644,149	—	10,454,663
Equity securities	—	91,249	—	91,249
Interests in investment funds	—	4,768,888	—	4,768,888
Derivative financial instruments	—	27,450	—	27,450
Deposits and other receivables	—	—	159,682	159,682
Cash and cash equivalents	—	—	352,777	352,777
Due from an immediate holding company	—	—	5	5
Due from subsidiaries	—	—	24,661	24,661
Due from fellow subsidiaries	—	—	37,582	37,582
Due from related companies	—	—	2,072	2,072
Total	9,810,514	5,531,736	582,001	15,924,251

Financial liabilities

US$'000	Financial liabilities at fair value through profit or loss	Financial liabilities at amortised cost	Total
Investment contract liabilities	56,375	—	56,375
Derivative financial instruments	65,819	—	65,819
Due to intermediate holding company	—	2,498	2,498
Due to subsidiaries	—	245,223	245,223
Due to fellow subsidiaries	—	19,041	19,041
Due to related companies	—	1,604	1,604
Other liabilities	—	295,069	295,069
Total	122,194	563,435	685,629

27 RISK MANAGEMENT

Risk management framework

The Company's Risk Management Framework has been established for the identification, evaluation and management of the key risks faced by the organisation within its stated Risk Appetite. The framework includes an established risk governance structure with clear oversight and assignment of responsibility for monitoring and management of financial and non-financial risks.

The Company issues contracts that transfer insurance risks, financial risks or both. The insurance risks and financial risks associated with the Company's operations and the Company's management of these risks are summarised below:

Insurance risks

Life insurance contracts

Insurance risks comprise product design risk, underwriting and expense overrun risk, lapse risk and claims risk.

(a) Product design risk
Product design risk refers to potential defects in the development of a particular insurance product. The Company manages product design risk through its product approval process where products are reviewed against pricing, design and operational risk parameters. New products and product enhancements are reviewed and approved by the Company Chief Actuary.

The Company closely monitors the performance of new products and actively manages the product portfolio to minimise risks in the in-force book and new products. A portion of the Company's life insurance business is participating in nature. In the event of a volatile investment environment and/or unusual claims experience, the Company has the option of adjusting non-guaranteed bonuses and dividends payable to policyholders.

(b) Underwriting and expense overrun risk
Underwriting and expense overrun risk refers to the possibility of product-related income being inadequate to support future obligations arising from an insurance product. The Company manages underwriting risk by adhering to underwriting guidelines. Each operating unit maintains a team of professional underwriters who review and select risks that are consistent with the underwriting strategy of the Company. In certain circumstances where insufficient experience data is available, the Company makes use of reinsurers to obtain underwriting expertise. In pricing insurance products, the Company manages expense overrun risk by allowing for an appropriate level of expenses that reflects a realistic medium-to long-term view of the underlying cost structure. A disciplined expense budgeting and management process is followed to control expenses.

(c) Lapse risk
Lapse risk refers to the possibility that lapse experience diverges from that assumed when products were priced. It includes potential financial loss due to early termination of contracts where the acquisition costs incurred may not be recoverable from future revenue. The Company carries out regular reviews of persistency experience. In addition, many of the Company's products include surrender charges that entitle the Company to additional fees on early termination by the policyholder, thereby reducing exposure to lapse risk.

(d) Claims risk
Claims risk refers to the possibility that the frequency or severity of claims arising from insurance contracts exceeds the level assumed when the products were priced. The Company seeks to mitigate claims risk by conducting regular experience studies, including reviews of mortality and morbidity experience, reviewing internal and external data, and considering the impact of these on product design, pricing and reinsurance needs.

Reinsurance solutions are used to help reduce concentration and volatility risk, especially with large policies or new risks, and as protection against catastrophes. Although the Company has reinsurance arrangements in place, it is not relieved of its direct obligations to its policyholders and thus a credit exposure exists with respect to reinsurance ceded, to the extent that any reinsurer is unable to meet its obligations assumed under such reinsurance arrangements.

27 RISK MANAGEMENT (continued)

Insurance risks (continued)

Concentration risk

The Company actively assesses and manages concentration of insurance risk, either geographical or product concentration risk, of the Company's operations, as below:

i. Concentration of insurance risk arises from a lack of geographical and product diversification within the Company's insurance portfolio, and could result in significant financial losses in the case certain events exhibiting geographical and/or product concentrations occur and give rise to higher levels of claims;

ii. From a geographical standpoint, because the Company operates across multiple markets, its results of operations are not substantially dependent on any one of its individual markets. Such regional footprint provides a natural benefit of geographical diversification of insurance and other risks associated with the Company's operations (e.g., regulatory, competitive and political risks of a localised and single-market nature);

iii. From a product exposure standpoint, despite the Company's primary focus on long-term life insurance, it has a range of product offerings with different extent and nature of risk coverage, e.g., participating, critical illness, unit-linked, term life and medical. This naturally also reduces the Company's exposures to concentrations of mortality or morbidity risk;

iv. Concentrations of risk are managed within each market through the monitoring of product sales and size of the in-force book by product group. As a result of the Company's growing operating history and scale, a substantial amount of experience data has been accumulated which assists in evaluation, pricing and management of insurance risk; and

v. In addition, reinsurance solutions are used to help reduce concentration and volatility risk, especially with large policies or new risks, and as protection against catastrophes, and the Company has developed a reinsurance strategy to ensure that a prudent and appropriate reinsurance program is in place, which manages such concentration of insurance risks based on historical experience of loss frequency and severity of similar risks and in similar geographical zones.

Sensitivity analysis

The table below analyses how profit or loss and other components of equity would have increased/(decreased) if changes in key assumptions related to determination of insurance and reinsurance contract balances that were reasonably possible at the reporting date had occurred. This disclosure does not offset movements in the fair value of financial assets backing those liabilities. This analysis presents the sensitivities both gross and net of reinsurance contracts held and assumes that all other assumptions remain constant. The effects on profit or loss and equity are presented gross of the related income tax.

31 December 2024	Profit or loss		CSM		Other components of equity	
US$'000	Gross	Net	Gross	Net	Gross	Net
10% increase in mortality	(8,333)	(5,083)	(59,931)	(34,599)	(4,409)	(7,107)
10% decrease in mortality	8,614	5,196	61,879	35,294	4,496	7,461
10% increase in morbidity	(57,673)	(52,704)	(450,275)	(408,186)	6,380	2,901
10% decrease in morbidity	57,444	52,327	451,434	407,599	(6,614)	(2,767)
10% increase in expenses	(6,169)	(6,073)	(36,223)	(36,295)	(3,880)	(3,783)
10% decrease in expenses	5,972	5,867	34,723	34,805	3,798	3,693
10% increase in lapse/discontinuance rates	(34,132)	(33,486)	(224,368)	(219,899)	(7,385)	(8,410)
10% decrease in lapse/discontinuance rate	39,230	38,531	261,460	256,706	6,421	7,561

31 December 2023	Profit or loss		CSM		Other components of equity	
US$'000	Gross	Net	Gross	Net	Gross	Net
10% increase in mortality	(9,445)	(7,058)	(56,437)	(34,975)	(5,570)	(8,048)
10% decrease in mortality	9,689	7,172	59,369	36,937	5,603	8,297
10% increase in morbidity	(57,823)	(53,802)	(457,813)	(422,020)	(437)	(3,281)
10% decrease in morbidity	57,664	53,574	458,835	422,354	276	3,239
10% increase in expenses	(14,499)	(14,363)	(67,372)	(67,456)	(12,630)	(12,494)
10% decrease in expenses	13,816	13,693	67,371	67,442	12,034	11,910
10% increase in lapse/discontinuance rates	(39,479)	(38,310)	(208,269)	(200,833)	(17,226)	(18,443)
10% decrease in lapse/discontinuance rate	46,431	45,150	252,816	244,867	18,888	20,206

27 RISK MANAGEMENT (continued)

Financial risks

The Company is exposed to a range of financial risks, including asset concentration risk, credit risk, market risk, and liquidity risk. The Company applies a consistent risk management philosophy that is embedded in management processes and controls such that both existing and emerging risks are considered and addressed.

The following section summarises the Company's key risk exposures and the primary policies and processes used by the Company to manage its exposures to these risks.

Asset concentration risk

Concentration risk is managed at the Company level. The Company will determine concentration limits. Limits are set for single issuers, groups of related issuers, country of risk and sectors. The Company's investment system maintains a set of rules monitoring such limits. Violations of such rules trigger alerts or pre-trade approvals depending on materiality. The investment team works with external managers to ensure asset exposures stay within the stated limits. Exposures exceeding limits needs to be tabled at the Company's Asset and Liability Management Committee or Investment Committee. These committees decide the course of action required to address limit violations should they occur. Limit monitoring takes place at the Company level. Asset concentration reports are tabled at the relevant committees.

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. Although the primary source of credit risk is from the Company's investment portfolio, credit risk also arises in reinsurance arrangements, derivative transactions, settlement and treasury activities.

The level of credit risk the Company accepts is managed and monitored by the Company Asset and Liability Management Committee, through establishment of an exposure limit for each counterparty or group of counterparties, reporting of credit risk exposures, monitoring compliance with exposure limits, and a regular review of limits due to changes in the financial strength and risk appetite of the Company and/or macro-economic environment.

The Company actively manages its investments to ensure that there is no significant concentration of credit risk to single counterparty or single group of related counterparties. On aggregate basis, the overall credit quality of the investment portfolio has to meet target quality.

The Company primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing the internal rating as at the reporting date with the internal rating as at the date of initial recognition of the exposure. Where external credit ratings are available, internal ratings are assigned consistent with such ratings in accordance with the Company's credit risk assessment framework. Where external credit ratings are not readily available, an internal rating methodology has been adopted.

The Company monitors changes in credit risk by tracking the change in internal rating of the exposure. The Company also monitors relevant information, including price movements of securities, and assess whether such information signifies a change in credit risk.

Expected Credit Loss ("ECL") Methodology

The measurement of ECL is the product of the financial instrument's probability of default ("PD"), loss given default ("LGD") and exposure at default ("EAD") discounted at the effective interest rate to the reporting date.

ECL is measured at an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information about past events, current conditions and forecasts of future economic conditions. The Company adopts three economic scenarios in the ECL measurement to meet the requirements of HKFRS 9. The "Baseline" scenario represents a most likely outcome and the other two scenarios, referred to as "Good" scenario and "Bad" scenario, represent less likely outcomes which are more optimistic or more pessimistic compared to Baseline scenario.

The Baseline scenario is prepared using historical data, economic trend, external forecast from governmental and non-governmental organisations, etc. as benchmarks to ensure the scenario is reasonable and supportable. For the Good and Bad scenarios, the Company makes reference to the historical and forecast macroeconomic data.

27 RISK MANAGEMENT (continued)

Credit risk (continued)

Expected Credit Loss ("ECL") Methodology (continued)

The macroeconomic factors in the major countries/regions the Company operates or invests in such as Gross Domestic Product growth, Consumer Price Index, Property Price Index and Unemployment Rate are applied in the economic scenarios. These macroeconomic factors are considered to be important to the Company's ECL in statistical analysis and business opinion.

The probability assigned for each scenario reflects the Company's view for the economic environment, which implements the Company's prudent and consistent credit strategy of ensuring the adequacy of impairment allowance. A higher probability is assigned to the Baseline scenario to reflect the most likely outcome and a lower probability is assigned to the Good and Bad scenarios to reflect the less likely outcomes.

The following tables set out the credit quality analysis for debt investments measured at FVOCI. Unless specifically indicated, the amounts in the table represent gross carrying amounts.

US$'000	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
31 December 2024					
Debt securities under FVOCI					
AAA	523,520	—	—	—	523,520
AA	4,795,071	—	—	—	4,795,071
A	4,635,672	—	—	—	4,635,672
BBB	2,652,898	—	—	—	2,652,898
Below investment grade	33,932	11,872	—	—	45,804
Not rated	130,126	—	—	—	130,126
Sub-total	12,771,219	11,872	—	—	12,783,091
Loss Allowance	(10,228)	(1,780)	—	—	(12,008)
Amortised cost	12,760,991	10,092	—	—	12,771,083
Carrying amount – fair value	11,212,348	10,398	—	—	11,222,746

US$'000	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
31 December 2023					
Debt securities under FVOCI					
AAA	257,053	—	—	—	257,053
AA	2,789,716	—	—	—	2,789,716
A	4,331,148	—	—	—	4,331,148
BBB	3,752,246	—	—	—	3,752,246
Below investment grade	61,482	34,508	—	—	95,990
Not rated	65,394	—	—	—	65,394
Sub-total	11,257,039	34,508	—	—	11,291,547
Loss Allowance	(11,380)	(1,053)	—	—	(12,433)
Amortised cost	11,245,659	33,455	—	—	11,279,114
Carrying amount – fair value	9,779,544	30,970	—	—	9,810,514

27 RISK MANAGEMENT (continued)

Credit risk (continued)

Expected Credit Loss ("ECL") Methodology (continued)

US$'000	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
31 December 2024					
Loans and deposits under amortised cost					
AAA	—	—	—	—	—
AA	—	—	—	—	—
A	—	—	—	—	—
BBB	—	—	—	—	—
Below investment grade	—	—	—	—	—
Not rated	4,246	—	638	—	4,884
Sub-total	4,246	—	638	—	4,884
Loss Allowance	—	—	(638)	—	(638)
Carrying amount	4,246	—	—	—	4,246

US$'000	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
31 December 2023					
Loans and deposits under amortised cost					
AAA	—	—	—	—	—
AA	—	—	—	—	—
A	—	—	—	—	—
BBB	—	—	—	—	—
Below investment grade	—	—	—	—	—
Not rated	5,222	—	514	—	5,736
Sub-total	5,222	—	514	—	5,736
Loss Allowance	—	—	(514)	—	(514)
Carrying amount	5,222	—	—	—	5,222

27 RISK MANAGEMENT (continued)

Credit risk (continued)

Expected Credit Loss ("ECL") Methodology (continued)

The following tables show reconciliation from the opening balance to the closing balance of the loss allowance of the debt securities at FVOCI and loans and deposits measured at amortised cost.

US$'000	Increase/ (decrease) in gross carrying amount	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
Debt securities under FVOCI						
As at 1 January 2024		(11,380)	(1,053)	—	—	(12,433)
Transfer to Stage 1		—	—	—	—	—
Transfer to Stage 2		118	(118)	—	—	—
Transfer to Stage 3		—	—	—	—	—
Net remeasurement of loss allowance		1,685	(3,192)	—	—	(1,507)
New financial assets acquired	7,215,671	(5,913)	—	—	—	(5,913)
Financial assets derecognised	(5,273,322)	5,218	2,583	—	—	7,801
Write-offs		—	—	—	—	—
Effects of movements in exchange rates		44	—	—	—	44
As at 31 December 2024		(10,228)	(1,780)	—	—	(12,008)

US$'000	Increase/ (decrease) in gross carrying amount	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
Debt securities under FVOCI						
As at 1 January 2023		(12,194)	—	—	—	(12,194)
Transfer to Stage 1		—	—	—	—	—
Transfer to Stage 2		323	(323)	—	—	—
Transfer to Stage 3		—	—	—	—	—
Net remeasurement of loss allowance		1,948	(730)	—	—	1,218
New financial assets acquired	2,791,109	(3,951)	—	—	—	(3,951)
Financial assets derecognised	(2,971,060)	2,557	—	—	—	2,557
Write-offs		—	—	—	—	—
Effects of movements in exchange rates		(63)	—	—	—	(63)
As at 31 December 2023		(11,380)	(1,053)	—	—	(12,433)

27 RISK MANAGEMENT (continued)

Credit risk (continued)

Expected Credit Loss ("ECL") Methodology (continued)

US$'000	Increase/ (decrease) in gross carrying amount	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
Loans and deposits under amortised cost						
As at 1 January 2024	—	—	—	(514)	—	(514)
Transfer to Stage 1	—	—	—	—	—	—
Transfer to Stage 2	—	—	—	—	—	—
Transfer to Stage 3	—	—	—	—	—	—
Net remeasurement of loss allowance	—	—	—	(422)	—	(422)
New financial assets acquired	—	—	—	—	—	—
Financial assets derecognised	(852)	—	—	—	—	—
Write-offs	—	—	—	—	—	—
Effects of movements in exchange rates	—	—	—	298	—	298
As at 31 December 2024		—	—	(638)	—	(638)

US$'000	Increase/ (decrease) in gross carrying amount	Stage 1	Stage 2	Stage 3	Stage 3 - Purchased or originated credit-impaired financial assets	Total
Loans and deposits under amortised cost						
As at 1 January 2023	—	(18)	—	(602)	—	(620)
Transfer to Stage 1	—	—	—	—	—	—
Transfer to Stage 2	—	—	—	—	—	—
Transfer to Stage 3	—	18	—	(18)	—	—
Net remeasurement of loss allowance	—	—	—	(21)	—	(21)
New financial assets acquired	—	—	—	—	—	—
Financial assets derecognised	(1,315)	—	—	—	—	—
Write-offs	—	—	—	—	—	—
Effects of movements in exchange rates	—	—	—	127	—	127
As at 31 December 2023		—	—	(514)	—	(514)

27 RISK MANAGEMENT (continued)

Interest rate risk

The Company's exposure to interest rate risk predominantly arises from any difference between the duration of the Company's liabilities and assets, predominantly its traditional insurance liabilities. This exposure is heightened in products with inherent interest rate options or guarantees.

The Company seeks to manage interest rate risk by ensuring appropriate product design and underlying assumptions as part of the product approval process and by matching, to the extent possible and appropriate, the duration of investment assets with the duration of insurance contracts. Given the long duration of policy liabilities and the uncertainty of future cash flows arising from these contracts, it is challenging to acquire assets that will perfectly match the policy liabilities. This results in interest rate risk, which is managed and monitored by the Asset and Liability Management Committee of the Company. The duration of interest-bearing financial assets is regularly reviewed and monitored by referencing the estimated duration of insurance contract liabilities.

The table below summarises the nature of the interest rate risk associated with financial assets and financial liabilities.

US$'000	Variable interest rate	Fixed interest rate	Non-interest bearing	Total
31 December 2024				
Financial assets				
Debt securities	2,640,459	9,450,249	—	12,090,708
Cash and cash equivalents	505,866	—	—	505,866
Loans and deposits	—	4,246	—	4,246
Equity securities	—	—	104,800	104,800
Interests in investment funds	—	—	4,261,173	4,261,173
Derivative financial instruments	—	—	51,774	51,774
Accrued investment income	—	—	137,453	137,453
Other assets	—	—	59,812	59,812
Due from an immediate holding company	—	—	—	—
Due from subsidiaries	—	—	27,674	27,674
Due from fellow subsidiaries	—	—	42,961	42,961
Due from related companies	—	—	2,084	2,084
Total financial assets	3,146,325	9,454,495	4,687,731	17,288,551
Insurance and reinsurance contract assets				
Insurance contract assets				77,150
Reinsurance contract assets				475,425
Total insurance and reinsurance contract assets				552,575
Financial liabilities				
Investment contract liabilities	—	—	32,418	32,418
Other liabilities	—	—	147,327	147,327
Derivative financial instruments	—	—	155,973	155,973
Obligations under repurchase and forward arrangements	—	194,911	—	194,911
Due to intermediate holding company	—	—	3,457	3,457
Due to subsidiaries	—	—	245,222	245,222
Due to fellow subsidiaries	—	—	14,505	14,505
Due to related companies	—	—	3,101	3,101
Total financial liabilities	—	194,911	602,003	796,914
Insurance and reinsurance contract liabilities				
Insurance contract liabilities				15,454,063
Reinsurance contract liabilities				177,758
Total insurance and reinsurance contract liabilities				15,631,821

27 RISK MANAGEMENT (continued)

Interest rate risk (continued)

US$'000	Variable interest rate	Fixed interest rate	Non-interest bearing	Total
31 December 2023				
Financial assets				
Debt securities	1,008,071	9,446,592	—	10,454,663
Cash and cash equivalents	352,777	—	—	352,777
Loans and deposits	—	5,222	—	5,222
Equity securities	—	—	91,249	91,249
Interests in investment funds	—	—	4,768,888	4,768,888
Derivative financial instruments	—	—	27,450	27,450
Accrued investment income	—	—	121,009	121,009
Other assets	—	—	38,673	38,673
Due from an immediate holding company	—	—	5	5
Due from subsidiaries	—	—	24,661	24,661
Due from fellow subsidiaries	—	—	37,582	37,582
Due from related companies	—	—	2,072	2,072
Total financial assets	1,360,848	9,451,814	5,111,589	15,924,251
Insurance and reinsurance contract assets				
Insurance contract assets				61,577
Reinsurance contract assets				325,358
Total insurance and reinsurance contract assets				386,935
Financial liabilities				
Investment contract liabilities	—	—	56,375	56,375
Other liabilities	—	—	121,460	121,460
Derivative financial instruments	—	—	65,819	65,819
Obligations under repurchase and forward arrangements	—	173,609	—	173,609
Due to intermediate holding company	—	—	2,498	2,498
Due to subsidiaries	—	—	245,223	245,223
Due to fellow subsidiaries	—	—	19,041	19,041
Due to related companies	—	—	1,604	1,604
Total financial liabilities	—	173,609	512,020	685,629
Insurance and reinsurance contract liabilities				
Insurance contract liabilities				13,856,243
Reinsurance contract liabilities				141,686
Total insurance and reinsurance contract liabilities				13,997,929

27 RISK MANAGEMENT (continued)

Interest rate risk (continued)

The analysis below illustrates the sensitivity of shareholders' equity to changes in interest rates. The analysis illustrates the impact of changing interest rates in isolation, and does not quantify potential impacts arising from changes in other assumptions.

US$'000	Impact on profit before tax	Impact on other components of equity (before the effects of taxation)	Impact on CSM
31 December 2024			
+50 basis points shift in yield curves			
Insurance contracts	110,042	349,048	74,468
Reinsurance contracts held	17	(500)	(278)
Financial instruments	(96,039)	(449,885)	—
Total	14,020	(101,337)	74,190
- 50 basis points shift in yield curves			
Insurance contracts	(125,932)	(371,280)	(98,199)
Reinsurance contracts held	(20)	(716)	308
Financial instruments	108,826	494,767	—
Total	(17,126)	122,771	(97,891)
31 December 2023			
+50 basis points shift in yield curves			
Insurance contracts	13,453	360,532	23,982
Reinsurance contracts held	717	9,862	(961)
Financial instruments	(29,427)	(471,396)	—
Total	(15,257)	(101,002)	23,021
- 50 basis points shift in yield curves			
Insurance contracts	(41,524)	(381,694)	(46,797)
Reinsurance contracts held	(943)	(9,818)	1,215
Financial instruments	33,222	518,353	—
Total	(9,245)	126,841	(45,582)

27 RISK MANAGEMENT (continued)

Equity price risk

The Company's equity price risk exposure relates to financial assets and liabilities whose values fluctuate as a result of changes in market prices.

The Company manages these risks by setting and monitoring investment limits by asset types and sectors. The Company's principal price risk relates to movement in the fair value of its equity securities and interest in investment funds.

Equity price risk is managed through the selection process of equity funds and portfolio criteria for segregated equity mandates, which includes tracking errors based on benchmarks or specific concentration limits. Lower exposure limits are set for each private equity investment to manage concentration risk with the consideration of liquidity in nature.

The analysis below illustrates the estimated impact on profits and shareholders' equity arising from a change in a single variable before taking into account the effects of taxation.

US$'000	Impact on profit before tax	Impact on other components of equity (before the effects of taxation)	Impact on CSM
31 December 2024			
10 per cent increase in equity prices			
Insurance contracts	(339,258)	(22)	86,809
Reinsurance contracts held	(229)	(9)	229
Financial instruments	374,774	—	—
	35,287	(31)	87,038
10 per cent decrease in equity prices			
Insurance contracts	327,318	22	(80,554)
Reinsurance contracts held	236	10	(236)
Financial instruments	(368,585)	—	—
	(41,031)	32	(80,790)
31 December 2023			
10 per cent increase in equity prices			
Insurance contracts	(390,696)	(19)	105,799
Reinsurance contracts held	(91)	(7)	91
Financial instruments	439,124	—	—
	48,337	(26)	105,890
10 per cent decrease in equity prices			
Insurance contracts	376,894	26	(97,174)
Reinsurance contracts held	159	7	(159)
Financial instruments	(439,124)	—	—
	(62,071)	33	(97,333)

27 RISK MANAGEMENT (continued)

Foreign exchange rate risk

The Company's financial assets are primarily denominated in the same currencies as its insurance and investment contract liabilities, which serves to mitigate the foreign currency exchange risk arising from recognised assets and liabilities denominated in currencies other than those in which insurance and investment contract liabilities are expected to be settled. The level of currency risk the Company accepts is managed and monitored by the Asset and Liability Management Committee of the Company, through regular monitoring of currencies position of financial assets and insurance and investment contracts.

The Company's financial assets, financial liabilities, reinsurance contract held balances and insurance contract balances are primarily denominated in United States dollars and Hong Kong dollars, for which the exchange rates have remained stable for the years ended 31 December 2024 and 2023.

At 31 December 2024, assets denominated in United States dollars and Hong Kong dollars accounted for 89% (2023: 76%) and 10% (2023: 17%) of the Company's total assets, respectively, and liabilities denominated in United States dollars and Hong Kong dollars accounted for 84% (2023: 72%) and 17% (2023: 22%) of the Company's total liabilities respectively. The Company has more United States dollar denominated assets than it has corresponding United States dollar denominated liabilities due to the much deeper pool of investment assets available in United States dollars. As a result, some of the United States dollar denominated assets are used to back Hong Kong dollar denominated liabilities. This currency mismatch is then hedged, using forward currency contracts, to reduce the foreign exchange rate risk.

Liquidity risk

Liquidity risk primarily refers to the possibility of having insufficient cash available to meet payment obligations when they become due. The Company is exposed to liquidity risk in respect of insurance contracts that permit surrender, withdrawal or other forms of early termination for a cash surrender value specified in the contractual terms and conditions.

To manage liquidity risk the Company has implemented a variety of measures, with an emphasis on flexible insurance product design, so that it can retain the greatest flexibility to adjust contract pricing or crediting rates. The Company also seeks to match, to the extent possible and appropriate, the duration of its investment assets with the duration of its insurance contracts. The Company performs regular monitoring of its liquidity position through cash flow projections.

The table below summarises financial assets and liabilities of the Company into their relevant maturity groupings based on the remaining period at the end of the reporting year to their contractual maturities or expected repayment dates. Most of the Company's assets are used to support its insurance contract liabilities. Refer to Note 13 for additional information on the Company's insurance contract liabilities, as well as to the Insurance Risks section within this Note.

27 RISK MANAGEMENT (continued)

Liquidity risk (continued)

31 December 2024

US$'000	Total	Due in one year or less	Due after one year through two years	Due after two year through three years	Due after three year through four years	Due after four year through five years	Due after five years	No fixed maturity
Financial and insurance contract assets								
Fair value through OCI - debt securities	11,222,746	646,234	669,364	385,472	189,815	165,120	9,166,741	—
Fair value through profit or loss	5,233,935	38,470	31,613	147,508	—	15,993	634,378	4,365,973
Loans and deposits	4,246	707	723	88	393	—	2,335	—
Derivatives financial instruments	51,774	26,061	4,994	544	455	3,145	16,575	—
Insurance contract asset (estimated PV of future cash flow)	112,941	37,824	3,830	3,330	2,902	2,553	62,502	—
Reinsurance contract asset (estimated PV of future cash flow)	477,807	80,951	24,380	20,672	18,016	16,052	317,736	—
Other assets	269,984	262,949	1,581	668	4,102	683	1	—
Cash and cash equivalents	505,866	505,866	—	—	—	—	—	—
Total	17,879,299	1,599,062	736,485	558,282	215,683	203,546	10,200,268	4,365,973
Financial and insurance contract liabilities								
Insurance contract liabilities (estimated PV of future cash flow)	(13,526,708)	(1,408,950)	(612,433)	(533,419)	(465,506)	(409,767)	(10,096,633)	—
Reinsurance contract liabilities (estimated PV of future cash flow)	(202,582)	(33,464)	(10,111)	(8,582)	(7,488)	(6,679)	(136,258)	—
Investment contract liabilities	(32,418)	—	—	—	—	—	(32,418)	—
Derivative financial instruments	(155,973)	(36,309)	(35,014)	(34,101)	(31,647)	(17,051)	(1,851)	—
Other liabilities	(608,523)	(608,523)	—	—	—	—	—	—
Lease liabilities	(52,260)	(19,078)	(15,752)	(13,286)	(2,095)	(2,049)	—	—
Total	(14,578,464)	(2,106,324)	(673,310)	(589,388)	(506,736)	(435,546)	(10,267,160)	—

31 December 2023

US$'000	Total	Due in one year or less	Due after one year through two years	Due after two year through three years	Due after three year through four years	Due after four year through five years	Due after five years	No fixed maturity
Financial and insurance contract assets								
Fair value through OCI debt securities	9,810,514	194,388	202,881	614,437	448,282	209,143	8,141,383	—
Fair value through profit or loss	5,504,286	25,523	12,912	9,268	149,727	—	446,719	4,860,137
Loans and deposits	5,222	683	1,101	941	66	—	2,431	—
Derivatives financial instruments	27,450	7,161	8,396	608	—	—	11,285	—
Insurance contract asset (estimated PV of future cash flow)	93,030	7,908	4,598	3,820	3,360	2,967	70,377	—
Reinsurance contract asset (estimated PV of future cash flow)	301,818	265,628	4,116	2,776	2,205	1,914	25,179	—
Other assets	224,002	216,785	354	1,313	1,050	4,047	453	—
Cash and cash equivalents	352,777	352,777	—	—	—	—	—	—
Total	16,319,099	1,070,853	234,358	633,163	604,690	218,071	8,697,827	4,860,137
Financial and insurance contract liabilities								
Insurance contract liabilities (estimated PV of future cash flow)	(12,132,798)	(1,134,484)	(592,474)	(492,272)	(432,988)	(382,468)	(9,098,112)	—
Reinsurance contract liabilities (estimated PV of future cash flow)	(213,860)	(188,217)	(2,917)	(1,967)	(1,563)	(1,356)	(17,840)	—
Investment contract liabilities	(56,375)	—	—	—	—	—	(56,375)	—
Derivative financial instruments	(65,819)	(45,353)	(3,730)	(3,454)	(3,162)	(3,846)	(6,274)	—
Other liabilities	(563,435)	(563,435)	—	—	—	—	—	—
Lease liabilities	(64,762)	(17,083)	(17,946)	(14,753)	(12,223)	(1,396)	(1,361)	—
Total	(13,097,049)	(1,948,572)	(617,067)	(512,446)	(449,936)	(389,066)	(9,179,962)	—

The amounts payable on demand in the insurance contract liabilities represent the policyholders' account values of US$12,878,769,000 (2023: US$11,387,509,000).

27 RISK MANAGEMENT (continued)

Capital Management

The Company's capital management objective is focused on maintaining a strong capital base to safeguard the Company's ability to continue as a going concern in view of its risk exposures, to support the development of the business, maximise shareholders' value and to ensure that the Company complies with regulatory capital requirements.

The Company determines its internal capital target with considerations of the regulatory capital requirements, the Company strategic planning and the capital buffer to maintain in view of the various risk exposures. Capital risk metrics and thresholds are established within the Company risk appetite, by which the risk ratings on the Company solvency is regularly assessed. The risk ratings are reported in the risk dashboard delivered to the board and senior executives. Sensitivity testing on current and projected capital position under adverse scenarios are performed annually and oversight by the board and senior executives.

The Company complied with all regulatory capital requirements during the year. The Company's insurance regulator is the Insurance Authority (the "IA") which requires that the Company determine the Prescribed Capital Requirement ("PCR") under HKRBC, which supersedes the prior regulatory capital requirements by the Insurance Ordinance (the "Ordinance") upon the adoption of HKRBC which was effective on 1 July 2024. The IA requires the Company to maintain an excess of assets over liabilities of not less than the required PCR level which is 100 per cent of overall PCR. Previously, on 30 June 2022, the IA had approved the early adoption of HKRBC for the Company and required the Company to maintain an additional buffer of 50 per cent of PCR. The Company complied with all the regulatory capital requirements throughout both years 2024 and 2023.

The required margin of solvency is determined by the Company's appointed actuary who lead the actuarial function. The actuarial function plays a key role in capital management in addition to its ordinary function of actuarial valuations, pricing and asset & liability management.

28 EVENTS AFTER THE REPORTING PERIOD

On 8 February 2025, the board of directors approved entering a new lease with a total expected lease payment of HK$1,637,000,000 (equivalent to approximately to US$210,950,000). The lease term is 150 months, commencing on 1 July 2025.

29 COMPARATIVE FIGURES

The financial statements provide comparative information in respect of the previous period. Certain comparative figures have been reclassified to conform to the current year's financial statement presentation.

30 APPROVAL OF THE FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the board of directors on 27 March 2025.